

INTRODUCTION TO THE LAW OF CONTRACT

DEFINITION

A contract may be defined as a legally binding agreement or, in the words of Sir Frederick Pollock: “A promise or set of promises which the law will enforce”.

The agreement will create rights and obligations that may be enforced in the courts. The normal method of enforcement is an action for damages for breach of contract, though in some cases the court may order performance by the party in default.

CLASSIFICATION

Contracts may be divided into two broad classes:

1. Contracts by deed

A deed is a formal legal document signed, witnessed and delivered to effect a conveyance or transfer of property or to create a legal obligation or contract.

2. Simple contracts

Contracts which are not deeds are known as simple contracts. They are informal contracts and may be made in any way ☐ in writing, orally or they may be implied from conduct.

Another way of classifying contracts is according to whether they are “bilateral” or “unilateral”.

1. Bilateral contracts

A bilateral contract is one where a promise by one party is exchanged for a promise by the other. The exchange of promises is enough to render them both enforceable. Thus in a contract for the sale of goods, the buyer promises to pay the price and the seller promises to deliver the goods.

2. Unilateral contracts

A unilateral contract is one where one party promises to do something in return for an act of the other party, as opposed to a promise, eg, where X promises a reward to anyone who will find his lost wallet. The essence of the unilateral contract is that only one party, X, is bound to do anything. No one is bound to search for the lost wallet, but if Y, having seen the offer, recovers the wallet and returns it, he/she is entitled to the reward.

ELEMENTS

The essential elements of a contract are:

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1. Agreement

An agreement is formed when one party accepts the offer of another and involves a “meeting of the minds”.

2. Consideration

Both parties must have provided consideration, ie, each side must promise to give or do something for the other.

3. Intention to create legal relations

The parties must have intended their agreement to have legal consequences. The law will not concern itself with purely domestic or social agreements.

4. Form

In some cases, certain formalities (that is, writing) must be observed.

5. Capacity

The parties must be legally capable of entering into a contract.

6. Consent

The agreement must have been entered into freely. Consent may be vitiated by duress or undue influence.

7. Legality

The purpose of the agreement must not be illegal or contrary to public policy.

A contract which possesses all these requirements is said to be valid. The absence of an essential element will render the contract either void, voidable or unenforceable (as to which see below).

In addition, a contract consists of various terms, both express and implied. A term may be inserted into the contract to exclude or limit one party's liability (the so-called “small print”). A term may also be regarded as unfair. A contract may be invalidated by a mistake and where the contract has been induced by misrepresentation the innocent party may have the right to set it aside. As a general rule, third parties have no rights under a contract but there are exceptions to the doctrine of privity. There are different ways of discharging a contract and remedies are available for breach of contract at common law and in equity.

ENFORCEABILITY

1. Void contracts

A “void contract” is one where the whole transaction is regarded as a nullity. It means that at no time has there been a contract between the parties. Any goods or money obtained under the agreement must be returned. Where items have been resold to a third party, they may be recovered by the original owner.

2. Voidable contracts

A contract which is voidable operates in every respect as a valid contract unless and until one of the parties takes steps to avoid it. Anything obtained under the contract must be returned, insofar as this is possible. If goods have been resold before the contract was avoided, the original owner will not be able to reclaim them.

3. Unenforceable contracts

An unenforceable contract is a valid contract but it cannot be enforced in the courts if one of the parties refuses to carry out its terms. Items received under the contract cannot generally be reclaimed.

FORMATION OF A CONTRACT

INTRODUCTION

A contract may be defined as an agreement between two or more parties that is intended to be legally binding.

The first requisite of any contract is an agreement (consisting of an offer and acceptance). At least two parties are required; one of them, the offeror, makes an offer which the other, the offeree, accepts.

OFFER

An offer is an expression of willingness to contract made with the intention that it shall become binding on the offeror as soon as it is accepted by the offeree.

A genuine offer is different from what is known as an "invitation to treat", ie where a party is merely inviting offers, which he is then free to accept or reject. The following are examples of invitations to treat:

1. AUCTIONS

In an auction, the auctioneer's call for bids is an invitation to treat, a request for offers. The bids made by persons at the auction are offers, which the auctioneer can accept or reject as he chooses. Similarly, the bidder may retract his bid before it is accepted. See:

Payne v Cave (1789) 3 Term Rep 148

2. DISPLAY OF GOODS

The display of goods with a price ticket attached in a shop window or on a supermarket shelf is not an offer to sell but an invitation for customers to make an offer to buy. See:

Fisher v Bell [1960] 3 All ER 731

P.S.G.B. v Boots Chemists [1953] 1 All ER 482.

3. ADVERTISEMENTS

Advertisements of goods for sale are normally interpreted as invitations to treat. See:

Partridge v Crittenden [1968] 2 All ER 421.

However, advertisements may be construed as offers if they are unilateral, ie, open to all the world to accept (eg, offers for rewards). See:

Carlill v Carbolic Smoke Ball Co [1893] 1 QB 256.

4. MERE STATEMENTS OF PRICE

A statement of the minimum price at which a party may be willing to sell will not amount to an offer. See:

Harvey v Facey [1893] AC 552

Gibson v Manchester County Council [1979] 1 All ER 972.

5. TENDERS

Where goods are advertised for sale by tender, the statement is not an offer, but an invitation to treat; that is, it is a request by the owner of the goods for offers to purchase them. The process of competitive tendering came under scrutiny in the following cases:

Harvela Investments v Royal Trust Co. of Canada [1985] 2 All ER

966 Blackpool Aero Club v Blackpool Borough Council [1990] 3

All ER 25.

ACCEPTANCE

An acceptance is a final and unqualified acceptance of the terms of an offer. To make a binding contract the acceptance must exactly match the offer. The offeree must accept

all the terms of the offer.



However, in certain cases it is possible to have a binding contract without a matching offer and acceptance. See:

Brogden v Metropolitan Railway Co. (1877) 2 App Cas 666
Lord Denning in Gibson v Manchester City Council [1979]
above Percy Trentham Ltd v Archital Luxfer Ltd [1993] 1
Lloyd's Rep 25.

The following rules have been developed by the courts with regard to acceptance:

1. COUNTER OFFERS

If in his reply to an offer, the offeree introduces a new term or varies the terms of the offer, then that reply cannot amount to an acceptance. Instead, the reply is treated as a "counter offer", which the original offeror is free to accept or reject. A counter-offer also amounts to a rejection of the original offer which cannot then be subsequently accepted. See:

Hyde v Wrench (1840) 3 Beav 334.

A counter-offer should be distinguished from a mere request for information. See: Stevenson v McLean (1880) 5 QBD 346.

If A makes an offer on his standard document and B accepts on a document containing his conflicting standard terms, a contract will be made on B's terms if A acts upon B's communication, eg by delivering goods. This situation is known as the "battle of the forms". See:

Butler Machine Tool v Excell-o-Corp [1979] 1 All ER 965.

2. CONDITIONAL ACCEPTANCE

If the offeree puts a condition in the acceptance, then it will not be binding.

3. TENDERS

A tender is an offer, the acceptance of which leads to the formation of a contract. However, difficulties arise where tenders are invited for the periodical supply of goods:

(a) Where X advertises for offers to supply a specified quantity of goods, to be supplied during a specified time, and Y offers to supply, acceptance of Y's tender creates a contract, under which Y is bound to supply the goods and the buyer X is bound to accept them and pay for them.

(b) Where X advertises for offers to supply goods up to a stated maximum, during a certain period, the goods to be supplied as and when demanded, acceptance by X of a tender received from Y does not create a contract. Instead, X's acceptance converts Y's

tender into a standing offer to supply the goods up to the stated maximum at the stated price as and when requested to do so by X. The standing offer is accepted each time X places an order, so that there are a



series of separate contracts for the supply of goods. See:

Great Northern Railway Co. v Witham (1873) LR 9 CP 16.

4. COMMUNICATION OF ACCEPTANCE

The general rule is that an acceptance must be communicated to the offeror. Until and unless the acceptance is so communicated, no contract comes into existence:

Lord Denning in Entores v Miles Far East Corp. [1955] 2 All ER 493.

The acceptance must be communicated by the offeree or someone authorised by the offeree. If someone accepts on behalf of the offeree, without authorisation, this will not be a valid acceptance:

Powell v Lee (1908) 99 LT 284.

The offeror cannot impose a contract on the offeree against his wishes by deeming that his silence should amount to an acceptance:

Felthouse v Bindley (1862) 11 CBNS 869.

Where an instantaneous method of communication is used, eg telex, it will take effect when and where it is received. See:

Entores v Miles Far East Corp [1955] 2 QB
327 The Brimnes [1975] QB 929
Brinkibon v Stahag Stahl [1983] 2 AC 34.

5. EXCEPTIONS TO THE COMMUNICATION RULE

a) In unilateral contracts the normal rule for communication of acceptance to the offeror does not apply. Carrying out the stipulated task is enough to constitute acceptance of the offer.

b) The offeror may expressly or impliedly waive the need for communication of acceptance by the offeree, eg, where goods are dispatched in response to an offer to buy.

c) The Postal Rule - Where acceptance by post has been requested or where it is an appropriate and reasonable means of communication between the parties, then acceptance is complete as soon as the letter of acceptance is posted, even if the letter is delayed, destroyed or lost in the post so that it never reaches the offeror. See:

Adams v Lindsell (1818) 1 B & Ald 681.
Household Fire Insurance Co. v Grant (1879) 4 Ex D 216.

The postal rule applies to communications of acceptance by cable, including telegram,

but not to instantaneous modes such as telephone, telex and fax. The postal rule will not apply:

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(i) Where the letter of acceptance has not been properly posted, as in *Re London and Northern Bank* (1900), where the letter of acceptance was handed to a postman only authorised to deliver mail and not to collect it.

(ii) Where the letter is not properly addressed. There is no authority on this point.

(iii) Where the express terms of the offer exclude the postal rule, ie if the offer specifies that the acceptance must reach the offeror. In *Holwell Securities v Hughes* (1974, below), the postal rule was held not to apply where the offer was to be accepted by "notice in writing". Actual communication was required.

(iv) It was said in *Holwell Securities* that the rule would not be applied where it would produce a "manifest inconvenience or absurdity".

Revocation of posted acceptance.

Can an offeree withdraw his acceptance, after it has been posted, by a later communication, which reaches the offeror before the acceptance? There is no clear authority in English law. The Scottish case of *Dunmore v Alexander* (1830) appears to permit such a revocation but it is an unclear decision. A strict application of the postal rule would not permit such withdrawal. This view is supported by decisions in: New Zealand in *Wenkheim v Arndt* (1873) and South Africa in *A-Z Bazaars v Ministry of Agriculture* (1974). However, such an approach is regarded as inflexible.

6. METHOD OF ACCEPTANCE

The offer may specify that acceptance must reach the offeror in which case actual communication will be required. See:

Holwell Securities v Hughes [1974] 1 All ER 161.

If a method is prescribed without it being made clear that no other method will suffice then it seems that an equally advantageous method would suffice. See:

Tinn v Hoffman (1873) 29 LT 271

Yates Building Co. v Pulleyn Ltd (1975) 119 SJ 370.

7. KNOWLEDGE OF THE OFFER

An offeree may perform the act that constitutes acceptance of an offer, with knowledge of that offer, but for a motive other than accepting the offer. The question that then arises is whether his act amounts to a valid acceptance. The position seems to be that:

(a) An acceptance which is wholly motivated by factors other than the existence of the offer has no effect.

R v Clarke (1927) 40 CLR 227

(b) Where, however, the existence of the offer plays some part, however small, in

inducing a



person to do the required act, there is a valid acceptance of the offer. See:

Williams v Carwardine (1833) 5 Car & P 566.

8. CROSS-OFFERS

A writes to B offering to sell certain property at a stated price. B writes to A offering to buy the same property at the same price. The letters cross in the post. Is there (a) an offer and acceptance, (b) a contract? This problem was discussed, obiter, by the Court in Tinn v Hoffman (1873) 29 LT 271. Five judges said that cross-offers do not make a binding contract. One judge said they do.

TERMINATION OF THE OFFER

1. ACCEPTANCE

Once an offer has been accepted, a binding contract is made and the offer ends.

2. REJECTION

If the offeree rejects the offer that is the end of it.

3. REVOCATION

The offer may be revoked by the offeror at any time until it is accepted. However, the revocation of the offer must be communicated to the offeree(s). Unless and until the revocation is so communicated, it is ineffective. See:

Byrne v Van Tienhoven (1880) 5 CPD 344.

The revocation need not be communicated by the offeror personally, it is sufficient if it is done through a reliable third party. See:

Dickinson v Dodds (1876) 2 ChD 463.

Where an offer is made to the whole world, it appears that it may be revoked by taking reasonable steps. See:

Shuey v United States [1875] 92 US 73.

Once the offeree has commenced performance of a unilateral offer, the offeror may not revoke the offer. See:

Errington v Errington [1952] 1 All ER 149

Daulia v Four Millbank Nominees [1978] 2 All ER 557.

4. COUNTER OFFER

See above for Hyde v Wrench (1840).

5. LAPSE OF TIME

Where an offer is stated to be open for a specific length of time, then the offer automatically terminates when that time limit expires. Where there is no express time limit, an offer is normally open only for a reasonable time. See:

Ramsgate Victoria Hotel v Montefiore (1866) LR 1 Ex 109.

6. FAILURE OF A CONDITION

An offer may be made subject to conditions. Such a condition may be stated expressly by the offeror or implied by the courts from the circumstances. If the condition is not satisfied the offer is not capable of being accepted. See:

Financings Ltd v Stimson [1962] 3 All ER 386.

7. DEATH

The offeree cannot accept an offer after notice of the offeror's death. However, if the offeree does not know of the offeror's death, and there is no personal element involved, then he may accept the offer. See:

Bradbury v Morgan (1862) 1 H&C 249.

CASES ON FORMATION OF A CONTRACT

OFFER

Payne v Cave (1789)

The defendant made the highest bid for the plaintiff's goods at an auction sale, but he withdrew his bid before the fall of the auctioneer's hammer. It was held that the defendant was not bound to purchase the goods. His bid amounted to an offer which he was entitled to withdraw at any time before the auctioneer signified acceptance by knocking down the hammer. Note: The common law rule laid down in this case has now been codified in s57(2) Sale of Goods Act 1979.

Fisher v Bell (1960)

A shopkeeper displayed a flick knife with a price tag in the window. The Restriction of Offensive Weapons Act 1959 made it an offence to 'offer for sale' a 'flick knife'. The shopkeeper was prosecuted in the magistrates' court but the Justices declined to convict on the basis that the knife had not, in law, been 'offered for sale'.

This decision was upheld by the Queen's Bench Divisional Court. Lord Parker CJ stated: "It is perfectly clear that according to the ordinary law of contract the display of an article with a price on it in a shop window is merely an invitation to treat. It is in no sense an offer for sale the acceptance of which constitutes a contract."

PSGB v Boots (1953)

The defendants' shop was adapted to the "self-service" system. The question for the Court of Appeal was whether the sales of certain drugs were effected by or under the supervision of a registered pharmacist. The question was answered in the affirmative. Somervell LJ stated that "in the case of an ordinary shop, although goods are displayed and it is intended that customers should go and choose what they want, the contract is not completed until, the customer having indicated the articles which he needs, the shopkeeper, or someone on his behalf, accepts that offer. Then the contract is completed."

Partridge v Crittenden (1968)

It was an offence to offer for sale certain wild birds. The defendant had advertised in a periodical 'Quality Bramblefinch cocks, Bramblefinch hens, 25s each'. His conviction was quashed by the High Court. Lord Parker CJ stated that when one is dealing with advertisements and circulars, unless they indeed come from manufacturers, there is business sense in their being construed as invitations to treat and not offers for sale. In a very different context Lord Herschell in *Grainger v Gough* (Surveyor of Taxes) [1896] AC 325, said this in dealing with a price list:

"The transmission of such a price list does not amount to an offer to supply an unlimited quantity of the wine described at the price named, so that as soon as an order is given there is a binding contract to supply that quantity. If it were so, the merchant might find himself involved in any number of contractual obligations to supply wine of a particular description which he would be quite unable to carry out, his stock of wine of that description being necessarily limited."

Carlill v Carbolic Smoke Ball Co (1893)

An advert was placed for 'smoke balls' to prevent influenza. The advert offered to pay £100 if anyone contracted influenza after using the ball. The company deposited £1,000 with the Alliance Bank to show their sincerity in the matter. The plaintiff bought one of the balls but contracted influenza. It was held that she was entitled to recover the £100. The Court of Appeal held that:

- (a) the deposit of money showed an intention to be bound, therefore the advert was an offer;
- (b) it was possible to make an offer to the world at large, which is accepted by anyone who buys a smokeball;
- (c) the offer of protection would cover the period of use; and
- (d) the buying and using of the smokeball amounted to acceptance.

Harvey v Facey (1893)

The plaintiffs sent a telegram to the defendant, "Will you sell Bumper Hall Pen? Telegraph lowest cash price".

The defendant's reply was "Lowest price £900".

The plaintiffs telegraphed "We agree to buy ...for £900 asked by you".

It was held by the Privy Council that the defendant's telegram was not an offer but simply an indication of the minimum price the defendant would want, if they decided to sell. The plaintiffs' second telegram could not be an acceptance.

Gibson v MCC (1979)

The council sent to tenants details of a scheme for the sale of council houses. The plaintiff immediately replied, paying the £3 administration fee. The council replied: "The corporation may be prepared to sell the house to you at the purchase price of £2,725 less 20 per cent. £2,180 (freehold)." The letter gave details about a mortgage and went on "This letter should not be regarded as a firm offer of a mortgage. If you would like to make a formal application to buy your council house, please complete the enclosed application form and return it to me as soon as possible." G filled in and returned the form. Labour took control of the council from the Conservatives and instructed their officers not to sell council houses unless they were legally bound to do so. The council declined to sell to G.

In the House of Lords, Lord Diplock stated that words italicised seem to make it quite impossible to construe this letter as a contractual offer capable of being converted into a legally enforceable open contract for the sale of land by G's written acceptance of it. It was a letter setting out the financial terms on which it may be the council would be prepared to consider a sale and purchase in due course.

Harvela v Royal Trust (1985)

Royal Trust invited offers by sealed tender for shares in a company and undertook to accept the highest offer. Harvela bid \$2,175,000 and Sir Leonard Outerbridge bid \$2,100,000 or \$100,000 in excess of any other offer. Royal Trust accepted Sir Leonard's offer. The trial judge gave judgment for Harvela.

In the House of Lords, Lord Templeman stated: "To constitute a fixed bidding sale all that was necessary was that the vendors should invite confidential offers and should undertake to accept the highest offer. Such was the form of the invitation. It follows that the invitation upon its true construction created a fixed bidding sale and that Sir Leonard was not entitled to submit and the vendors were not entitled to accept a referential bid."

Blackpool Aero Club v Blackpool Borough Council (1990)

BBC invited tenders to operate an airport, to be submitted by noon on a fixed date. The plaintiffs' tender was delivered by hand and put in the Town Hall letter box at 11am.

However, the tender was recorded as having been received late and was not considered.
The club sued for



breach of an alleged warranty that a tender received by the deadline would be considered. The judge awarded damages for breach of contract and negligence. The council's appeal was dismissed by the Court of Appeal.

ACCEPTANCE

Brogden v MRC (1877)

B supplied coal to MRC for many years without an agreement. MRC sent a draft agreement to B who filled in the name of an arbitrator, signed it and returned it to MRC's agent who put it in his desk. Coal was ordered and supplied in accordance with the agreement but after a dispute arose B said there was no binding agreement.

It was held that B's returning of the amended document was not an acceptance but a counter-offer which could be regarded as accepted either when MRC ordered coal or when B actually supplied. By their conduct the parties had indicated their approval of the agreement.

Gibson v MCC (1979)

Lord Denning said that one must look at the correspondence as a whole and the conduct of the parties to see if they have come to an agreement.

Trentham v Luxfer (1993)

T built industrial units and subcontracted the windows to L. The work was done and paid for. T then claimed damages from L because of defects in the windows. L argued that even though there had been letters, phone calls and meetings between the parties, there was no matching offer and acceptance and so no contract.

The Court of Appeal held that the fact that there was no written, formal contract was irrelevant, a contract could be concluded by conduct. Plainly the parties intended to enter into a contract, the exchanges between them and the carrying out of instructions in those exchanges, all supported T's argument that there was a course of dealing between the parties which amounted to a valid, working contract. Steyn LJ pointed out that:

- (a) The courts take an objective approach to deciding if a contract has been made.
- (b) In the vast majority of cases a matching offer and acceptance will create a contract, but this is not necessary for a contract based on performance.

Hyde v Wrench (1840)

6 June W offered to sell his estate to H for £1000; H

offered £950 27 June W rejected H's offer

29 June H offered £1000. W refused to sell and H sued for breach of contract.

Lord Langdale MR held that if the defendant's offer to sell for £1,000 had been

unconditionally accepted, there would have been a binding contract; instead the plaintiff made an offer of his own of £950, and thereby rejected the offer previously made by the defendant. It was not



afterwards competent for the plaintiff to revive the proposal of the defendant, by tendering an acceptance of it; and that, therefore, there existed no obligation of any sort between the parties.

Stevenson v McLean (1880)

On Saturday, the defendant offered to sell iron to the plaintiff at 40 shillings a ton, open until Monday. On Monday at 10am, the plaintiff sent a telegram asking if he could have credit terms. At 1.34pm the plaintiff sent a telegram accepting the defendant's offer, but at 1.25pm the defendant had sent a telegram: 'Sold iron to third party' arriving at 1.46pm. The plaintiff sued the defendant for breach of contract and the defendant argued that the plaintiff's telegram was a counter-offer so the plaintiff's second telegram could not be an acceptance.

It was held that the plaintiff's first telegram was not a counter-offer but only an enquiry, so a binding contract was made by the plaintiff's second telegram.

Butler Machine Tool v Ex-Cell-O Corporation (1979)

The plaintiffs offered to sell a machine to the defendants. The terms of the offer included a condition that all orders were accepted only on the sellers' terms which were to prevail over any terms and conditions in the buyers' order. The defendants replied ordering the machine but on different terms and conditions. At the foot of the order was a tear-off slip reading, "We accept your order on the Terms and Conditions stated thereon." The plaintiffs signed and returned it, writing, "your official order ...is being entered in accordance with our revised quotation ...".

The Court of Appeal had to decide on which set of terms the contract was made. Lord Denning
M.R. stated:

In many of these cases our traditional analysis of offer, counter-offer, rejection, acceptance and so forth is out-of-date. This was observed by Lord Wilberforce in *New Zealand Shipping Co Ltd v AM Satterthwaite*. The better way is to look at all the documents passing between the parties and glean from them, or from the conduct of the parties, whether they have reached agreement on all material points, even though there may be differences between the forms and conditions printed on the back of them. As Lord Cairns L.C. said in *Brogden v Metropolitan Railway Co* (1877):

...there may be a consensus between the parties far short of a complete mode of expressing it, and that consensus may be discovered from letters or from other documents of an imperfect and incomplete description.

Applying this guide, it will be found that in most cases when there is a "battle of forms" there is a contract as soon as the last of the forms is sent and received without objection being taken to it. Therefore, judgment was entered for the buyers.

GNR v Witham (1873)

GNR advertised for tenders for the supply of stores and W replied 'I undertake to supply the



company for 12 months with such quantities as the company may order from time to time'. GNR accepted this tender and placed orders which W supplied. When W later refused to supply it was held that W's tender was a standing offer which GNR could accept by placing an order. W's refusal was a breach of contract but it also revoked W's standing offer for the future, so W did not have to meet any further orders.

Lord Denning in *Entores v Miles Far East Corp* (1955)

If a man shouts an offer to a man across a river but the reply is not heard because of a plane flying overhead, there is no contract. The offeree must wait and then shout back his acceptance so that the offeror can hear it.

Powell v Lee (1908)

The plaintiff applied for a job as headmaster and the school managers decided to appoint him. One of them, acting without authority, told the plaintiff he had been accepted. Later the managers decided to appoint someone else. The plaintiff brought an action alleging that by breach of a contract to employ him he had suffered damages in loss of salary. The county court judge held that there was no contract as there had been no authorised communication of intention to contract on the part of the body, that is, the managers, alleged to be a party to the contract. This decision was upheld by the King's Bench Division.

Felthouse v Bindley (1862)

The plaintiff discussed buying a horse from his nephew and wrote to him "If I hear no more about him, I consider the horse mine ...". The nephew did not reply but wanted to sell the horse to the plaintiff, and when he was having a sale told the defendant auctioneer not to sell the horse. By mistake the defendant sold the horse. The plaintiff sued the defendant in the tort of conversion but could only succeed if he could show that the horse was his.

It was held that the uncle had no right to impose upon the nephew a sale of his horse unless he chose to comply with the condition of writing to repudiate the offer. It was clear that the nephew intended his uncle to have the horse but he had not communicated his intention to his uncle, or done anything to bind himself. Nothing, therefore, had been done to vest the property in the horse in the plaintiff. There had been no bargain to pass the property in the horse to the plaintiff, and therefore he had no right to complain of the sale.

Entores v Miles Far East Corp (1955)

The plaintiffs in London made an offer by Telex to the defendants in Holland. The defendant's acceptance was received on the plaintiffs' Telex machine in London. The plaintiffs sought leave to serve notice of a writ on the defendants claiming damages for breach of contract. Service out of the jurisdiction is allowed to enforce a contract made within the jurisdiction. The Court of Appeal had to decide where the contract was

made.

Denning L.J. stated that the rule about instantaneous communications between the parties is different from the rule about the post. The contract is only complete when the acceptance is



received by the offeror: and the contract is made at the place where the acceptance is received. The contract was made in London where the acceptance was received. Therefore service could be made outside the jurisdiction.

The Brimnes (1975)

The defendants hired a ship from the plaintiff shipowners. The shipowners complained of a breach of the contract. The shipowners sent a message by Telex, withdrawing the ship from service, between 17.30 and 18.00 on 2 April. It was not until the following morning that the defendants saw the message of withdrawal on the machine.

Edmund-Davies L.J. agreed with the conclusion of the trial judge. The trial judge held that the notice of withdrawal was sent during ordinary business hours, and that he was driven to the conclusion either that the charterers' staff had left the office on April 2 'well before the end of ordinary business hours' or that if they were indeed there, they 'neglected to pay attention to the Telex machine in the way they claimed it was their ordinary practice to do.' He therefore concluded that the withdrawal Telex must be regarded as having been 'received' at 17.45 hours and that the withdrawal was effected at that time.

Note: Although this is a case concerning the termination of a contract, the same rule could apply to the withdrawal and acceptance of an offer.

Brinkibon v Stahag Stahl (1983)

The buyers, an English company, by a telex, sent from London to Vienna, accepted the terms of sale offered by the sellers, an Austrian company. The buyers issued a writ claiming damages for breach of the contract.

The House of Lords held that the service of the writ should be set aside because the contract had not been made within the court's jurisdiction. Lord Wilberforce stated that the present case is, as *Entores* itself, the simple case of instantaneous communication between principals, and, in accordance with the general rule, involves that the contract (if any) was made when and where the acceptance was received. This was in Vienna.

Adams v Lindsell (1818)

2 Sept. The defendant wrote to the plaintiff offering to sell goods asking for a reply "in the course of post"

5 Sept. The plaintiff received the letter and sent a letter of acceptance.

9 Sept. The defendant received the plaintiff's acceptance but on 8 Sept had sold the goods to a third party.

It was held that a binding contract was made when the plaintiff posted the letter of acceptance on 5 Sept, so the defendant was in breach of contract.

Household v Grant (1879)

G applied for shares in the plaintiff company. A letter of allotment of shares was posted but G never received it. When the company went into liquidation G was asked, as a shareholder, to contribute the amount still outstanding on the shares he held. The trial judge found for the plaintiff.

The Court of Appeal affirmed the judgment. The judge LJ stated that "Upon balance of conveniences and inconveniences it seems to me ...it was more consistent with the acts and declarations of the parties in this case to consider the contract complete and absolutely binding on the transmission of the notice of allotment through the post, as the medium of communication that the parties themselves contemplated, instead of postponing its completion until the notice had been received by the defendant."

Holwell Securities v Hughes (1974)

The defendant gave the plaintiff an option to buy property which could be exercised "by notice in writing". The plaintiffs posted a letter exercising this option but the letter was lost in the post and the plaintiffs claimed specific performance. The Court of Appeal held that the option had not been validly exercised. Lawton LJ stated that the plaintiffs were unable to do what the agreement said they were to do, namely, fix the defendant with knowledge that they had decided to buy his property. There was no room for the application of the postal rule since the option agreement stipulated what had to be done to exercise the option.

Tinn v Hoffman (1873)

Acceptance was requested by return of post. Honeyman J said: "That does not mean exclusively a reply by letter or return of post, but you may reply by telegram or by verbal message or by any other means not later than a letter written by return of post."

Yates v Pulleyn (1975)

The defendant granted the plaintiff an option to buy land, exercisable by notice in writing to be sent by "registered or recorded delivery post". The plaintiff sent a letter accepting this offer by ordinary post, which was received by the defendant who refused to accept it as valid.

It was held that this method of acceptance was valid and was no disadvantage to the offeror, as the method stipulated was only to ensure delivery and that had happened.

R v Clarke (1927) (Australia)

The Government offered a reward for information leading to the arrest of certain murderers and a pardon to an accomplice who gave the information. Clarke saw the proclamation. He gave information which led to the conviction of the murderers. He admitted that his only object in doing so was to clear himself of a charge of murder and that he had no intention of claiming the reward at that time. He sued the Crown for the

reward. The High Court of Australia dismissed his claim. Higgins J stated that: "Clarke had seen the offer, indeed; but it



was not present to his mind - he had forgotten it, and gave no consideration to it, in his intense excitement as to his own danger. There cannot be assent without knowledge of the offer; and ignorance of the offer is the same thing whether it is due to never hearing of it or forgetting it after hearing."

Williams v Carwardine (1833)

The defendant offered a reward for information leading to the conviction of a murderer. The plaintiff knew of this offer and gave information that it was her husband after he had beaten her, believing she had not long to live and to ease her conscience. It was held that the plaintiff was entitled to the reward as she knew about it and her motive in giving the information was irrelevant.

TERMINATION OF THE OFFER

Byrne v Van Tienhoven (1880)

1 Oct. D posted a letter offering goods for sale.
8 Oct. D revoked the offer; which arrived on 20
Oct. 11 Oct. P accepted by telegram
15 Oct. P posted a letter confirming acceptance.

It was held that the defendant's revocation was not effective until it was received on 20 Oct. This was too late as the contract was made on the 11th when the plaintiff sent a telegram. Judgment was given for the plaintiffs.

Dickinson v Dodds (1876)

Dodds offered to sell his house to Dickinson, the offer being open until 9am Friday. On Thursday, Dodds sold the house to Allan. Dickinson was told of the sale by Berry, the estate agent, and he delivered an acceptance before 9am Friday. The trial judge awarded Dickinson a decree of specific performance. The Court of Appeal reversed the decision of the judge.

James LJ stated that the plaintiff knew that Dodds was no longer minded to sell the property to him as plainly and clearly as if Dodds had told him in so many words, "I withdraw the offer." This was evident from the plaintiff's own statements. It was clear that before there was any attempt at acceptance by the plaintiff, he was perfectly well aware that Dodds had changed his mind, and that he had in fact agreed to sell the property to Allan. It was impossible, therefore, to say there was ever that existence of the same mind between the two parties which is essential in point of law to the making of an agreement.

Shuey v U.S. (1875)

On 20 April 1865, the Secretary of War published in the public newspapers and issued a proclamation, announcing that liberal rewards will be paid for any information that leads to the arrest of certain named criminals. The proclamation was not limited in

terms to any specific period. On 24 November 1865, the President issued an order revoking the offer of the



reward. In 1866 the claimant discovered and identified one of the named persons, and informed the authorities. He was, at all times, unaware that the offer of the reward had been revoked.

The claimant's petition was dismissed. It was held that the offer of a reward was revoked on 24 November and notice of the revocation was published. It was withdrawn through the same channel in which it was made. It was immaterial that the claimant was ignorant of the withdrawal. The offer of the reward not having been made to him directly, but by means of a published proclamation, he should have known that it could be revoked in the manner in which it was made.

Errington v Errington and Woods (1952)

A father bought a house on mortgage for his son and daughter-in-law and promised them that if they paid off the mortgage, they could have the house. They began to do this but before they had finished paying, the father died. His widow claimed the house. The daughter-in-law was granted possession of the house by the trial judge and the Court of Appeal.

Denning LJ stated: "The father's promise was a unilateral contract - a promise of the house in return for their act of paying the instalments. It could not be revoked by him once the couple entered on performance of the act, but it would cease to bind him if they left it incomplete and unperformed, which they have not done. If that was the position during the father's lifetime, so it must be after his death. If the daughter-in-law continues to pay all the building society instalments, the couple will be entitled to have the property transferred to them as soon as the mortgage is paid off; but if she does not do so, then the building society will claim the instalments from the father's estate and the estate will have to pay them. I cannot think that in those circumstances the estate would be bound to transfer the house to them, any more than the father himself would have been."

Daulia v Four Millbank Nominees (1978)

The defendant offered to sell property to the plaintiff. The parties agreed terms and agreed to exchange contracts. The defendant asked the plaintiff to attend at the defendant's office to exchange. The plaintiff attended but the defendant sold to a third party for a higher price. It was held that the contract fell foul of s40(1) Law of property Act 1925 and the plaintiff's claim was struck out. However, Goff L.J. stated obiter:

In unilateral contracts the offeror is entitled to require full performance of the condition imposed otherwise he is not bound. That must be subject to one important qualification - there must be an implied obligation on the part of the offeror not to prevent the condition being satisfied, an obligation which arises as soon as the offeree starts to perform. Until then the offeror can revoke the whole thing, but once the offeree has embarked on performance, it is too late for the offeror to revoke his offer.

Ramsgate v Montefiore (1866)

On 8 June, the defendant offered to buy shares in the plaintiff company. On 23 Nov, the



plaintiff accepted but the defendant no longer wanted them and refused to pay. It was held that the six-month delay between the offer in June and the acceptance in November was unreasonable and so the offer had 'lapsed', ie it could no longer be accepted and the defendant was not liable for the price of the shares.

Financings Ltd v Stimson (1962)

The defendant at the premises of a dealer signed a form by which he offered to take a car on HP terms from the plaintiffs. He paid a deposit and was allowed to take the car away. He was dissatisfied with it and returned it to the dealer, saying he did not want it. The car was stolen from the dealer's premises and damaged. The plaintiffs, not having been told that the defendant had returned the car, signed the HP agreement.

It was held by the Court of Appeal (a) that the defendant had revoked his offer by returning the car to the dealer. (b) In view of an express provision in the form of the contract that the defendant had examined the car and satisfied himself that it was in good order and condition, the offer was conditional on the car remaining in substantially the same condition until the moment of acceptance. That condition not being fulfilled, the acceptance was invalid.

Bradbury v Morgan (1862)

JM Leigh requested Bradbury & Co to give credit to HJ Leigh, his brother. JM Leigh guaranteed his brother's account to the extent of £100. Bradbury thereafter credited HJ Leigh in the usual way of their business. JM Leigh died but Bradbury, having no notice or knowledge of his death, continued to supply HJ Leigh with goods on credit. JM Leigh's executors (Morgan) refused to pay, arguing that they were not liable as the debts were contracted and incurred after the death of JM Leigh and not in his lifetime. Judgment was given for the plaintiffs, Bradbury.

CONSIDERATION

INTRODUCTION

The mere fact of agreement alone does not make a contract. Both parties to the contract must provide consideration if they wish to sue on the contract. This means that each side must promise to give or do something for the other. (Note: if a contract is made by deed, then consideration is not needed.)

For example, if one party, A (the promisor) promises to mow the lawn of another, B (the promisee), A's promise will only be enforceable by B as a contract if B has provided consideration. The consideration from B might normally take the form of a payment of money but could consist of some other service to which A might agree. Further, the promise of a money payment or service in the future is just as sufficient a consideration as payment itself or the actual rendering of the service. Thus the promisee has to give

something in return for the promise of the promisor in order to convert a bare promise made in his favour into a binding



contract.

DEFINITION

Lush J. in *Currie v Misa* (1875) LR 10 Exch 153 referred to consideration as consisting of a detriment to the promisee or a benefit to the promisor:

"... some right, interest, profit or benefit accruing to one party, or some forbearance, detriment, loss or responsibility given, suffered or undertaken by the other."

The definition given by Sir Frederick Pollock, approved by Lord Dunedin in *Dunlop v Selfridge Ltd* [1915] AC 847, is as follows:

"An act or forbearance of one party, or the promise thereof, is the price for which the promise of the other is bought, and the promise thus given for value is enforceable."

TYPES OF CONSIDERATION

1. EXECUTORY CONSIDERATION

Consideration is called "executory" where there is an exchange of promises to perform acts in the future, eg a bilateral contract for the supply of goods whereby A promises to deliver goods to B at a future date and B promises to pay on delivery. If A does not deliver them, this is a breach of contract and B can sue. If A delivers the goods his consideration then becomes executed.

2. EXECUTED CONSIDERATION

If one party makes a promise in exchange for an act by the other party, when that act is completed, it is executed consideration, eg in a unilateral contract where A offers £50 reward for the return of her lost handbag, if B finds the bag and returns it, B's consideration is executed.

RULES GOVERNING CONSIDERATION

1. CONSIDERATION MUST NOT BE PAST

If one party voluntarily performs an act, and the other party then makes a promise, the consideration for the promise is said to be in the past. The rule is that past consideration is no consideration, so it is not valid and cannot be used to sue on a contract. For example, A gives B a lift home in his car. On arrival B promises to give A £5 towards the petrol. A cannot enforce this promise as his consideration, giving B a lift, is past. See:

Re McArdle [1951] 1 All ER 905.

EXCEPTIONS TO THIS RULE:

(A) PREVIOUS REQUEST

If the promisor has previously asked the other party to provide goods or services, then a promise made after they are provided will be treated as binding. See:

Lamplough v Braithwait (1615) Hob 105.

(B) BUSINESS SITUATIONS

If something is done in a business context and it is clearly understood by both sides that it will be paid for, then past consideration will be valid. See:

Re Casey's Patents [1892] 1 Ch 104.

Note: The principles in Lamplough v Braithwait as interpreted in Re Casey's Patents were applied by the Privy Council in:

Pao On v Lau Yiu Long [1980] AC 614

(C) THE BILLS OF EXCHANGE ACT 1882

Under s27(1) it is provided that any antecedent debt or liability is valid consideration for a bill of exchange. For example, A mows B's lawn and a week later B gives A a cheque for £10. A's work is valid consideration in exchange for the cheque.

2. CONSIDERATION MUST BE SUFFICIENT BUT NEED NOT BE ADEQUATE

Providing consideration has some value, the courts will not investigate its adequacy. Where consideration is recognised by the law as having some value, it is described as "real" or "sufficient" consideration. The courts will not investigate contracts to see if the parties have got equal value. See:

Chappell & Co Ltd v Nestle Co Ltd [1959] 2 All ER 701.

3. CONSIDERATION MUST MOVE FROM THE PROMISEE

The person who wishes to enforce the contract must show that they provided consideration; it is not enough to show that someone else provided consideration. The promisee must show that consideration "moved from" (ie, was provided by) him. The consideration does not have to move to the promisor. If there are three parties involved, problems may arise. See:

Price v Easton (1833) 4 B & Ad 433

4. FOREBEARANCE TO SUE

If one person has a valid claim against another (in contract or tort) but promises to forbear from enforcing it, that will constitute valid consideration if made in return for a promise by the other to settle the claim. See:

Alliance Bank v Broom (1864) 2 Dr & Sm 289.

5. EXISTING PUBLIC DUTY

If someone is under a public duty to do a particular task, then agreeing to do that task is not sufficient consideration for a contract. See:

Collins v Godefroy (1831) 1 B & Ad 950.

If someone exceeds their public duty, then this may be valid consideration. See:

Glassbrooke Bros v Glamorgan County Council [1925] AC 270.

6. EXISTING CONTRACTUAL DUTY

If someone promises to do something they are already bound to do under a contract, that is not valid consideration. Contrast:

Stilk v Myrick (1809) 2 Camp 317.
Hartley v Ponsonby (1857) 7 E & B 872.

The principle set out in *Stilk v Myrick* was amended by the following case. Now, if the performance of an existing contractual duty confers a practical benefit on the other party this can constitute valid consideration. See:

Williams v Roffey Bros Ltd [1990] 1 All ER 512.

7. EXISTING CONTRACTUAL DUTY OWED TO A THIRD PARTY

If a party promises to do something for a second party, but is already bound by a contract to do this for a third party, this is good consideration. See:

Scotson v Pegg (1861) 6 H & N 295.

8. PART PAYMENT OF A DEBT

See next handout for details.

CASES ON CONSIDERATION

Re McArdle (1951)

A wife and her three grown-up children lived together in a house. The wife of one of the children did some decorating and later the children promised to pay her £488 and they signed a document to this effect.

It was held that the promise was unenforceable as all the work had been done before the promise was made and was therefore past consideration.

Lampleigh v Braithwait (1615)

Braithwait killed someone and then asked Lampleigh to get him a pardon. Lampleigh got the pardon and gave it to Braithwait who promised to pay Lampleigh £100 for his trouble.

It was held that although Lampleigh's consideration was past (he had got the pardon) Braithwaite's promise to pay could be linked to Braithwaite's earlier request and treated as one agreement, so it could be implied at the time of the request that Lampleigh would be paid.

Re Casey's Patent (1892)

A and B owned a patent and C was the manager who had worked on it for two years. A and B then promised C a one-third share in the invention for his help in developing it. The patents were transferred to C but A and B then claimed their return.

It was held that C could rely on the agreement. Even though C's consideration was in the past, it had been done in a business situation, at the request of A and B and it was understood by both sides that C would be paid and the subsequent promise to pay merely fixed the amount.

Pao On v Lau Yiu Long

(1980) Lord Scarman said:

"An act done before the giving of a promise to make a payment or to confer some other benefit can sometimes be consideration for the promise. The act must have been done at the promisors' request: the parties must have understood that the act was to be remunerated either by a payment or the conferment of some other benefit: and payment, or the conferment of a benefit, must have been legally enforceable had it been promised in advance."

Chapple v Nestle (1959)

Nestle were running a special offer whereby members of the public could obtain a music record by sending off three wrappers from Nestle's chocolate bars plus some money. The copyright to the records was owned by Chapple, who claimed that there had been breaches of their copyright. The case turned round whether the three wrappers were part of the consideration. It was held that they were, even though they were then thrown away when received.

Price v Easton (1833)

Easton made a contract with X that in return for X doing work for him, Easton would pay Price £19. X did the work but Easton did not pay, so Price sued. It was held that Price's claim must fail, as he had not provided consideration.

Alliance Bank v Broom (1864)

The defendant owed an unsecured debt to the plaintiffs. When the plaintiffs asked for some security, the defendant promised to provide some goods but never produced them. When the



plaintiffs tried to enforce the agreement for the security, the defendant argued that the plaintiffs had not provided any consideration.

It was held that normally in such a case, the bank would promise not to enforce the debt, but this was not done here. By not suing, however, the bank had shown forbearance and this was valid consideration, so the agreement to provide security was binding.

Collins v Godefroy (1831)

Godefroy promised to pay Collins if Collins would attend court and give evidence for Godefroy. Collins had been served with a subpoena (ie, a court order telling someone they must attend). Collins sued for payment. It was held that as Collins was under a legal duty to attend court he had not provided consideration. His action therefore failed.

Glassbrooke v GCC (1925)

The police were under a duty to protect a coal mine during a strike, and proposed mobile units. The mine owner promised to pay for police to be stationed on the premises. The police complied with this request but when they claimed the money, the mine owner refused to pay saying that the police had simply carried out their public duty.

It was held that although the police were bound to provide protection, they had a discretion as to the form it should take. As they believed mobile police were sufficient, they had acted over their normal duties. The extra protection was good consideration for the promise by the mine owner to pay for it and so the police were entitled to payment.

Stilk v Myrick (1809)

Two out of eleven sailors deserted a ship. The captain promised to pay the remaining crew extra money if they sailed the ship back, but later refused to pay.

It was held that as the sailors were already bound by their contract to sail back and to meet such emergencies of the voyage, promising to sail back was not valid consideration. Thus the captain did not have to pay the extra money.

Hartley v Ponsonby (1857)

When nineteen out of thirty-six crew of a ship deserted, the captain promised to pay the remaining crew extra money to sail back, but later refused to pay saying that they were only doing their normal jobs. In this case, however, the ship was so seriously undermanned that the rest of the journey had become extremely hazardous.

It was held that sailing the ship back in such dangerous conditions was over and above their normal duties. It discharged the sailors from their existing contract and left them free to enter into a new contract for the rest of the voyage. They were therefore entitled

to the money.

Williams v Roffey (1990)



Roffey had a contract to refurbish a block of flats and had sub-contracted the carpentry work to Williams. After the work had begun, it became apparent that Williams had underestimated the cost of the work and was in financial difficulties. Roffey, concerned that the work would not be completed on time and that as a result they would fall foul of a penalty clause in their main contract with the owner, agreed to pay Williams an extra payment per flat. Williams completed the work on more flats but did not receive full payment. He stopped work and brought an action for damages. In the Court of Appeal, Roffey argued that Williams was only doing what he was contractually bound to do and so had not provided consideration.

It was held that where a party to an existing contract later agrees to pay an extra "bonus" in order to ensure that the other party performs his obligations under the contract, then that agreement is binding if the party agreeing to pay the bonus has thereby obtained some new practical advantage or avoided a disadvantage. In the present case there were benefits to Roffey including (a) making sure Williams continued his work, (b) avoiding payment under a damages clause of the main contract if Williams was late, and (c) avoiding the expense and trouble of getting someone else. Therefore, Williams was entitled to payment.

Scotson v Pegg (1861)

Scotson contracted to deliver coal to X, or to X's order. X sold the coal to Pegg and ordered Scotson to deliver the coal to Pegg. Then Pegg promised Scotson that he would unload it at a fixed rate. In an action by Scotson to enforce Pegg's promise, Pegg argued that the promise was not binding because Scotson had not provided consideration as Scotson was bound by his contract with X (a third party) to deliver the coal.

It was held that Scotson's delivery of coal (the performance of an existing contractual duty to a third party, X) was a benefit to Pegg and was valid consideration. It could also been seen as a detriment to Scotson, as they could have broken their contract with X and paid damages.

PART-PAYMENT OF DEBTS

THE GENERAL RULE

If one person owes a sum of money to another and agrees to pay part of this in full settlement, the rule at common law (the rule in Pinnel's Case (1602) 5 CoRep 117a) is that part-payment of a debt is not good consideration for a promise to forgo the balance. Thus, if A owes B £50 and B accepts £25 in full satisfaction on the due date, there is nothing to prevent B from claiming the balance at a later date, since there is no consideration proceeding from A to enforce the promise of B to accept part-payment. This is because he is already bound to pay the full amount, an agreement based on the same principle as *Stilk v Myrick* (1809). It also protects a creditor from the economic duress of his debtor.

In Pinnel's Case (1602), Cole owed Pinnel £8-10s-0d (£8.50) which was due on 11 November. At Pinnel's request, Cole paid £5-2s-2d (£5.11) on 1 October, which Pinnel accepted in full settlement of the debt. Pinnel sued Cole for the amount owed. It was held that part-payment in



itself was not consideration. However, it was held that the agreement to accept part-payment would be binding if the debtor, at the creditor's request, provided some fresh consideration. Consideration might be provided if the creditor agrees to accept:

- * part-payment on an earlier date than the due date (ie, as in Pinnel's Case itself); or
- * chattel instead of money (a "horse, hawk or robe" may be more beneficial than money); or
- * part-payment in a different place to that originally specified.

Despite its harshness the rule in Pinnel's Case was affirmed by the House of Lords and still represents the law:

In *Foakes v Beer* (1884) 9 App Cas 605, Mrs Beer had obtained judgment for a debt against Dr Foakes, who subsequently asked for time to pay. She agreed that she would take no further action in the matter provided that Foakes paid £500 immediately and the rest by half-yearly instalments of £150. Foakes duly kept to his side of the agreement. Judgment debts, however, carry interest. The House of Lords held that Mrs Beer was entitled to the £360 interest which had accrued. Foakes had not "bought" her promise to take no further action on the judgment. He had not provided any consideration.

The rule was recently applied by the Court of Appeal:

In *Re Selectmove* [1995] 2 All ER 531, Selectmove owed arrears of tax to the Inland Revenue. The IR was in a position to put Selectmove into liquidation because it was unable to meet its liabilities. There was a meeting at which Selectmove proposed to pay all future tax as and when it fell due and that it would pay off the arrears at the rate of £1,000 a month commencing the following February. The Collector of Taxes informed Selectmove that this proposal would need approval of his superiors; and that he would get back to them if it was not acceptable.

Sometime later the IR commenced liquidation proceedings which Selectmove resisted, relying upon the agreement made at the meeting in July.

The Court of Appeal held, dismissing the defence (1) that a promise to pay a sum which the debtor was already bound to pay was not good consideration; (2) any promise made by the Collector of Taxes was made without actual or ostensible authority. Selectmove's attempt to use the notion in *Williams v Roffey Bros* (1990) failed as it was held that it was applicable only where the existing obligation which is pre-promised is one to supply goods or services, not where it is an obligation to pay money.

More recent cases include:

Ferguson v Davies (1996) *The Independent* December 12th
1996 Re C (a Debtor) [1996] BPLR 535

EXCEPTIONS TO THE RULE

Apart from the exceptions to the rule mentioned in Pinnel's Case itself, there are two others at common law and one exception in equity.



A) PART-PAYMENT OF THE DEBT BY A THIRD PARTY

A promise to accept a smaller sum in full satisfaction will be binding on a creditor where the part-payment is made by a third party on condition that the debtor is released from the obligation to pay the full amount. See:

Hirachand Punamchand v Temple [1911] 2 KB 330 - A father paid a smaller sum to a money lender to pay his son's debts, which the money lender accepted in full settlement. Later the money lender sued for the balance. It was held that the part-payment was valid consideration, and that to allow the moneylender's claim would be a fraud on the father.

B) COMPOSITION AGREEMENTS

The rule does not apply to composition agreements. This is an agreement between a debtor and a group of creditors, under which the creditors agree to accept a percentage of their debts (eg, 50p in the pound) in full settlement. Despite the absence of consideration, the courts will not allow an individual creditor to sue the debtor for the balance: *Wood v Robarts* (1818). The reason usually advanced for this rule is that to allow an individual creditor to claim the balance would amount to a fraud on the other creditors who had all agreed to the percentage.

C) PROMISSORY ESTOPPEL

This is the name that has been given to the equitable doctrine which has as its principal source the obiter dicta of Denning J in *High Trees House Ltd* [1947] (see below)

PROMISSORY ESTOPPEL

A further exception to the rule in *Pinnel's Case* is to be found in the equitable doctrine of promissory estoppel. The doctrine provides a means of making a promise binding, in certain circumstances, in the absence of consideration. The principle is that if someone (the promisor) makes a promise, which another person acts on, the promisor is stopped (or estopped) from going back on the promise, even though the other person did not provide consideration (in so far as is it is inequitable to do so).

DEVELOPMENT

The modern doctrine is largely based on dicta of Denning J in *Central London Property Trust Ltd v High Trees House Ltd* [1947] 1 KB 130 and on the decision of the House of Lords in *Tool Metal Manufacturing Co Ltd v Tungsten Electric Co Ltd* [1955] 1 WLR 761 and can be traced to *Hughes v Metropolitan Railway* (1877) 2 App Cas 439.

(a) *Hughes Case* (1877) - In October a landlord gave his tenant six months notice to repair and in the event of a failure to repair, the lease would be forfeited. In November the landlord opened negotiations for the sale of the premises, but these ended in December without agreement. Meanwhile the tenant had not done the repairs and when the six months period was up, the landlord sought possession.

The House of Lords held that the landlord could not do so. The landlord had, by his conduct,

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led the tenant to suppose that as long as negotiations went on, the landlord would not enforce the notice. He could not subsequently take advantage of the tenant relying on this. Therefore, the notice did not run during the period of negotiations. However, the six month period would begin to run again from the date of the breakdown of negotiations.

(b) High Trees (1947) - In 1937 the Ps granted a 99 year lease on a block of flats in London to the Ds at an annual rent of £2500. Because of the outbreak of war in 1939, the Ds could not get enough tenants and in 1940 the Ps agreed in writing to reduce the rent to £1250. After the war in 1945 all the flats were occupied and the Ps sued to recover the arrears of rent as fixed by the 1937 agreement for the last two quarters of 1945.

Denning J held that they were entitled to recover this money as their promise to accept only half was intended to apply during war conditions. This is the ratio decidendi of the case. He stated obiter, that if the Ps sued for the arrears from 1940-45, the 1940 agreement would have defeated their claim. Even though the Ds did not provide consideration for the Ps' promise to accept half rent, this promise was intended to be binding and was acted on by the Ds. Therefore the Ps were estopped from going back on their promise and could not claim the full rent for 1940-45.

(c) Tool Metal Case (1955) - see below.

Thus it seems that if a person promises that he will not insist on his strict legal rights, and the promise is acted upon, then the law will require the promise to be honoured even though it is not supported by consideration.

REQUIREMENTS

The exact scope of the doctrine of promissory estoppel is a matter of debate but it is clear that certain requirements must be satisfied before the doctrine can come into play:

(A) CONTRACTUAL/LEGAL RELATIONSHIP

All the cases relied on by Denning J in High Trees House were cases of contract. However, in Durham Fancy Goods v Michael Jackson (Fancy Goods) [1968] 2 QB 839, Donaldson J said that an existing contractual relationship was not necessary providing there was "a pre-existing legal relationship which could, in certain circumstances, give rise to liabilities and penalties".

(B) PROMISE

There must be a clear and unambiguous statement by the promisor that his strict legal rights will not be enforced, ie one party must make a promise which is intended to be binding: The Scaptrade [1983] QB 529. However, it can be implied or made by conduct as in the Hughes Case (1877).

(C) RELIANCE

The promisee must have acted in reliance on the promise. There is some uncertainty as to whether the promisee (i) should have relied on the promise by changing his position to their



detriment (ie, so that he is put in a worse position if the promise is revoked): *Ajayi v Briscoe* [1964] 1 WLR 1326, or (ii) whether they should have merely altered their position in some way, not necessarily for the worse.

In *Alan Co Ltd v El Nasr Export & Import Co* [1972] 2 QB 189, Lord Denning disclaimed detriment as an element of promissory estoppel, saying it was sufficient if the debtor acted on the promise by paying the lower sum. He said that "he must have been led to act differently from what he otherwise would have done".

(D) INEQUITABLE TO REVERT

It must be inequitable for the promisor to go back on his promise and revert to his strict legal rights. If the promisor's promise has been extracted by improper pressure it will not be inequitable for the promisor to go back on his promise. See:

D & C Builders v Rees [1965] 2 QB 617 - The Ps, a small building company, had completed some work for Mr Rees for which he owed the company £482. For months the company, which was in severe financial difficulties, pressed for payment. Eventually, Mrs Rees, who had become aware of the company's problems, contacted the company and offered £300 in full settlement. She added that if the company refused this offer they would get nothing. The company reluctantly accepted a cheque for £300 "in completion of the account" and later sued for the balance. The Court of Appeal held that the company was entitled to succeed. Lord Denning was of the view that it was not inequitable for the creditors to go back on their word and claim the balance as the debtor had acted inequitably by exerting improper pressure.

(E) A SHIELD OR A SWORD?

At one point it was said in *Coombe v Coombe* [1951] 2 KB 215 that the doctrine may only be raised as a defence: "as a shield and not a sword". It was held that the doctrine cannot be raised as a cause of action. This means that the doctrine only operates as a defence to a claim and cannot be used as the basis for a case. However, this was doubted in *Re Wyven Developments* [1974] 1 WLR 1097 by Templeman J, who appeared to think that this was no longer the case and that it could create rights. Lord Denning in *Evenden v Guildford City AFC* [1975] QB 917 also adopted this approach.

(F) EXTINCTIVE OR SUSPENSIVE OF RIGHTS?

Another question raised by this doctrine is whether it extinguishes rights or merely suspends them. The prevalent authorities are in favour of it merely suspending rights, which can be revived by giving reasonable notice or by conditions changing.

(a) Where the debtor's contractual obligation is to make periodic payments, the creditor's right to receive payments during the period of suspension may be permanently extinguished, but the creditor may revert to their strict contractual rights either upon giving reasonable notice, or where the circumstances which gave rise to the promise have changed as in *High Trees*. See:

Tool Metal Case (1955) - Patent owners promised to suspend periodic payments of

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compensation due to them from manufacturers from the outbreak of war. It was held by the House of Lords that the promise was binding during the period of suspension, but the owners could, on giving reasonable notice to the other party, revert to their legal entitlement to receive the compensation payments.

(b) It is not settled law that there can be no such resumption of payments in relation to a promise to forgo a single sum. In *D & C Builders*, which concerned liability for a single lump sum, Lord Denning expressed obiter that the court would not permit the promisor to revert to his strict legal right and that the estoppel would be final and permanent if the promise was intended and understood to be permanent in effect.

The preferred approach is to look at the nature of the promise: if as in *High Trees and Tool Metal*, it is intended to be temporary in application and to reserve to the promisor the right subsequently to reassert his strict legal rights, the effect will be suspensive only; and if on the other hand, it is intended to be permanent (as envisaged in *D & C Builders*), then there is no reason why in principle or authority the promise should not be given its full effect so as to extinguish the promisor's right.

INTENTION TO CREATE LEGAL RELATIONS

INTRODUCTION

The parties must intend the agreement to be legally binding. But how can the court find out what is in the parties' minds? The nearest the courts can get to discover this intention is to apply an objective test and judge the situation by what was said and done. The law divides agreements into two groups, social & domestic agreements and business agreements.

SOCIAL & DOMESTIC AGREEMENTS

This group covers agreements between family members, friends and workmates. The law presumes that social agreements are not intended to be legally binding. See, for example:

Lens v Devonshire Club (1914) *The Times*, December 4.

However, if it can be shown that the transaction had the opposite intention, the court may be prepared to rebut the presumption and to find the necessary intention for a contract. The cases show it is a difficult task to rebut such a presumption.

Agreements between a husband and wife living together as one household are presumed not to be intended to be legally binding, unless the agreement states to the contrary. See:

Balfour v Balfour [1919] 2 KB 571.

The presumption against a contractual intention will not apply where the spouses are not

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living together in amity at the time of the agreement. See:

Merritt v Merritt [1970] 2 All ER 760.

If a social agreement will have serious consequences for the parties, this may rebut the presumption. See:

Parker v Clarke [1960] 1 All ER 93.

Tanner v Tanner [1975] 1 WLR 1346.

It seems that agreements of a domestic nature between parent and child are likewise presumed not to be intended to be binding. See:

Jones v Padavatton [1969] 2 All ER 616.

Where the parties to the agreement share a household but are not related, the court will examine all the circumstances. See:

Simpkins v Pays [1955] 3 All ER 10.

BUSINESS/COMMERCIAL AGREEMENTS

In business agreements the presumption is that the parties intend to create legal relations and make a contract. This presumption can be rebutted by the inclusion of an express statement to that effect in the agreement. See:

Rose and Frank Co v Crompton Bros Ltd [1925] AC 445.

Similarly, football pools stated to be "binding in honour only" are not legal contracts so that a participant may not recover his winnings. See:

Jones v Vernons Pools [1938] 2 All ER 626.

Contractual intention may be negated by evidence that "the agreement was a goodwill agreement ...made without any intention of creating legal relations": Orion Insurance v Sphere Drake Insurance [1990] 1 Lloyd's Rep 465.

If a clause is put in an agreement and the clause is ambiguous then the courts will intervene and interpret it. See:

Edwards v Skyways [1964] 1 All ER 494.

Contractual intention may be negated by the vagueness of a statement or promise.

See: JH Milner v Percy Bilton [1966] 1 WLR 1582.

There are situations where it would appear at first sight that the parties had entered

into a

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commercial agreement, but, nevertheless, a contract is not created:

1. MERE PUFFS

For the purposes of attracting custom, tradesmen may make vague exaggerated claims in adverts. Such statements are essentially statements of opinion or "mere puff" and are not intended to form the basis of a binding contract. By contrast, more specific pledges such as, "If you can find the same holiday at a lower price in a different brochure, we will refund you the difference", are likely to be binding (See *Carlill's Case* [1893]).

A statement will not be binding if the court considers that it was not seriously

meant. See: *Weeks v Tybald* (1605) Noy 11.
Heilbut, Symons & Co v Buckleton (1913)

2. LETTERS OF COMFORT

This is a document supplied by a third party to a creditor, indicating a concern to ensure that a debtor meets his obligations to the creditor. Depending on the terms, such letters may be either binding contracts or informal and uncertain assurances resting entirely upon business goodwill. See

Kleinwort Benson v Malaysia Mining Corp [1989] 1 All ER 785.

3. LETTERS OF INTENT

This is a device by which one person indicates to another that he is likely to place a contract with him, but is not yet ready to be bound. A typical example of a situation where a letter of intent might be provided is where a main contractor is preparing a tender and he plans to sub- contract some of the work. He would need to know the cost of the sub-contracted work in order to calculate his own tender, but would not want to be committed to that sub-contractor until he knows whether his tender has been successful. In these circumstances, the main contractor writes to tell the sub-contractor that he has been chosen.

Where the language of such a letter does not negative contractual intention, the courts can hold the parties to be bound by the document. They will be inclined to do so where the parties have acted on the document for a long period of time or have expended considerable sums of money in reliance on it (*Turiff Construction v Regalia Knitting Mills* (1971) 22 EG 169 - letter of intent held to be a collateral contract for preliminary work).

4. COLLECTIVE AGREEMENTS

This is an agreement between a trade union and an employer regulating rates of pay and conditions of work. Section 179 of the Trade Union and Labour Relations (Consolidation) Act 1992 states that such agreements are not intended to be legally enforceable unless they are written and expressly affirm that they are to be binding.

"FREE" GIFTS

This section is for 'A' Level students as this issue has appeared on 'A' Level Law exam papers, but may also be of interest to ILEX students. Consider the following extract from John N. Adams & Roger Brownsword, *Understanding Contract Law*, Third Edition, p36-7:

"...in *Esso Petroleum Co. Ltd v Customs and Excise Commissioners* (1976), the question was whether Esso were liable to pay purchase tax on some promotional World Cup coins (advertised as "free" at Esso garages at the rate of one coin to every four gallons of petrol purchased). For reasons which need not detain us, this question hinged on whether the coins were sold to the motorist. To this apparently simple question three different answers were offered.

One view (taken by the trial judge, Pennycuik V.-C., and by Lord Fraser who dissented in the House of Lords) was that the motorist had a straightforward contract for the coins as part of the undisputed contract for the purchase of petrol.

A second view (supported by the three members of the Court of Appeal, and by Viscount Dilhorne and Lord Russell in the House of Lords) was that the motorist had no contract for the coins, the coins being a gift. According to this interpretation, the promise to deliver the coins was not binding on Esso.

The third view (relied upon by Lords Wilberforce and Simon in the House of Lords, and given as an alternative interpretation by Lord Denning M.R. in the Court of Appeal and by Viscount Dilhorne and Lord Russell in the House of Lords) was that there were two contracts involved in the transaction: one a straightforward contract for the purchase of the petrol, and the other a so-called "collateral contract" concerning the coins. The terms of the suggested "collateral contract" concerning the coins were to the effect that the garage promised to give the motorist a coin in return for the motorist entering into a contract to buy four gallons of petrol, not, it should be noted, in return for the motorist promising to pay money for the coins as such. Although this collateral contract analysis treated the coins as the subject matter of a contract, it was agreed that under the definition of a "contract of sale goods" in the (then applicable) Sale of Goods Act 1893, this was not a contract of sale since the consideration for the coins under the contract was not money.

The upshot of this confusing saga was that the coins could be seen as the subject matter of a contract of sale (the first view above), or as a gift (the second view above), or as the subject matter of a contract which was not a contract of sale (the third view above). On the first view, Esso lost, but on either of the other two views, which were the views which prevailed, Esso won."

CASES ON INTENTION

SOCIAL & DOMESTIC AGREEMENTS

Lens v Devonshire Club (1914)

It was held that the winner of a competition held by a golf club could not sue for his prize where "no one concerned with that competition ever intended that there should be any legal results flowing from the conditions posted and the acceptance by the competitor of those conditions".

Balfour v Balfour (1919)

The defendant who worked in Ceylon, came to England with his wife on holiday. He later returned to Ceylon alone, the wife remaining in England for health reasons. The defendant promised to pay the plaintiff £30 per month as maintenance, but failed to keep up the payments when the marriage broke up. The wife sued. It was held that the wife could not succeed because: (1) she had provided no consideration for the promise to pay £30; and (2) agreements between husbands and wives are not contracts because the parties do not intend them to be legally binding.

Merrit v Merrit (1970)

The husband left his wife. They met to make arrangements for the future. The husband agreed to pay £40 per month maintenance, out of which the wife would pay the mortgage. When the mortgage was paid off he would transfer the house from joint names to the wife's name. He wrote this down and signed the paper, but later refused to transfer the house.

It was held that when the agreement was made, the husband and wife were no longer living together, therefore they must have intended the agreement to be binding, as they would base their future actions on it. This intention was evidenced by the writing. The husband had to transfer the house to the wife.

Parker v Clarke (1960)

Mrs Parker was the niece of Mrs Clarke. An agreement was made that the Parkers would sell their house and live with the Clarks. They would share the bills and the Clarks would then leave the house to the Parkers. Mrs Clarke wrote to the Parkers giving them the details of expenses and confirming the agreement. The Parkers sold their house and moved in. Mr Clarke changed his will leaving the house to the Parkers. Later the couples fell out and the Parkers were asked to leave. They claimed damages for breach of contract.

It was held that the exchange of letters showed the two couples were serious and the

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agreement was intended to be legally binding because (1) the Parkers had sold their own home, and (2) Mr Clarke changed his will. Therefore the Parkers were entitled to damages.

Tanner v Tanner (1975)

A man promised a woman that the house in which they had lived together (without being married) should be available for her and the couple's children. It was held that the promise had contractual force because, in reliance on it, the woman had moved out of her rent-controlled flat.

Jones v Padavatton (1969)

In 1962, Mrs Jones offered a monthly allowance to her daughter if she would give up her job in America and come to England and study to become a barrister. Because of accommodation problems Mrs Jones bought a house in London where the daughter lived and received rents from other tenants. In 1967 they fell out and Mrs Jones claimed the house even though the daughter had not even passed half of her exams.

It was held that the first agreement to study was a family arrangement and not intended to be binding. Even if it was, it could only be deemed to be for a reasonable time, in this case five years. The second agreement was only a family agreement and there was no intention to create legal relations. Therefore, the mother was not liable on the maintenance agreement and could also claim the house.

Simpkins v Pays (1955)

The defendant, her granddaughter, and the plaintiff, a paying lodger shared a house. They all contributed one-third of the stake in entering a competition in the defendant's name. One week a prize of £750 was won but on the defendant's refusal to share the prize, the plaintiff sued for a third.

It was held that the presence of the outsider rebutted the presumption that it was a family agreement and not intended to be binding. The mutual arrangement was a joint enterprise to which cash was contributed in the expectation of sharing any prize.

BUSINESS/COMMERCIAL AGREEMENTS

Rose v Crompton Bros (1925)

The defendants were paper manufacturers and entered into an agreement with the plaintiffs whereby the plaintiffs were to act as sole agents for the sale of the defendant's paper in the US. The written agreement contained a clause that it was not entered into as a formal or legal agreement and would not be subject to legal jurisdiction in the courts but was a record of the purpose and intention of the parties to which they honourably pledged themselves, that it would be carried through with mutual loyalty and friendly co-operation. The plaintiffs placed orders for paper which were accepted by the defendants. Before the orders were sent, the

defendants terminated the agency agreement and refused to send the paper.

It was held that the sole agency agreement was not binding owing to the inclusion of the "honourable pledge clause". Regarding the orders which had been placed and accepted, however, contracts had been created and the defendants, in failing to execute them, were in breach of contract.

Jones v Vernon Pools (1938)

The plaintiff claimed to have won the football pools. The coupon stated that the transaction was "binding in honour only". It was held that the plaintiff was not entitled to recover because the agreement was based on the honour of the parties (and thus not legally binding).

Edwards v Skyways (1964)

The plaintiff pilot was made redundant by the defendant. He had been informed by his pilots association that he would be given an ex gratia payment (ie, a gift). The defendant failed to pay and the pilot sued. The defendant argued that the use of the words "ex gratia" showed that there was no intention to create legal relations.

It was held that this agreement related to business matters and was presumed to be binding. The defendants had failed to rebut this presumption. The court also stated that the words "ex gratia" or "without admission of liability" are used simply to indicate that the party agreeing to pay does not admit any pre-existing liability on his part; but he is certainly not seeking to preclude the legal enforceability of the settlement itself by describing the payment as "ex gratia".

JH Milner v Percy Bilton (1966)

A property developer reached an "understanding" with a firm of solicitors to employ them in connection with a proposed development, but neither side entered into a definite commitment. The use of deliberately vague language was held to negative contractual intention.

Weeks v Tybald (1605)

The defendant "affirmed and published that he would give £100 to him that should marry his daughter with his consent." The court held that "It is not reasonable that the defendant should be bound by such general words spoken to excite suitors."

Heilbut, Symons & Co v Buckleton (1913)

The plaintiff said to the defendants' manager that he understood the defendants to be "bringing out a rubber company." The manager replied that they were, on the strength of which statement the plaintiff applied for, and was allotted, shares in the company. It turned out not to be a rubber company and the plaintiff claimed damages, alleging that the defendants had warranted that it was a rubber company. The claim failed as nothing

said by the defendants' manager was intended to have contractual effect.



Kleinwort Benson v Malaysia Mining Corp (1989)

The plaintiff bank agreed with the defendants to lend money to a subsidiary of the defendants. As part of the arrangement, the defendants gave the plaintiffs a letter of comfort which stated that it was the company's policy to ensure that the business of its subsidiary is at all times in a position to meet its liabilities. The subsidiary went into liquidation and the plaintiffs claimed payment from the defendants.

It was held that the letters of comfort were statements of the company's present policy, and not contractual promises as to future conduct. They were not intended to create legal relations, and gave rise to no more than a moral responsibility on the part of the defendants to meet the subsidiary's debt.

Esso Petroleum Ltd v Commissioners of Customs and Excise [1976] 1 All ER 117

In 1970 the taxpayers ('Esso') devised a petrol sales promotion scheme. The scheme involved the distribution of millions of coins to petrol stations which sold Esso petrol. Each of the coins bore the likeness of one of the members of the English soccer team which went to Mexico in 1970 to play in the World Cup competition. The object of the scheme was that petrol station proprietors should encourage motorists to buy Esso petrol by offering to give away a coin for every four gallons of Esso petrol which the motorist bought. The coins were of little intrinsic value but it was hoped that motorists would persist in buying Esso petrol in order to collect the full set of 30 coins. The scheme was extensively advertised by Esso in the press and on television with phrases such as: 'Going free, at your Esso Action Station now', and: 'We are giving you a coin with every four gallons of Esso petrol you buy.' Folders were also circulated by Esso to petrol stations which stated, inter alia: 'One coin should be given to every motorist who buys four gallons of petrol - two coins for eight gallons and so on.' 4,900 petrol stations joined the scheme. Large posters were delivered by Esso to those stations, the most prominent lettering on the posters stating: 'The World Cup coins', 'One coin given with every four gallons of petrol'. The Customs and Excise Commissioners claimed that the coins were chargeable to purchase tax under s2(1) of the Purchase Tax Act 1963 on the ground that they had been 'produced in quantity for general sale' and therefore fell within Group 25 of Sch 1 to the 1963 Act.

Held (Lord Fraser of Tullybelton dissenting) - The coins had not been 'produced ...for ...sale', within Group 25 of Sch 1, and were not therefore chargeable for the following reasons -

- (i) On the basis that the posters and other advertising material constituted an offer by the garage proprietors to enter into a contract with each customer to supply a coin with every four gallons of petrol sold, the contract envisaged was not a contract of 'sale', since the consideration for the transfer of the coins was not a money payment but the undertaking by the customer to enter into a collateral contract to purchase the appropriate quantity of Esso petrol.
- (ii) (per Viscount Dilhorne and Lord Russell of Killowen, Lord Wilberforce and Lord

Simon of Glaisdale dissenting) Furthermore, in the circumstances, and in particular in view of the fact that the coins were of little intrinsic value to customers, it could not be inferred that either

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Esso or the petrol station proprietors on the one hand, or the customers on the other, intended that there should be a legally binding contract to supply the coins to customers who bought the appropriate quantity of petrol. It followed that the coins had been produced for distribution by way of gift and not by way of sale.

INCAPACITY

Extract from JC Smith, Smith & Thomas: A Casebook on Contract, Eleventh Edition, 2000, Chapter 17.

The general rule of English law is that any person is competent to bind himself to any contract he chooses to make, provided that it is not illegal or void for reasons of public policy. (See below, Chapter 19.) At common law there are exceptions to this rule in the case of corporations, minors, married women, mentally incompetent and intoxicated persons. The exceptions are now greatly reduced in scope. A series of statutes from 1870 to 1949 abolished the married woman's disabilities and she now enjoys full contractual capacity. The present state of the other exceptions requires a little further explanation.

(a) CORPORATIONS

A corporation created by Royal Charter has always had the same contractual capacity as an ordinary person but a company incorporated under the Companies Act could, until recently, only make such contracts as were within the scope of the objects set out in its memorandum of association. Anything beyond that was ultra vires and void.

In the leading case of *Ashbury Railway Carriage and Iron Co. Ltd v. Riche* (1875) L.R. 7 H.L. 653 the objects set out in the company's memorandum were "to make and sell, or lend on hire, railway carriages and waggons, and all kinds of railway plant, fittings, machinery and rolling stock; to carry on the business of mechanical engineers and general contractors; to purchase, lease, work and sell mines, minerals, land and buildings; to purchase and sell as merchants, timber, coal, metals, or other materials, and to buy any such materials on commission or as agents." The directors purchased a concession for making a railway in Belgium and purported to contract with Riche that he should have the construction of the line. Riche's action for breach of the alleged contract failed since the House of Lords held that the construction of a railway, as distinct from rolling stock, was ultra vires the company and that therefore the contract was void. Even if every shareholder of the company had expressed his approval of the act, it would have made no difference, for it was an act which the company had no power, in law, to do. Important changes were made by section 108 of the Companies Act 1989, substituting a new section 35 of the Companies Act 1985. Under that new section it remains the duty of the directors to observe any limitations on their powers flowing from the company's memorandum (section 35(3)) and a member of a company may bring proceedings to restrain the doing of an act in excess of those powers (section 35(2)); but, by section 35(1):

"The validity of an act done by a company shall not be called into question on the

ground of lack of capacity by reason of anything in the company's memorandum."



So, by applying the modern law to the Ashbury case, the directors committed a breach of duty by making the contract and might have been restrained by action by a member; but once the contract was made its validity could not be questioned provided that the making of the contract was "an act done by the company." It might be objected that it was not such an act because the directors had no power to make the contract. This objection is met by section 35A(1):

"In favour of a person dealing with a company in good faith, the power of the board of directors to bind the company, or authorise others to do so, shall be deemed to be free of any limitation under the company's constitution."

A person is presumed to have acted in good faith unless the contrary is proved and is not to be regarded as acting in bad faith merely because he knows the act is beyond the directors' powers. An ultra vires act by the directors may now be ratified, but only by special resolution which does not affect any liability incurred by the directors or any other person-any such relief must be agreed to separately by special resolution.

Formerly a corporation's contracts were invalid unless made under the corporate seal but, since the Corporate Bodies' Contracts Act 1960, a corporation may make contracts in the same manner as a natural person-that is the contract may be made orally unless a special rule requires a written contract-as in contracts for the sale or disposition of an interest in land-or evidence in writing-as in the case of a guarantee within section 4 of the Statute of Frauds 1677.

(b) MINORS

At common law persons under the age of 21 were designated "infants" and had only a limited capacity to contract. From January 1, 1970, the Family Law Reform Act 1969 reduced the age of majority to 18 and authorised the term "minor" as an alternative to "infant." "Minor" is now the preferred term. The capacity of a minor to contract is still regulated by the common law, modified by the Minors' Contracts Act 1987 which repealed a troublesome statute, the Infants Relief Act 1874.

The general principle is that a contract made by a minor with an adult is binding on the adult but not on the minor. If, after attaining his majority, he ratifies it by an act confirming the promise he made when a minor, he is bound. There need be no consideration for the act of ratification. A contract by a minor is not void and any money or property transferred by him under the contract can be recovered only if there has been a total failure of consideration. There are three exceptional cases where a minor is to some extent bound.

Necessaries. A minor is bound to pay for necessities supplied to him under a contract. The Sale of Goods Act 1979 s.3, re-enacting the Act of 1893, provides:

"...where necessities are sold and delivered to an infant (or minor) ...he must pay a reasonable price therefor.

'Necessaries' in this section means goods suitable to the condition of life of such infant

(or minor) ...and to his actual requirements at the time of sale and delivery."

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"Necessaries" are those things without which a person cannot reasonably exist and include food, clothing, lodging, education or training in a trade and essential services. The "condition of life" of the minor means his social status and his wealth. What is regarded as necessary for the minor residing in a stately home may be unnecessary for the resident of a council flat. Whatever the minor's status, the goods must be suitable to his actual requirements-if he already has enough fancy waistcoats, more cannot be necessary: *Nash v. Inman* [1908] 2 KB 1, CA.

The nature of the minor's liability for necessary goods is uncertain. The fact that the Sale of Goods Act makes him liable only for goods "sold and delivered" and to pay, not any agreed price, but a reasonable price, suggests quasi-contractual liability-he must pay, not because he has contracted to do so, but because the law requires him to recompense the seller for a benefit conferred and accepted. Some dicta support this view but others treat the minor's liability as contractual. In *Roberts v Gray* [1913] KB 520, CA, a minor was held liable for his failure to perform a contract for a tour with the plaintiff, a noted billiards player. It was a contract for the instruction of the minor. The contract was wholly executory and but it was held that the contract was binding on him from its formation. It may be thought that there is a distinction between necessary goods and necessary services but this is difficult to justify logically or historically. Perhaps the contract in *Roberts v. Gray* belongs more properly to the category of beneficial contracts of service, below.

A contract is not binding on a minor merely because it is proved to be for the minor's benefit; but a contract which would otherwise be binding as a contract for necessities is not so if it contains harsh and onerous terms: *Fawcett v. Smethurst* (1914) 84 LJKB 473, (Atkin J).

Beneficial contracts of service. It is for the minor's benefit that he should be able to obtain employment which would be difficult if he could not make a binding contract. The law allows him to do so, provided that the contract, taken as a whole, is manifestly for his benefit. So where a young railway porter agreed to join an insurance scheme and to forgo any claims he might have under the Employers' Liability Act, he had forfeited his rights under the Act, the contract as a whole being for his benefit: *Clements v London & North Western Railway* [1894] 2 QB 482, CA. Contracts enabling a minor to pursue a career as a professional boxer and as an author have been held binding as being for their benefit.

Acquisition of property with obligations. When a minor acquires "a subject of a permanent nature ...with certain obligations attached to it"-such as a leasehold, or shares in a company-he is bound by the obligations as long as he retains the subject. He must pay the rent or calls on the shares: *London & North Western Railway v M'Michael* (1850) 5 Ex 114. The contract is voidable by the minor-he may repudiate it any time during his minority or within a reasonable time thereafter. It is uncertain whether avoidance here means rescission *ab initio* or avoidance of only future obligations; but, whether it is retrospective or not, it seems that the minor cannot recover money which he has already paid unless there has been a total failure of consideration: *Steinberg v. Scala Ltd* [1923] 2 Ch 452, CA.

Restitution by a minor. Where a minor has obtained property under a contract which is not enforceable against him, the adult party who can neither sue for the price nor get the property back may suffer an injustice. Even where the minor has lied about his age, no action in deceit



will lie because this would, in effect, enable the contract to be enforced against him; and for the same reason it is improbable that the minor would be estopped from asserting his true age. The Minors' Contracts Act 1987, s3, now affords a limited measure of redress. Where a contract made after the commencement of the Act is unenforceable against a defendant because he was a minor when it was made:

"...the court may, if it is just and equitable to do so, require the defendant to transfer to the plaintiff any property acquired by the defendant under the contract or any property representing it."

This may assist the plaintiff where the property is identifiable but where the plaintiff has loaned the money it will usually not be. The plaintiff will then be able to recover in equity only if he is able to prove that he loaned the money for the express purpose of enabling the minor to buy necessities and that he in fact did so: *Lewis v Alleyne* (1888) 4 TLR 560.

The 1987 Act, s3, provides "Nothing in this section shall be taken to prejudice any other remedy available to the plaintiff." The plaintiff might rely on the equitable doctrine which required a fraudulent minor to return property which he had obtained by deception and which was still identifiable in his possession: *R. Leslie Ltd v. Shiell* [1914] 3 KB 607, CA; but it is not clear that there would be any advantage in doing so, since the remedy under section 3 appears to overlap the equitable remedy and does not require proof of fraud.

Guarantee of a minor's contract. Section 2 of the 1987 Act provides that a guarantee of a minor's contract is not unenforceable against the guarantor merely because the contract made by the minor is unenforceable against him on the ground that he is a minor. The section does not apply if the contract made by the minor is unenforceable against him for some other reason, for example misrepresentation or duress by the adult party. In such a case the guarantor would not be bound.

(c) MENTAL INCOMPETENTS

The ancient rule of the common law was that a lunatic could not set up his own insanity (though his heir might) so as to avoid an obligation which he had undertaken. But by 1847 Pollock C.B. was able to say, in delivering the judgment of the Court of Exchequer Chamber in *Moulton v. Camroux*, 2 Ex 487, that "the rule had in modern times been relaxed, and unsoundness of mind would now be a good defence to an action upon a contract, if it could be shown that the defendant was not of the capacity to contract 'and the plaintiff knew it.'" Cf. *Imperial Loan Co. v. Stone* [1892] 1 QB 599, CA. Section 3 of the Sale of Goods Act 1979 makes the same provision for persons who are incompetent to contract by reason of mental incapacity as for minors (see above).

A lunatic so found by inquisition was held to be incapable of making a valid inter vivos disposition of property (although he could make a valid will) since this would be inconsistent with the position of the Crown under the Lunacy Acts: *Re Walker* [1905] 1 Ch 160. Presumably the position of a lunatic so found with respect to contracts not

effecting inter vivos dispositions of his property was the same as that of a lunatic not so found; that is, he would be bound unless he could show that he was not in fact of capacity to contract and that the plaintiff



knew it. The Lunacy Acts have been repealed, but an order under the Mental Health Act 1983, may have the same effect as a finding of lunacy.

(d) INTOXICATED PERSONS

The authorities are scanty; but in *Gore v. Gibson* (1845) 13 M & W 621; 153 ER 260, it was held that a contract made by a person so intoxicated as not to know the consequences of his act is not binding on him if his condition is known to the other party. It appears, however, that such a contract is not void but merely voidable, for it was held in *Matthews v. Baxter* (1873) LR 8 Ex 132 that if the drunken party, upon coming to his senses, ratifies the contract, he is bound by it.

Section 3 of the Sale of Goods Act 1979 makes the same provision for persons who are incompetent to contract by reason of "drunkenness" as for minors and the mentally incompetent. No doubt, the same rule would be applied to persons intoxicated by drugs other than alcoholic drink, either by a broad interpretation of "drunkenness," or at common law.

TERMS OF THE CONTRACT

1. THE PAROL EVIDENCE RULE

The parol evidence rule is that where the record of a transaction is embodied in a document, extrinsic evidence is not generally admissible to vary or interpret the document or as a substitute for it.

According to GH Treitel, *The Law of Contract*, 9th ed. p176, there are obvious grounds of convenience for the application of the parol evidence rule to contracts: certainty is promoted by holding that parties who have reduced a contract to writing should be bound by the writing and by the writing alone. On the other hand, the parol evidence rule will commonly be invoked where a dispute arises after the time of contracting as to what was actually said at that time; and in such cases one of the parties could feel aggrieved if evidence on the point were excluded merely because the disputed term was not set out in the contractual document. Evidence extrinsic to the document is therefore admitted in a number of situations which fall outside the scope of the rule.

EXCEPTIONS TO THE PAROL EVIDENCE RULE:

(A) WRITTEN AGREEMENT NOT THE WHOLE AGREEMENT

If the written agreement was not intended to be the whole contract on which the parties had actually agreed, parol evidence is admissible. See:

Evans v Andrea Merzario [1976] 2 All ER 930.

(B) VALIDITY

Parol evidence may be given about the validity of the contract, eg to establish the presence or



absence of consideration or of contractual intention, or some invalidating cause such as incapacity, misrepresentation, mistake or non est factum.

(C) IMPLIED TERMS

Where the contract is silent on a matter on which a term is normally implied by law, parol evidence may be given to support, or to rebut, the usual implication. See:

Burges v Wickham (1836) 3 B & S 669

(D) OPERATION OF THE CONTRACT

Parol evidence can be used to show that the contract does not yet operate, or that it has ceased to operate. See:

Pym v Campbell (1856) 6 E & B 370.

(E) EVIDENCE AS TO PARTIES

Parol evidence can be used to show in what capacities the parties contracted, eg where a person contracts ostensibly as principal, evidence is admissible to prove that he really acted as another's agent so as to entitle the latter to sue (*Humfrey v Dale* (1857) 7 E & B 266).

(F) AID TO CONSTRUCTION

Where the words of the contract are clear, parol evidence cannot be used to explain their meaning, unless they have a special meaning by custom. Parol evidence can, on the other hand, be used to explain words or phrases which are ambiguous, or which, if taken literally, make no sense, as well as technical terms.

(G) TO PROVE CUSTOM

Evidence of custom is admissible "to annex incidents to written contracts in matters with respect to which they are silent." (*Hutton v Warren* (1836)). Custom can also be used as an aid to construction, eg in *Smith v Wilson* (1832) evidence was admitted of a local custom to show that "1,000 rabbits" meant "1,200 rabbits."

(H) RECTIFICATION

A document may fail in accurately recording the true agreement. Equity allows such a written contract to be rectified by parol evidence. (See handout on Mistake)

(I) COLLATERAL CONTRACT

Even though parol evidence cannot be used to vary or add to the terms of a written contract, it may be possible to show that the parties made two related contracts, one written and the other oral, ie a collateral contract. See:

City & Westminster Properties v Mudd [1959] Ch 129.

The Law Commission (1976) recommended that the rule should be abolished, but by 1986 concluded that it did not stop the courts accepting parol evidence if this was consistent with the intention of the parties.

2a. REPRESENTATIONS AND TERMS

The first step in determining the terms of a contract is to establish what the parties said or wrote. Statements made during the course of negotiations may traditionally be classed as representations or terms and if one turns out to be wrong, the plaintiff's remedy will depend on how the statement is classified:

- A representation is a statement of fact made by one party which induces the other to enter into the contract. If it turns out to be incorrect the innocent party may sue for misrepresentation.
- Breach of a term of the contract entitles the injured party to claim damages and, if he has been deprived substantially what he bargained for, he will also be able to repudiate the contract.
- If a statement is not a term of the principal contract, it is possible that it may be enforced as a collateral contract (which has developed rapidly in the twentieth century as a significant means by which the difficulties of fixing a statement with contractual force may be circumvented).

How can the courts decide whether a statement is a term or a mere representation? It was established in *Heilbut, Symons & Co v Buckleton* [1913] AC 30, that intention is the overall guide as to whether a statement is a term of the contract. In seeking to implement the parties' intentions and decide whether a statement is a term or a mere representation, the courts will consider the following four factors:

(A) TIMING

The court will consider the lapse of time between the making of the statement and the contract's conclusion: if the interval is short the statement is more likely to be a term. See:

Routledge v McKay [1954] 1 WLR 615
Schawel v Reade [1913] 2 IR 64.

(B) IMPORTANCE OF THE STATEMENT

The court will consider the importance of the truth of the statement as a pivotal factor in finalising the contract. The statement may be of such importance that if it had not been made the injured party would not have entered into the contract at all. See:

Bannerman v White (1861) CB(NS) 844
Couchman v Hill [1947] 1 All ER 103.

(C) REDUCTION OF TERMS TO WRITING

The court will consider whether the statement was omitted in a later, formal contract in writing. If the written contract does not incorporate the statement, this would suggest

that the parties did not intend the statement to be a contractual term. See:

Routledge v McKay [1954] 1 WLR 615



Birch v Paramount Estates (1956) 167.

(D) SPECIAL KNOWLEDGE/SKILLS

The court will consider whether the maker of the statement had specialist knowledge or was in a better position than the other party to verify the statement's accuracy. See:

Harling v Eddy [1951] 2 KB 739

Oscar Chess v Williams [1957] 1 All ER 325

Dick Bentley Productions v Harold Smith Motors [1965] 2 All ER 65.

2b. CONDITIONS AND WARRANTIES

Traditionally terms have been divided into two categories: conditions and warranties.

(A) CONDITIONS

A condition is a major term which is vital to the main purpose of the contract. A breach of condition will entitle the injured party to repudiate the contract and claim damages. The injured party may also choose to go on with the contract, despite the breach, and recover damages instead. See:

Poussard v Spiers (1876) 1 QBD 410.

(Note: The word 'condition' also has another meaning. It may mean a stipulation that a contract should not be enforceable except on the happening of a given event, or should be brought to an end on the happening of a given event. The condition is then properly called a 'condition precedent', or a 'condition subsequent' respectively. See Cheshire & Fifoot, p153-4).

(B) WARRANTIES

A warranty is a less important term: it does not go to the root of the contract. A breach of warranty will only give the injured party the right to claim damages; he cannot repudiate the contract. See:

Bettini v Gye (1876) 1 QBD 183.

(C) INTERMEDIATE TERMS

It may be impossible to classify a term neatly in advance as either a condition or a warranty. Some undertakings may occupy an intermediate position, in that the term can be assessed only in the light of the consequences of a breach. If a breach of the term results in severe loss and damage, the injured party will be entitled to repudiate the contract; where the breach involves minor loss, the injured party's remedies will be restricted to damages. These intermediate terms have also become known as innominate terms. See:



The Mihalis Angelos [1971] 1 QB 164
The Hansa Nord [1976] QB 44
Reardon Smith Line v Hansen-Tangen [1976] 3 All ER 570
Bunge Corporation v Tradax Export [1981] 2 All ER 513.

(D) NOTE

If the term is described in the contract as a 'condition' that will not be conclusive. See:

Schuler v Wickman Machine Tools [1974] AC 235.

3. IMPLIED TERMS

In most contracts the primary obligations of the parties are contained in express terms. In addition there are various circumstances in which extra terms may be implied into the agreement.

A) TERMS IMPLIED BY CUSTOM

The terms of a contract may have been negotiated against the background of the customs of a particular locality or trade. The parties automatically assume that their contract will be subject to such customs and so do not deal specifically with the matter in their contract. See:

Hutton v Warren (1836) 1 M&W 466.

B) TERMS IMPLIED BY THE COURT

(i) Intention of the Parties/Terms Implied as Fact

The courts will be prepared to imply a term into a contract in order to give effect to the obvious intentions of the parties. Sometimes the point at issue has been overlooked or the parties have failed to express their intention clearly. In these circumstances, the court will supply a term in the interests of 'business efficacy' so that the contract makes commercial sense. See:

The Moorcock (1889) 14 PD 64.

A more recent test is the 'officious bystander test' used to incorporate implied obvious terms (Shirlaw v Southern Foundries [1940] AC 701). If while the parties were making their contract, an officious bystander were to suggest some express provision, they would both reply, "oh, of course." See, eg:

Wilson v Best Travel [1993] 1 All ER 353.

(ii) Relationship Between the Parties/Terms Implied by Law

In certain relationships and contracts the law seeks to impose a model or standardised

set of terms as a form of regulation. Such terms arising from the relationship between the parties will



be implied as of law. See:

Liverpool City Council v Irwin [1976] 2 All ER 39.

C) TERMS IMPLIED BY STATUTE

See the next Handout for the terms implied under:

- Sections 12, 13, 14 and 15 of the Sale of Goods Act 1979;
- Sections 13, 14 and 15 of the Supply of Goods and Services Act 1982; and
- the relevant provisions of the Sale and Supply of Goods Act 1994.

CASES ON TERMS OF THE CONTRACT

1. THE PAROL EVIDENCE RULE

Evans v Andrea Merzario [1976] 2 All ER 930

The plaintiffs, who had shipped goods for many years with the defendants, who were forwarding agents, agreed to a changeover in the method of shipment to enable goods to be carried in containers stored below deck on the ship. The defendants gave an oral assurance that the goods would be carried below deck on the ship. In fact, goods were carried above deck and the containers were washed overboard in a storm. The printed standard conditions of the forwarding trade enabled the defendants to carry containers above deck if they wished to do so.

It was held that there was a breach of contract and that the defendants could not rely on the written agreement. Lord Denning MR said that the promise to carry goods below deck was an enforceable collateral contract. Roskill and Geoffrey Lane LJJ also thought that the oral assurance was an express term of the contract of carriage, which was partly oral, partly in writing and partly by conduct.

Burgess v Wickham (1836) B&S 669

It was held that a person who takes out a policy of marine insurance can show that the insurer knew the ship to be unseaworthy, and so negative the usual implied warranty of seaworthiness.

Pym v Campbell (1856) 6 E&B 370

A written agreement for the sale of a patent was drawn up, and evidence was admitted of an oral stipulation that the agreement should not become operative until a third party had approved of the invention.

City & Westminster Properties v Mudd [1959] Ch 129

The defendant, who had been a tenant of the premises for six years, had resided at the shop.



When the lease fell for renewal, the plaintiffs inserted a clause for use of the premises to be for business purposes only. The defendant asked if he could sleep there, was told that he could and he signed the lease. Even though this assurance contradicted the lease, evidence of it was held admissible to prove a collateral contract which the tenant could plead in answer to a claim for breach of contract.

2a. REPRESENTATIONS AND TERMS

Routledge v McKay [1954] 1 WLR 615

The defendant stated that a motor cycle, the subject matter of the proposed sale, was a 1942 model. In the written contract, signed a week later, no mention was made of the date of the model. The lapse of a week between the two events weighed with the court as a factor militating against construing the statement as a contractual term. (See further below)

Schawel v Reade [1913] 2 IR 64

The defendant told the plaintiff, who required a horse for stud purposes, that the animal was 'perfectly sound'. A few days later the price was agreed and, three weeks later, the plaintiff bought the horse. The statement was held to be a term of the contract, but here the defendant, who was the owner of the horse, would appear to have had special knowledge.

Bannerman v White (1861) CB(NS) 844

The buyer of hops asked whether sulphur had been used in their cultivation. He added that if it had he would not even bother to ask the price. The seller assured him that it had not. This assurance was held to be a condition of the contract. It was of such importance that, without it, the buyer would not have contracted.

Couchman v Hill [1947] 1 All ER 103

The buyer asked for the assurance that the heifer he was contemplating purchasing at an auction sale was unserved, as he required it for servicing by his own bull. He also stated that without this assurance, he would not bid. Both the seller and auctioneer gave him this assurance. The heifer turned out to have been served.

The Court of Appeal held that the assurance was a term of the contract, despite the fact that this was in conflict with the printed conditions to which the auction sale was subject, which provided that no warranty was given. In the alternative, the Court of Appeal found that the statement was a collateral contract.

Routledge v McKay [1954]

In the written contract, signed a week later, no mention was made of the date of the model. It was held, on this point, that what the parties intended to agree on was recorded in the written agreement, and that it would be inconsistent with the written agreement to hold that there was an intention to make the prior statement a contractual

term.

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Birch v Paramount Estates (1956) 167 EG 196

The defendants made a statement about the quality of a house. The contract, when reduced to writing, made no reference to the statement. The Court of Appeal regarded the statement as a contractual term. But here the defendants had special knowledge.

Harling v Eddy [1951] 2 KB 739

The vendors of a heifer represented that there was nothing wrong with the animal but, in fact, it had tuberculosis from which it died within three months of the sale. A contributory factor leading the Court of Appeal to decide that the statement was a term of the contract was that the vendors were in a special position to know of the heifer's condition.

Oscar Chess v Williams [1957] 1 All ER 325

A private seller of a car obtained £290 in part exchange on the basis that it was a 1948 model. It was in fact, a 1939 model. The registration book had been fraudulently altered by a previous owner, but the seller was innocent of this. The price of a 1939 model was considerably lower. The plaintiff motor dealer would still have been prepared to buy the car, but at a lower price had they known the true facts.

The Court of Appeal held, by a majority, that the statement was not a term of the contract. The main reason for this decision was that the seller had no special knowledge as to the age of the car, while the buyers were car dealers, and so in at least as good a position as the seller to know whether the statement was true.

Dick Bentley Productions v Harold Smith Motors [1965] 2 All ER 65

A statement was made by a motor dealer to a private purchaser that the car had done only 20,000 miles since being fitted with a replacement engine and gearbox. The car had actually done nearly 100,000 miles since then. The Court of Appeal unanimously held that the statement was a contractual term (a warranty). Lord Denning MR distinguished Oscar Chess v Williams and said that the car dealer was clearly in a better position than the buyer to know whether the representation was true.

2b. CONDITIONS AND WARRANTIES

Poussard v Spiers (1876) 1 QBD 410

Poussard was engaged to appear in an operetta from the start of its London run for three months. The plaintiff fell ill and the producers were forced to engage a substitute. A week later Poussard recovered and offered to take her place, but the defendants refused to take her back.

The court held that the defendant's refusal was justified and that they were not liable in damages. What chiefly influenced the court was that Poussard's illness was a serious one of uncertain duration and the defendants could not put off the opening night until she

recovered. The obligation to perform from the first night was a condition of the contract. Failure to carry



out this term entitled the producers to repudiate Poussard's

contract. *Bettini v Gye* (1876) 1 QBD 183

Bettini, an opera singer, was engaged by Gye to appear in a season of concerts. He undertook to be in London at least six days before the first concert for the purpose of rehearsals. He arrived three days late because of a temporary illness. He gave no advance notice and Gye refused to accept his services.

It was held that the plaintiff had been engaged to perform for a 15-week season and the failure to attend rehearsals could only affect a small part of this period. The promise to appear for rehearsals was a less important term of the contract. The defendant could claim compensation for a breach of warranty but he could not repudiate Bettini's contract.

Hong Kong Fir Shipping [1962] 1 All ER 474

The defendants chartered a vessel from the plaintiffs for 24 months, "she being fitted in every way for ordinary cargo service." The engine room staff turned out to be inefficient and the engines were old with the result that she was held up for repairs for five weeks mid-voyage. It was then found that further repairs, requiring 15 weeks to complete, were necessary to make her seaworthy. Although the charterparty still had 20 months to run, the defendants repudiated the contract and claimed that the term as to seaworthiness was a condition of the contract, any breach of which entitled them to do so. The plaintiffs claimed damages for wrongful repudiation.

The Court of Appeal decided the term was neither a condition nor a warranty, and in determining whether the defendants could terminate the contract, it was necessary to look at the consequences of the breach to see if they deprived the innocent party of substantially the whole benefit he should have received under the contract. On the facts, this was not the case, because the charterparty still had a substantial time to run. The defendants could only claim damages.

Diplock LJ said that there are many contractual undertakings of a complex character which cannot be categorised as being conditions or warranties. Of such undertakings some breaches will and others will not give rise to an event which will deprive the innocent party of substantially the whole benefit which it was intended he should obtain from the contract. The legal consequences of a breach of such undertaking, unless expressly provided for in the contract, depend upon the nature of the event to which the breach gives rise and do not follow automatically from a prior classification of the undertaking as a condition or warranty.

In the present case the shipowner's undertaking as to seaworthiness could be broken by the presence of trivial defects easily and rapidly remediable as well as by defects which would result in a total loss of the vessel. Consequently, the undertaking was one breach of which may give rise to an event which relieves the charterer of further performance of his undertakings if he so elects and another breach of which may not give rise to such

an event but entitle him only to monetary compensation in the form of damages.

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The Mihalis Angelos [1971] 1 QB 164

The owners of a ship let it to charterers, undertaking that the ship would be expected ready to load about 1 July, would proceed to a certain port for the loading of cargo, and that the charterer would have the option of cancelling the charter if the ship was not ready to load by July 20. The charterer was unable to get a cargo by July 17 and cancelled the charter, alleging that it was frustrated. The ship itself was not ready until July 23. At trial it was argued that the charterer was entitled to avoid the contract on July 17 because of a breach of contract by the shipowner, ie he had impliedly promised that he had reasonable grounds for believing that the ship would be ready to load on July 1, and that there were no such grounds. The trial judge held that there was a breach of this term, but the term was not a condition and the breach was not so fundamental as to give the right to terminate the contract.

The Court of Appeal held that the term was a condition and that the charterer had properly avoided the contract even though he had done so on the ground that the contract was frustrated when this was not the case. Lord Denning stated that "The fact that a contracting party gives a bad reason for determining it does not prevent him from afterwards relying on a good reason when he discovers it." Megaw LJ, discussing the term "expected ready to load ..." stated:

"...such a term in a charterparty ought to be regarded as being a condition of the contract, in the old sense of the word "condition"; that is that when it has been broken, the other party can, if he wishes, by intimation to the party in breach, elect to be released from performance of his further obligations under the contract; and he can validly do so without having to establish that, on the facts of the particular case, the breach has produced serious consequences which can be treated as "going to the root of the contract" or as being "fundamental," or whatever other metaphor may be thought appropriate for a frustration case."

The Hansa Nord [1976] QB 44

Citrus pulp pellets for use in animal food had been sold for £100,000 under a contract which provided for "shipment to be made in good condition." Part of the goods had not been so shipped and in addition the market value in such goods had fallen at the delivery date. The buyers rejected the goods which were later resold pursuant to a court order and eventually reacquired by the original buyers for just under £34,000. The buyers then used the goods for the originally intended purpose of making cattle food, though the defective part of the goods yielded a slightly lower extraction rate than sound goods would have done.

The Court of Appeal held that rejection was not justified. The term as to shipment in good condition was neither a condition nor a warranty but an intermediate term; and there was no finding that the effect of its breach was sufficiently serious to justify rejection. The buyers seem to have tried to reject, not because the utility of the goods was impaired, but because they saw an opportunity of acquiring them at well below the originally agreed price. In these circumstances their only remedy was in damages: they

were entitled to the difference in value between damaged and sound goods at the agreed destination.



Reardon Smith Line v Hansen-Tangen [1976] 3 All ER 570

In order to perform a charter, a steamship company nominated a vessel to be built by Osaka Shipbuilding Co and known as "Yard No. 354 at Osaka" (the name of the shipbuilder). She was built elsewhere, but by a company under Osaka's control and in accordance with the physical specifications in the charter. The tanker market fell and the charterers sought to reject.

It was held by the House of Lords that they were not entitled to do so. The phrase "Yard No. 354 at Osaka" was not part of the description but a mere substitute for a name: it was a means of identification, which, in the circumstances, had not failed. In order to reach this decision, the House looked at the background to the case. Lord Wilberforce expressed the view that the court must place itself in thought in the same factual matrix as that in which the parties were. In order to place himself in that factual matrix, he asked what was the commercial purpose of the charter parties and what was the factual background against which they were made.

Bunge Corp. v Tradax [1981] 2 All ER 513

Under a contract for the sale and purchase of soya bean meal, it was agreed that a shipment was to be made in June, by the 30th. The buyers had to provide a vessel and to give at least 15 days' notice of its probable readiness. The sellers would then nominate a port for delivery. The buyer gave notice on June 17, less than 15 days before the end of the shipment period. The seller repudiated the contract arguing that there had been a breach.

The House of Lords held that this term was a condition, so that the sellers were entitled to rescind on the ground that the notice reached them five days too late. Two justifications were given for this classification: (1) the sellers could not, as a practical matter, perform their own obligation of nominating a port for delivery until the buyers had given them notice of the ship's readiness to load; and (2) the classification promoted certainty, for it enabled the sellers to tell, immediately on receipt of the notice of the ship's readiness to load, whether they were bound to deliver. The House of Lords thought that in mercantile contracts time would usually be of the essence and not an innominate term.

Schuler v Wickman Machine Tools [1974] AC 235

Wickman were the exclusive selling agents in the UK for Schuler's goods. The agency agreement provided that it was a condition that the distributor should visit six named customers once a week to solicit orders. This entailed approximately 1,500 visits during the length of the contract. Clause 11 of the contract provided that either party might determine if the other committed 'a material breach' of its obligations. Wickman committed some minor breaches of this term, and Schuler terminated the agreement, claiming that by reason of the term being a condition they were entitled to do so.

The House of Lords held that the parties could not have intended that Schuler should

have the right to terminate the agreement if Wickman failed to make one of the obliged number of visits, which in total amounted to nearly 1,500. Clause 11 gave Schuler the right to determine the agreement if Wickman committed a material breach of the obligations, and failed to



remedy it within 60 days of being required to do so in writing.

The House had regard to the fact that the relevant clause was the only one referred to as a condition. The use of such a word was a strong indication of intention but it was not conclusive. Lord Reid felt that it would have been unreasonable for Schuler to be entitled to terminate the agreement for Wickman's failure to make even one visit because of the later clause. The word 'condition' made any breach of the clause a 'material breach', entitling Schuler to give notice requiring the breach to be remedied. But not, as Schuler sought, to terminate the contract forthwith without notice.

3. IMPLIED TERMS

Hutton v Warren (1836) 1 M&W 466

The tenant of a farm was given six months' notice to quit. His landlord insisted that he continue to cultivate the land during the notice period in keeping with custom. The tenant successfully argued that the same custom entitled him to a fair allowance for the seeds and labour he used on the land.

The Moorcock (1889) 14 PD 64

The owner of a wharf agreed to provide mooring facilities for 'The Moorcock'. The ship was damaged when it hit a ridge of rock at low tide. Although the defendants had no legal control over the river-bed, they could ascertain its state but they had not done so. The court held that honesty of business required an implied undertaking on the part of the wharf owner that it was a reasonably safe place to moor a ship. The wharf owner had broken his implied undertaking and was, therefore, liable in damages to the ship owner.

Wilson v Best Travel [1993] 1 All ER 353

Wilson booked a holiday in Greece with Best Travel. He fell through a glass door in the hotel and was injured and claimed that (a) there was an implied term that the hotel would be reasonably safe, or (b) there was a breach of a duty to provide services with care and skill under s13 of the Supply of Goods and Services Act 1982. In applying the officious bystander test, the court said that the defendants would not have said 'Oh, of course' to such a term, as the defendants had no control over the hotel. The hotels were inspected and as they met Greek standards (although not British ones) the defendants had acted with care and skill. Therefore the plaintiff's claim failed.

Liverpool City Council v Irwin [1976] 2 All ER 39

The condition of a council tower block deteriorated: there were defects in the stairs and lifts and internal rubbish chutes became blocked. The Irwins alleged a breach on the part of the council of its implied covenant for their quiet enjoyment of the property. The House of Lords held that it was an implied term of a lease of a maisonette in a Council block that the landlord should take reasonable care to keep the common parts of the block in a reasonable state of repair. The term was clearly not implied in fact: the

"official bystander" test was not satisfied;

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nor was the implication necessary to give business efficacy to the contract. The implication

arose because the nature of the relationship made it desirable to place some obligation on the landlord as to the maintenance of the common parts of the premises. It amounted to the imposition of a legal duty, in spite of the fact that no term could be implied in fact. However, on the facts there had been no breach of the obligation.

COLLATERAL CONTRACTS

OUTLINE EXPLANATION

A promise which is not a term of the principal contract, could possibly be enforced as a collateral contract. Collateral means "by the side of". This was an important innovation used to evade:

- (a) the parol evidence rule (e.g., *City & Westminster Properties v Mudd* [1959] Ch 129);
- (b) the formerly limited remedies for misrepresentation (e.g., *Esso Petroleum v Mardon* [1976] QB 801); and
- (c) privity of contract (e.g. *Shanklin Pier v Detel Products* [1951] 2 KB 854).

The concept of a collateral contract was clearly illustrated by Lord Moulton in *Heilbut, Symons & Co v Buckleton* [1913] AC 30:

'It is evident, both on principle and on authority, that there may be a contract the consideration for which is the making of some other contract. "If you will make such and such a contract, I will give you one hundred pounds," is in every sense of the word a complete legal contract. It is collateral to the main contract, but each has an independent existence, and they do not differ in respect of their possessing to the full the character and status of a contract.'

In *Evans v Andrea Merzario* [1976] 1 WLR 1078, Lord Denning MR, while explaining the use for a collateral contract after the Misrepresentation Act 1967 (which does not apply in respect of promises as to the future), stated:

'When a person gives a promise or an assurance to another, intending that he should act on it by entering into a contract, and he does act on it by entering into the contract, we hold that it is binding

...

...The cases are numerous in which oral promises have been held binding in spite of written exempting conditions.'

EXCLUSION AND LIMITING CLAUSES

INTRODUCTION

A clause may be inserted into a contract which aims to exclude or limit one party's liability for breach of contract or negligence. However, the party may only rely on such a clause if (a) it has been incorporated into the contract, and if, (b) as a matter of interpretation, it extends to the loss in question. Its validity will then be tested under (c) the Unfair Contract Terms Act 1977 and (d) the Unfair Terms in Consumer Contracts Regulations 1999.

A. INCORPORATION

The person wishing to rely on the exclusion clause must show that it formed part of the contract. An exclusion clause can be incorporated in the contract by signature, by notice, or by a course of dealing.

1. SIGNED DOCUMENTS

If the plaintiff signs a document having contractual effect containing an exclusion clause, it will automatically form part of the contract, and he is bound by its terms. This is so even if he has not read the document and regardless of whether he understands it or not. See:

L'Estrange v Graucob [1934] 2 KB 394.

However, even a signed document can be rendered wholly or partly ineffective if the other party has made a misrepresentation as to its effect. See:

Curtis v Chemical Cleaning Co [1951] 1 KB 805.

2. UNSIGNED DOCUMENTS

The exclusion clause may be contained in an unsigned document such as a ticket or a notice. In such a case, reasonable and sufficient notice of the existence of the exclusion clause should be given. For this requirement to be satisfied:

(i) The clause must be contained in a contractual document, ie one which the reasonable person would assume to contain contractual terms, and not in a document which merely acknowledges payment such as a receipt. See:

Parker v SE Railway Co (1877) 2 CPD 416
Chappleton v Barry UDC [1940].

(ii) The existence of the exclusion clause must be brought to the notice of the other party before or at the time the contract is entered into. See:

Olley v Marlborough Court [1949] 1 KB 532.

(iii) Reasonably sufficient notice of the clause must be given. It



should be noted that reasonable, not actual notice is required. See:

Thompson v LMS Railway [1930] 1 KB 41.

What is reasonable is a question of fact depending on all the circumstances and the situation of the parties. The courts have repeatedly held that attention should be drawn to the existence of exclusion clauses by clear words on the front of any document delivered to the plaintiff, eg "For conditions, see back". It seems that the degree of notice required may increase according to the gravity or unusualness of the clause in question. See:

Thornton v Shoe Lane Parking [1971] 1 All ER 686

Interfoto v Stiletto Ltd [1988] 1 All ER 348.

3. PREVIOUS DEALINGS

Even where there has been insufficient notice, an exclusion clause may nevertheless be incorporated where there has been a previous consistent course of dealing between the parties on the same terms. Contrast:

Spurling v Bradshaw [1956] 2 All ER 121

McCutcheon v MacBrayne [1964] 1 WLR 125.

As against a private consumer, a considerable number of past transactions may be required. See:

Hollier v Rambler Motors [1972] 2 All ER 71.

Even if there is no course of dealing, an exclusion clause may still become part of the contract through trade usage or custom. See:

British Crane Hire v Ipswich Plant Hire [1974] QB 303.

4. PRIVITY OF CONTRACT

As a result of the doctrine of privity of contract, the courts held that a person who is not a party to the contract (a third party) was not protected by an exclusion clause in that contract, even if the clause purported to extend to him. Employees are regarded in this context as third parties. See:

Adler v Dickinson [1954] 3 All ER 396

Scruttons v Midland Silicones [1962] AC 446.

Now see the provisions in the Contracts (Rights of Third Parties) Act 1999 ([Handout on Privity of Contract](#)).

5. COLLATERAL CONTRACTS

Even where an exclusion clause has been incorporated into a contract, it may not have been

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incorporated in a collateral contract. See:

Andrews v Hopkinson [1957] 1 QB 229.

6. THE BATTLE OF THE FORMS

A problem arises if one party sends a form saying that the contract is made on those terms but the second party accepts by sending a form with their own terms on and stating that the contract is on the second party's terms. The "rule of thumb" here is that the contract will be made on the last set of terms sent. See:

British Road Services v Arthur Crutchley Ltd [1968] 1 All ER 811.

B. INTERPRETATION

Once it is established that an exclusion clause is incorporated, the whole contract will be construed (ie, interpreted) to see whether the clause covers the breach that has occurred. The basic approach is that liability can only be excluded by clear words. The main rules of construction are as follows:

1. CONTRA PROFERENTEM

If there is any ambiguity or uncertainty as to the meaning of an exclusion clause the court will construe it contra proferentem, ie against the party who inserted it in the contract. See:

Baldry v Marshall [1925] 1 KB 260
Houghton v Trafalgar Insurance Co (1954).

Very clear words are needed in a contract to exclude liability for negligence. See:

White v John Warwick [1953] 1 WLR 1285.

2. THE MAIN PURPOSE RULE

Under this rule, a court can strike out an exemption clause which is inconsistent with or repugnant to the main purpose of the contract. See:

Glynn v Margetson [1893] AC 351
Evans Ltd v Andrea Merzario Ltd [1976] 1 WLR 1078.

3. THE DOCTRINE OF FUNDAMENTAL BREACH

Prior to 1964, the common law considered that a fundamental breach could not be excluded or restricted in any circumstances as this would amount to giving with one hand and taking with the other. This became elevated to a rule of law.

However, the rule of law approach was rejected in *UGS Finance v National Mortgage Bank of*



Greece [1964] 1 Lloyd's Rep 446, on the basis that it conflicted with freedom of contract and the intention of the parties. The question of whether a clause could exclude liability for a fundamental breach was held to be a question of construction.

The UGS case was unanimously approved by the House of Lords in the Suisse Atlantique case [1967] 1 AC 361, and Photo Production Ltd v Securicor Transport [1980] AC 827.

CASES ON EXCLUSION CLAUSES

A. INCORPORATION

L'Estrange v Graucob [1934] 2 KB 394

The plaintiff bought a cigarette machine for her cafe from the defendant and signed a sales agreement, in very small print, without reading it. The agreement provided that "any express or implied condition, statement or warranty ...is hereby excluded". The machine failed to work properly. In an action for breach of warranty the defendants were held to be protected by the clause. Scrutton LJ said:

"When a document containing contractual terms is signed, then, in the absence of fraud, or, I will add, misrepresentation, the party signing it is bound, and it is wholly immaterial whether he has read the document or not."

Curtis v Chemical Cleaning Co [1951] 1 KB 805

The plaintiff took a wedding dress to be cleaned by the defendants. She signed a piece of paper headed 'Receipt' after being told by the assistant that it exempted the cleaners from liability for damage to beads and sequins. The receipt in fact contained a clause excluding liability "for any damage howsoever arising". When the dress was returned it was badly stained. It was held that the cleaners could not escape liability for damage to the material of the dress by relying on the exemption clause because its scope had been misrepresented by the defendant's assistant.

Parker v South Eastern Railway (1877) 2 CPD 416

The plaintiff deposited a bag in a cloak-room at the defendants' railway station. He received a paper ticket which read 'See back'. On the other side were printed several clauses including "The company will not be responsible for any package exceeding the value of £10." The plaintiff presented his ticket on the same day, but his bag could not be found. He claimed £24 10s. as the value of his bag, and the company pleaded the limitation clause in defence. In the Court of Appeal, Mellish LJ gave the following opinion:

- If the person receiving the ticket did not see or know that there was any writing on the ticket, he is not bound by the conditions;
- If he knew there was writing, and knew or believed that the writing contained conditions, then he is bound by the conditions;

· If he knew there was writing on the ticket, but did not know or believe that the writing contained conditions, nevertheless he would be bound, if the delivering of the ticket to him in

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such a manner that he could see there was writing upon it, was reasonable notice that the writing contained conditions.

Chappleton v Barry UDC [1940] 1 KB 531

Deck chairs were stacked by a notice asking the public who wished to use the deck chairs to get tickets and retain them for inspection. The plaintiff paid for two tickets for chairs, but did not read them. On the back of the ticket were printed words purporting to exempt the council from liability. The plaintiff was injured when a deck chair collapsed. The clause was held to be ineffective. The ticket was a mere receipt; its object was that the hirer might produce it to prove that he had paid and to show him how long he might use the chair. Slesser LJ pointed out that a person might sit in one of these chairs for an hour or two before an attendant came round to take his money and give him a receipt.

Olley v Marlborough Court [1949] 1 KB 532

The plaintiff booked in for a week's stay at the defendants' hotel. A stranger gained access to her room and stole her mink coat. There was a notice on the back of the bedroom door which stated that "the proprietors will not hold themselves responsible for articles lost or stolen unless handed to the manageress for safe custody." The Court of Appeal held that the notice was not incorporated in the contract between the proprietors and the guest. The contract was made in the hall of the hotel before the plaintiff entered her bedroom and before she had an opportunity to see the notice.

Thompson v LMS Railway [1930] 1 KB 41

The plaintiff who could not read gave her niece the money to buy an excursion ticket. On the face of the ticket was printed "Excursion, For Conditions see back"; and on the back, "Issued subject to the conditions and regulations in the company's time-tables and notices and excursion and other bills." The conditions provided that excursion ticket holders should have no right of action against the company in respect of any injury, however caused. The plaintiff stepped out of a train before it reached the platform and was injured.

The trial judge left to the jury the question whether the defendants had taken reasonable steps to bring the conditions to the notice of the plaintiff. The jury found that they had not but the judge, nevertheless, entered judgment for the defendants. The Court of Appeal held that the judge was right. The Court thought that the verdict of the jury was probably based on the fact that the passenger had to make a considerable search to find the conditions; but that was no answer. Lord Hanworth MR said that anyone who took the ticket was conscious that there were some conditions and it was obvious that the company did not provide for the price of an excursion ticket what it provided for the usual fare. Having regard to the condition of education in this country, it was irrelevant that the plaintiff could not read.



The plaintiff drove into the defendant's car park and was given a ticket by an automatic machine, which stated that it was issued subject to conditions displayed inside the car park. The conditions inside the car park were in small print and one of them excluded liability for damages to vehicles or injury to customers. The plaintiff was injured due partly to the defendant's negligence. The plaintiff was not held to be bound by the notice displayed inside the premises.

Lord Denning said that the clause was so wide and destructive of rights that "In order to give sufficient notice, it would need to be printed in red ink with a red hand pointing to it - or something equally startling".

Interfoto Picture Library v Stiletto Ltd [1988] 1 All ER 348

The defendants, an advertising agency, ordered 47 photographic transparencies from the plaintiff operators of a photo library. The transparencies were accompanied by a delivery note which contained a number of conditions. Condition 2 provided that a holding fee of £5 per day was payable in respect of each transparency retained after 14 days. The defendants did not return the transparencies on time and the plaintiffs sued for the holding fee payable under Condition 2 which amounted to £3785.

The Court of Appeal held that Condition 2 had not been incorporated into the contract. *Interfoto* had not taken reasonable steps to bring such an unusual, unreasonable and onerous term to *Stiletto's* notice. The plaintiffs were awarded £3.50 per transparency per week on a quantum meruit basis.

Spurling v Bradshaw [1956] 2 All ER 121

The defendant delivered eight barrels of orange juice to the plaintiffs who were warehousemen. A few days later the defendant received a document from the plaintiff which acknowledged receipt of the barrels. It also contained a clause exempting the plaintiffs from liability for loss or damage "occasioned by the negligence, wrongful act or default" caused by themselves, their employees or agents. When the defendant collected the barrels some were empty, and some contained dirty water. He refused to pay the storage charges and was sued by the plaintiffs.

It was held that although the defendants did not receive the document containing the exclusion clause until after the conclusion of the contract, the clause had been incorporated into the contract as a result of a regular course of dealings between the parties over the years. The defendant had received similar documents on previous occasions and he was now bound by the terms contained in them.

McCutcheon v MacBrayne [1964] 1 WLR 125

Exclusion clauses were contained in 27 paragraphs of small print contained inside and outside a ferry booking office and in a 'risk note' which passengers sometimes signed. The exclusion clauses were held not to be incorporated. There was no course of conduct because there was no consistency of dealing.



The plaintiff had used the defendant garage three or four times over five years and on some occasions had signed a contract, which excluded the defendants from liability for damage by fire. On this occasion nothing was signed and the plaintiff's car was badly damaged in a fire. It was held that there was not a regular course of dealing, therefore the defendants were liable. The court referred to *Hardwick Game Farm v Suffolk Agricultural Poultry Producers Association* (1969) in which more than 100 notices had been given over a period of three years, which did amount to a course of dealing.

British Crane Hire v Ipswich Plant Hire [1974] QB 303

Both parties were companies engaged in hiring out earth-moving equipment. The plaintiffs supplied a crane to the defendants on the basis of a telephone contract made quickly, without mentioning conditions of hire. The plaintiffs later sent a copy of their conditions but before the defendants could sign them, the crane sank in marshy ground. The conditions, which were similar to those used by all firms in the business, said that the hirer should indemnify the owner for all expenses in connection with use.

The court held that the terms would be incorporated into the contract, not by a course of dealing, but because there was a common understanding between the parties, who were in the same line of business, that any contract would be on these standard terms. The defendants were liable for the expense involved in recovering the crane.

Adler v Dickinson [1954] 3 All ER 396

The plaintiff was a passenger on a P & O ship under a contract which excluded the liability of employees for negligence. The plaintiff fell off the gangplank due to the negligence of employees and sued the captain. It was held by the Court of Appeal that the captain was a third party as regards the contract between the plaintiff and P & O and could not rely on the exclusion clause in the contract.

Scruttons Ltd v Midland Silicones [1962] AC 446

A shipping company (the carrier) agreed to ship a drum of chemicals belonging to the plaintiffs. The contract of carriage limited the liability of the carrier for damage to £179 per package. The drum was damaged by the negligence of the defendants, a firm of stevedores, who had been engaged by the carriers to unload the ship. The plaintiffs sued the defendants in tort for the full extent of the damage, which amounted to £593. The defendants claimed the protection of the limitation clause. The House of Lords held in favour of the plaintiffs. The defendants were not parties to the contract of carriage and so they could not take advantage of the limitation clause.

Andrews v Hopkinson [1957] 1 QB 229

The plaintiff saw a car in the defendant's garage, which the defendant described as follows: "It's a good little bus. I would stake my life on it". The plaintiff agreed to take it on hire-purchase and the defendant sold it to a finance company who made a h-p agreement with the plaintiff. When the car was delivered the plaintiff signed a note saying he was satisfied about its condition. Shortly afterwards, due to a defect in the

steering, the car crashed. The plaintiff was stopped from suing the finance company because of the delivery note but he sued the



defendant.

It was held that there was a collateral contract with the defendant who promised the car was in good condition and in return the plaintiff promised to make the h-p agreement. Therefore the defendant was liable.

British Road Services v Arthur Crutchley Ltd [1968] 1 All ER 811

BRS delivered whisky to AC's warehouse. BRS's driver gave AC a delivery note which contained BRS' conditions. AC stamped the note "Received under AC's conditions". The whisky was stolen. It was held that AC stamping the delivery note was a counter offer which was accepted by BRS handing over the whisky. The contract was made on AC's conditions.

B. INTERPRETATION

Baldry v Marshall [1925] 1 KB 260

The plaintiff asked the defendants, who were motor dealers, to supply a car that would be suitable for touring purposes. The defendants recommended a Bugatti, which the plaintiff bought. The written contract excluded the defendant's liability for any "guarantee or warranty, statutory or otherwise". The car turned out to be unsuitable for the plaintiff's purposes, so he rejected it and sued to recover what he had paid.

The Court of Appeal held that the requirement that the car be suitable for touring was a condition. Since the clause did not exclude liability for breach of a condition, the plaintiff was not bound by it.

Houghton v Trafalgar Insurance [1953] 2 All ER 1409

The plaintiff's motor insurance policy provided that the defendant insurers would not be liable, if the plaintiff carried an "excess load". The plaintiff had an accident while carrying six people in a five seater car. The Court of Appeal held that the term "excess load" could mean either too many people or too much weight. It was given the latter meaning, which meant that the defendants were liable on the policy.

White v John Warwick [1953] 1 WLR 1285

The plaintiff hired a tradesman's cycle from the defendants. The written agreement stated that "Nothing in this agreement shall render the owners liable for any personal injury". While the plaintiff was riding the cycle, the saddle tilted forward and he was injured. The defendants might have been liable in tort (for negligence) as well as in contract. The Court of Appeal held that the ambiguous wording out of the exclusion clause would effectively protect the defendants from their strict contractual liability, but it would not exempt them from liability in negligence.

Glynn v Margetson [1893] AC 351

Carriers agreed to take oranges from Malaga to Liverpool under a contract which

allowed the ship to call at any port in Europe or Africa. The ship sailed 350 miles east from Malaga to pick

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up another cargo. When it arrived in Liverpool the oranges had gone bad. The defendants attempted to rely on an exclusion clause. The House of Lords held that the main purpose was to deliver a perishable cargo of oranges to Liverpool and in the light of this the wide words of the clause could be ignored and the ship could only call at ports en route. Therefore the carriers were liable.

Evans v Andrea Merzario [1976] 1 WLR 1078

The plaintiffs had imported machines from Italy for many years and for this purpose they used the services of the defendants, who were forwarding agents. The plaintiffs were orally promised by the defendants that their goods would continue to be stowed below deck. On one occasion, the plaintiff's container was stored on deck and it was lost when it slid overboard.

The Court of Appeal held that the defendants could not rely on an exemption clause contained in the standard conditions of the forwarding trade, on which the parties had contracted, because it was repugnant to the oral promise that had been given. The oral assurance that goods would be carried inside the ship was part of the contract and was held to override the written exclusion clause.

PRIVITY OF CONTRACT

1. THE DOCTRINE OF PRIVITY

"The doctrine of privity means that a contract cannot, as a general rule, confer rights or impose obligations arising under it on any person except the parties to it." (GH Treitel, The Law of Contract)

The common law reasoned that:

1. Only a promisee may enforce the promise meaning that if the third party is not a promisee he is not privy to the contract. See:

Dunlop Tyre Co v Selfridge [1915] AC 847 - The plaintiffs sold tyres to Dew & Co, wholesale distributors, on terms that Dew would obtain an undertaking from retailers that they should not sell below the plaintiffs' list price. Dew sold some of the tyres to the defendants, who retailed them below list price. The plaintiffs sought an injunction and damages. The action failed because although there was a contract between the defendants and Dew, the plaintiffs were not a party to it and "only a person who is a party to a contract can sue on it," (per Lord Haldane).

2. There is the principle that consideration must move from the promisee. See:

Tweddle v Atkinson (1861) 1 B&S 393 - The fathers of a husband and wife agreed in writing that both should pay money to the husband, adding that the husband should have the power to sue them for the respective sums. The husband's claim against his wife's fathers' estate was dismissed, the court justifying the decision largely because no consideration moved from the husband.

The two principles of privity and consideration have become entwined but are still distinct.

2. EXCEPTIONS

If the doctrine of privity was inflexibly applied it would cause considerable injustice and inconvenience. Many exceptions to it have therefore been developed.

A) COLLATERAL CONTRACTS

A contract between two parties may be accompanied by a collateral contract between one of them and a third person relating to the same subject-matter. For example:

Shanklin Pier v Detel Products [1951] 2 KB 854. The plaintiffs had employed contractors to paint a pier. They told them to buy paint made by the defendants. The defendants had told them that the paint would last for seven years. It only lasted for three months. The court decided that the plaintiffs could sue the defendants on a collateral contract. They had provided consideration for the defendants' promise by entering into an agreement with the contractors, which entailed the purchase of the defendants' paint.

There must, however, be an intention to create a collateral contract before that contract can be formed

B) AGENCY

The concept of agency is an exception to the doctrine of privity in that an agent may contract on behalf of his principal with a third party and form a binding contract between the principal and third party.

For example, a third party may be able to take the benefit of an exclusion clause by proving that the party imposing the clause was acting as the agent of the third party, thereby bringing the third party into a direct contractual relationship with the plaintiff:

In *Scruttons Ltd v Midland Silicones Ltd* [1962] AC 446, a bill of lading limited the liability of a shipping company to \$500 per package. The defendant stevedores had contracted with the shipping company to unload the plaintiff's goods on the basis that they were to be covered by the exclusion clause in the bill of lading. The plaintiffs were ignorant of the contract between the shipping company and the stevedores. Owing to the stevedores negligence, the cargo was damaged and, when sued, they pleaded the limitation clause in the bill of lading. The House of Lords held that the stevedores could not rely on the clause as there was no privity of contract between the plaintiffs and defendants. Lord Reid suggested that the stevedores could be brought into a contractual relationship with the owner of the goods through the agency of the carrier provided certain conditions were met:

- (1) that the bill of lading makes it clear that the stevedore is intended to be protected by the exclusion clauses therein.
- (2) that the bill of lading makes it clear that the carrier is contracting as agent for the stevedore.
- (3) the carrier must have authority from the stevedore to act as agent, or perhaps, later ratification by the stevedore would suffice.
- (4) consideration must move from the stevedore.

All of the above conditions were satisfied in *New Zealand Shipping v Satterthwaite* (The Eurymedon) [1975] AC 154.

C) TRUSTS

Equity developed a general exception to the doctrine of privity by use of the concept of trust. A



trust is an equitable obligation to hold property on behalf of another.

The device was approved by the House of Lords in *Les Affreteurs Reunis v Leopold Walford* [1919] AC 801, where a broker (C) negotiated a charterparty by which the shipowner (A) promised the charterer (B) to pay the broker a commission. It was held that B was trustee of this promise for C, who could thus enforce it against A.

However, the trust device has fallen into disuse because of the strict requirements of constituting a trust and most particularly that there should be a specific intention on the part of the person declaring the trust that it should be a trust.

D) RESTRICTIVE COVENANTS

Restrictive covenants may, if certain conditions are satisfied, run with the land and bind purchasers of it to observe the covenants for the benefit of adjoining owners.

For example, in *Tulk v Moxhay* (1848) 2 Ph 774, the plaintiff who owned several houses in Leicester Square sold the garden in the centre to Elms, who covenanted that he would keep the gardens and railings in their present condition and continue to allow individuals to use the gardens. The land was sold to the defendants who knew of the restriction contained in the contract between the plaintiff and Elms. The defendant announced that he was going to build on the land, and the plaintiff, who still owned several adjacent houses, sought an injunction to restrain him from doing so. It was held that the covenant would be enforced in equity against all subsequent purchasers with notice.

This device was carried over into the law of contract by the Privy Council in *Lord Strathcona SS Co v Dominion Coal Co* [1926] AC 108, but Diplock J refused to follow the decision in *Port Line Ltd v Ben Line Steamers* [1958] 2 QB 146. Most recently, in *Law Debenture Trust Corp v Ural Caspian Oil Corp* [1993] 2 All ER 355, it was emphasised that the principle permitted no more than the grant of a negative injunction to restrain the person acquiring the property from doing acts which would be inconsistent with the performance of the contract by his predecessor and had never been used to impose upon a purchaser a positive duty to perform the covenants of his predecessor.

E) STATUTES

Certain exceptions to the doctrine of privity have been created by statute, including price maintenance agreements; and certain contracts of insurance enforceable in favour of third parties. For example, under s148(4) of the Road Traffic Act 1972, an injured party may recover compensation from an insurance company once he has obtained judgment against the insured person.

F) REMEDIES OF THE CONTRACTING PARTY

The question of the extent to which a contracting party may recover for loss sustained by a third party who is intended to benefit from the contract was raised in:

Jackson v Horizon Holidays [1975] 1 WLR 1468. The plaintiff entered into a contract for himself and his family. The holiday provided failed to comply with the description given by the defendants in a number of respects. The plaintiff recovered damages and

the defendants appealed against the amount. Lord Denning MR thought the amount awarded was excessive

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compensation for the plaintiff himself, but he upheld the award on the ground that the plaintiff had made a contract for the benefit of himself and his family, and that he could recover for their loss as well as for his own.

However, in *Woodar Investment Development v Wimpey Construction* [1980] 1 WLR 277, the House of Lords rejected the basis on which Lord Denning had arrived at his decision, and reaffirmed the view that a contracting party cannot recover damages for the loss sustained by the third party. Their Lordships did not dissent from the actual decision in *Jackson*, which they felt could be supported either because the damages were awarded for the plaintiff's own loss; or because booking family holidays or ordering meals in restaurants calls for special treatment.

3. ACADEMIC DEBATE ON THE DOCTRINE

GH Treitel, *The Law of Contract*, 9th ed, 1995, p588, states:

"The rule that no one except a party to a contract can be made liable under it is generally regarded as just and sensible. But the rule that no one except a party to a contract can enforce it may cause inconvenience where it prevents the person most interested in enforcing the contract from doing so. The many exceptions to the doctrine make it tolerable in practice, but they have provoked the question whether it would not be better further to modify the doctrine or to abolish it altogether."

4. REFORM

Proposals for legislative reform were made by the Law Revision Committee as long ago as 1937 (Cmd. 5449) and further proposals were put forward for discussion by the Law Commission in 1991 (Paper No 121, 1991). In July 1996, the Law Commission published proposals in "Privity of Contract; Contracts for the Benefit of Third Parties" (Cmd. 3329; Law Com No 242), which recommended that the law expressly provide for third parties to be able to enforce contracts (including taking advantage of exclusion/limitation clauses) in certain circumstances. These proposals for reform were acted upon.

The Contracts (Rights of Third Parties) Act 1999 received Royal Assent on 11 November 1999. It reforms the common law rule of privity of contract. Section 1 provides that a third party may in his own right enforce a term of a contract if:

- (a) the contract expressly provides that he may, or
- (b) the term purports to confer a benefit on him (except where on a proper construction of the contract it appears that the parties did not intend the term to be enforceable by the third party). There shall be available to the third party any remedy that would have been available to him in an action for breach of contract if he had been a party to the contract: s1(5).

See further, LCD press release 11 November 1999 and Gazette 1 December 1999.

MISREPRESENTATION

INTRODUCTION

A misrepresentation is a false statement of fact made by one party to another, which, whilst not being a term of the contract, induces the other party to enter the contract. The effect of an actionable misrepresentation is to make the contract voidable, giving the



innocent party the right to rescind the contract and/or claim damages.

1. FALSE STATEMENT OF FACT

An actionable misrepresentation must be a false statement of fact, not opinion or future intention or law.

(A) STATEMENTS OF OPINION

A false statement of opinion is not a misrepresentation of

fact. See: *Bisset v Wilkinson* [1927] AC 177.

However, where the person giving the statement was in a position to know the true facts and it can be proved that he could not reasonably have held such a view as a result, then his opinion will be treated as a statement of fact. See:

Smith v Land & House Property Corp. (1884) 28 Ch D 7.

Some expressions of opinion are mere puffs. Thus, in *Dimmock v Hallet* (1866) 2 Ch App 21, the description of land as 'fertile and improvable' was held not to constitute a representation.

(B) STATEMENTS AS TO THE FUTURE

A false statement by a person as to what he will do in the future is not a misrepresentation and will not be binding on a person unless the statement is incorporated into a contract.

However, if a person knows that his promise, which has induced another to enter into a contract, will not in fact be carried out then he will be liable. See:

Edgington v Fitzmaurice (1885) 29 Ch D 459
Esso Petroleum v Mardon [1976] QB 801.

(C) STATEMENTS OF THE LAW

Traditionally, a false statement as to the law was not an actionable misrepresentation because everyone is presumed to know the law. However, the distinction between fact and law is not simple. See:

Solle v Butcher [1950] 1 KB 671.

However, the traditional belief must now be read in the light of the decision (paragraphs 49-57, in particular) in:

[*Pankhania v London Borough of Hackney* \[2002\] EWHC 2441 \(Ch\)](#)

(D) SILENCE

Generally, silence is not a misrepresentation. The effect of the maxim caveat emptor is that the other party has no duty to disclose problems voluntarily. Thus if one party is labouring under a misapprehension there is no duty on the other party to correct it. See:



Smith v Hughes (1871) LR 6 QB 597.

However, there are three fundamental exceptions to this rule:

(i) HALF TRUTHS

The representor must not misleadingly tell only part of the truth. Thus, a statement that does not present the whole truth may be regarded as a misrepresentation. See:

Nottingham Brick & Tile Co. v Butler (1889) 16 QBD 778.

(ii) STATEMENTS WHICH BECOME FALSE

Where a statement was true when made out but due to a change of circumstances has become false by the time it is acted upon, there is a duty to disclose the truth. See:

With v O'Flanagan [1936] Ch 575.

(iii) CONTRACTS UBERRIMAE FIDEI

Contracts uberrimae fidei (contracts of the utmost good faith) impose a duty of disclosure of all material facts because one party is in a strong position to know the truth. Examples would include contracts of insurance and family settlements.

A material fact is something which would influence a reasonable person in making the contract. If one party fails to do this, the contract may be avoided. See:

Lambert v Co-Operative Insurance Society [1975] 2 Lloyd's Rep 485.

Where there is a fiduciary relationship between the parties to a contract a duty of disclosure will arise, eg, solicitor and client, bank manager and client, trustee and beneficiary, and inter- family agreements.

(E) OTHER REPRESENTATIONS

The term 'statement' is not to be interpreted too literally:

* In Gordon v Selico Ltd (1986) 278 EG 53, it was held that painting over dry rot, immediately prior to sale of the property, was a fraudulent misrepresentation.

* In St Marylebone Property v Payne (1994) 45 EG 156, the use of a photograph taken from the air, printed with arrows (misleadingly) indicating the extent of land boundaries, was held to convey a statement of fact (which amounted to actionable misrepresentation).

2. THE MISREPRESENTATION MUST HAVE INDUCED THE CONTRACT

The false statement must have induced the representee to enter into the contract. The requirements here are that (a) the misrepresentation must be material and (b) it must have been relied on.

(A) MATERIALITY

The misrepresentation must be material, in the sense that it would have induced a reasonable

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person to enter into the contract. However, the rule is not strictly objective: In *Museprime Properties v Adhill Properties* [1990] 36 EG 114, the judge referred, with approval, to the view of Goff and Jones: Law of Restitution that, any misrepresentation which induces a person to enter into a contract should be a ground for rescission of that contract. If the misrepresentation would have induced a reasonable person to enter into the contract, then the court will presume that the representee was so induced, and the onus will be on the representor to show that the representee did not rely on the misrepresentation either wholly or in part. If, however, the misrepresentation would not have induced a reasonable person to contract, the onus will be on the misrepresentee to show that the misrepresentation induced him to act as he did. See:

Museprime Properties v Adhill Properties [1990] 36 EG 114.

(B) RELIANCE

The representee must have relied on the misrepresentation.

There will be no reliance if the misrepresentee was unaware of the misrepresentation.

See: *Horsfall v Thomas* [1862] 1 H&C 90.

There will be no reliance if the representee does not rely on the misrepresentation but on his own judgment or investigations. See:

Attwood v Small (1838) 6 CI & F 232.

(Note: this rule does not apply where the misrepresentation was fraudulent and the representee was asked to check the accuracy of the statement: *Pearson v Dublin Corp* [1907] AC 351.) There will be reliance even if the misrepresentee is given an opportunity to discover the truth but does not take the offer up. The misrepresentation will still be considered as an inducement. See:

Redgrave v Hurd (1881) 20 Ch D 1.

There will be reliance even if the misrepresentation was not the only inducement for the representee to enter into the contract. See:

Edgington v Fitzmaurice (above)

3. TYPES OF MISREPRESENTATION

Once misrepresentation has been established it is necessary to consider what type of misrepresentation has been made. There are three types of misrepresentation: fraudulent, negligent and wholly innocent. The importance of the distinction lies in the remedies available for each type.

(A) FRAUDULENT MISREPRESENTATION

Fraudulent misrepresentation was defined by Lord Herschell in *Derry v Peek* (1889) as a false statement that is "made (i) knowingly, or (ii) without belief in its truth, or (iii) recklessly, careless as to whether it be true or false." Therefore, if someone makes a

statement which they

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honestly believe is true, then it cannot be fraudulent. See:

Derry v Peek (1889) 14 App Cas 337.

The burden of proof is on the plaintiff - he who asserts fraud must prove it. Tactically, it may be difficult to prove fraud, in the light of Lord Herschell's requirements.

The remedy is rescission (subject to exceptions discussed later) and damages in the tort of deceit (see later).

(B) NEGLIGENT MISREPRESENTATION

This is a false statement made by a person who had no reasonable grounds for believing it to be true. There are two possible ways to claim: either under common law or statute.

(i) NEGLIGENT MISSTATEMENT AT COMMON LAW

The House of Lords have held that in certain circumstances damages may be recoverable in tort for negligent misstatement causing financial loss:

Hedley Byrne v Heller [1964] AC 465.

Success depends upon proof of a special relationship existing between the parties. Such a duty can arise in a purely commercial relationship where the representor has (or purports to have) some special skill or knowledge and knows (or it is reasonable for him to assume) that the representee will rely on the representation. See:

Esso Petroleum v Mardon [1976] (above)

Williams v Natural Life Health Foods (1998) TheTimes, May 1.

The remedies are rescission (subject to exceptions discussed later) and damages in the tort of negligence (see later).

(ii) NEGLIGENT MISREPRESENTATION UNDER s2(1) MISREPRESENTATION ACT 1967

Section 2(1) of the Misrepresentation Act 1967 provides:

"Where a person has entered into a contract after a misrepresentation has been made to him by another party thereto and as a result thereof he has suffered loss, then, if the person making the misrepresentation would be liable to damages in respect thereof had the misrepresentation been made fraudulently, that person shall be so liable notwithstanding that the misrepresentation was not made fraudulently unless he proves that he had reasonable ground to believe and did believe up to the time the contract was made that the facts represented were true."

This provision does not require the representee to establish a duty of care and reverses the burden of proof. Once a party has proved that there has been a misrepresentation which induced him to enter into the contract, the person making the misrepresentation will be liable in damages unless he proves he had reasonable grounds to believe and did

believe that the facts represented were true. This burden may be difficult to discharge as shown in:



Howard Marine & Dredging Co v Ogden & Sons [1978] QB 574.

Remedies: recent case-law has shown that the remedies available are as those available in fraud unless the representor discharges the burden of proof. In particular, damages will be based in the tort of deceit rather than the tort of negligence (see later).

(C) WHOLLY INNOCENT MISREPRESENTATION

This is a false statement which the person makes honestly believing it to be true.

The remedy is either (i) rescission with an indemnity, or (ii) damages in lieu of rescission under the courts discretion in s2(2) Misrepresentation Act 1967 (see below).

4. REMEDIES FOR MISREPRESENTATION

Once an actionable misrepresentation has been established, it is then necessary to consider the remedies available to the misrepresentee.

(A) RESCISSION

Rescission, ie setting aside the contract, is possible in all cases of misrepresentation. The aim of rescission is to put the parties back in their original position, as though the contract had not been made.

The injured party may rescind the contract by giving notice to the representor. However, this is not always necessary as any act indicating repudiation, eg notifying the authorities, may suffice. See:

Car & Universal Finance v Caldwell [1965] 1 QB 525.

BARS TO RESCISSION:

Rescission is an equitable remedy and is awarded at the discretion of the court. The injured party may lose the right to rescind in the following four circumstances:

(i) AFFIRMATION OF THE CONTRACT

The injured party will affirm the contract if, with full knowledge of the misrepresentation and of their right to rescind, they expressly state that they intend to continue with the contract, or if they do an act from which the intention may be implied. See:

Long v Lloyd [1958] 1 WLR 753.

Note that in *Peyman v Lanjani* [1985] Ch 457, the Court of Appeal held that the plaintiff had not lost his right to rescind because, knowing of the facts which afforded this right, he proceeded with the contract, unless he also knew of the right to rescind. The plaintiff here did not know he had such right. As he did not know he had such right, he could not be said to have elected to affirm the contract.

(ii) LAPSE OF TIME

If the injured party does not take action to rescind within a reasonable time, the right

will be lost.

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Where the misrepresentation is fraudulent, time runs from the time when the fraud was, or with reasonable diligence could have been discovered. In the case of non-fraudulent misrepresentation, time runs from the date of the contract, not the date of discovery of the misrepresentation. See:

Leaf v International Galleries [1950] 2 KB 86.

(iii) RESTITUTION IN INTEGRUM IMPOSSIBLE

The injured party will lose the right to rescind if substantial restoration is impossible, ie if the parties cannot be restored to their original position. See:

Vigers v Pike (1842) 8 CI&F 562.

Precise restoration is not required and the remedy is still available if substantial restoration is possible. Thus, deterioration in the value or condition of property is not a bar to rescission:

Armstrong v Jackson [1917] 2 KB 822.

(iv) THIRD PARTY ACQUIRES RIGHTS

If a third party acquires rights in property, in good faith and for value, the misrepresentee will lose their right to rescind. See: Phillips v Brooks [1919] 2 KB 243 under Mistake.

Thus, if A obtains goods from B by misrepresentation and sells them to C, who takes in good faith, B cannot later rescind when he discovers the misrepresentation in order to recover the goods from C.

(v) NOTE:

The right to rescind the contract will also be lost if the court exercises its discretion to award damages in lieu of rescission under s2(2) of the Misrepresentation Act 1967.

For innocent misrepresentation two previous bars to rescission were removed by s1 of the Misrepresentation Act 1967: the misrepresentee can rescind despite the misrepresentation becoming a term of the contract (s1(a)), and the misrepresentee can rescind even if the contract has been executed (s1(b)). Generally, this will be relevant to contracts for the sale of land and to tenancies.

(B) INDEMNITY

An order of rescission may be accompanied by the court ordering an indemnity. This is a money payment by the misrepresenter in respect of expenses necessarily created in complying with the terms of the contract and is different from damages. See:

Whittington v Seale-Hayne (1900) 82 LT 49.

(C) DAMAGES

(i) FRAUDULENT MISREPRESENTATION

The injured party may claim damages for fraudulent misrepresentation in the tort of deceit. The purpose of damages is to restore the victim to the position he occupied before the



representation had been made.

The test of remoteness in deceit is that the injured party may recover for all the direct loss incurred as a result of the fraudulent misrepresentation, regardless of foreseeability:

Doyle v Olby (Ironmongers) Ltd [1969] 2 QB 158

Smith New Court Securities v Scrimgeour Vickers [1996] 4 All ER 769.

Moreover, damages may include lost opportunity costs, eg loss of profits.

See: East v Maurer [1991] 2 All ER 733.

In Archer v Brown [1984] 2 All ER 267, the court held that the plaintiff was entitled to aggravated damages in deceit for the distress he had suffered.

The claimant will not be entitled to recover damages after the date he discovered the misrepresentation and had an opportunity to avoid further loss:

Downs v Chappell [1996] 3 All ER 344.

(ii) NEGLIGENT MISREPRESENTATION

The injured party may elect to claim damages for negligent misrepresentation at common law. The test of remoteness in the tort of negligence is that the injured party may recover for only reasonably foreseeable loss (Esso Petroleum v Mardon [1976] QB 801).

Alternatively, the injured party may claim damages for negligent misrepresentation under s2(1) of the Misrepresentation Act 1967. This will be the normal course to pursue as s2(1) reverses the burden of proof. Damages will be assessed on the same basis as fraudulent misrepresentation rather than the tort of negligence, ie 'direct consequence' rather than 'reasonable foreseeability'. See:

Royscott Trust Ltd v Rogerson [1991] 3 WLR 57

(iii) WHOLLY INNOCENT MISREPRESENTATION

In cases of non-fraudulent misrepresentation, s2(2) of the Misrepresentation Act 1967 gives the court a discretion, where the injured party would be entitled to rescind, to award damages in lieu of rescission. Damages under s2(2) cannot be claimed as such; they can only be awarded by the court. Section 2(2) states:

"Where a person has entered into a contract after a misrepresentation has been made to him otherwise than fraudulently, and he would be entitled, by reason of the misrepresentation, to rescind the contract, then, if it is claimed, in any proceedings arising out of the contract, that the contract ought to be or has been rescinded the court or arbitrator may declare the contract subsisting and award damages in lieu of rescission, if of opinion that it would be equitable to do so, having regard to the nature of the misrepresentation and the loss that would be caused by it if the contract were upheld, as well as to the loss that rescission would cause to the other party." It is not clear from the above words if the right to damages will be lost if the representee has lost the right to rescind (See Cheshire & Fifoot, p301-2; Treitel, p333). According to Thomas Witter v

TBP Industries (1996) (below), this will not be a bar provided the plaintiff had such a right in the past.



It is not yet clear what the measure of damages is under s2(2):

- According to Treitel (p337) and to Chitty, damages under s2(2) may be lower than the damages awarded under s2(1). Chitty suggests the possibility of a special measure to compensate the injured party for the loss of the right to rescind.
- According to Cheshire & Fifoot, compensation should be limited to an indemnity (p305). This was in substance the view taken by the High Court in:

Thomas Witter v TBP Industries [1996] 2 All ER 573.

5. EXCLUDING LIABILITY FOR MISREPRESENTATION

Any term of a contract which excludes liability for misrepresentation or restricts the remedy available is subject to the test of reasonableness. Section 3 of the Misrepresentation Act 1967, as amended by s8 of UCTA 1977, provides that:

"If a contract contains a term which would exclude or restrict:

- a) any liability to which a party to a contract may be subject by reason of any misrepresentation made by him before the contract was made; or
- b) any remedy available to another party to the contract by reason of such a misrepresentation, that term shall be of no effect except insofar as it satisfies the requirement of reasonableness as stated in s11(1) of the Unfair Contract Terms Act 1977; and it is for those claiming that the term satisfies that requirement to show that it does."

(Section 11(1) UCTA 1977 provides that "...the term shall have been a fair and reasonable one to be included having regard to the circumstances which were, or ought reasonably to have been, known to or in the contemplation of the parties when the contract was made.")

A party cannot exclude liability for fraudulent misrepresentation, as a matter of public policy, according to the House of Lords:

[HIH Casualty & General v Chase Manhattan Bank \[2003\] UKHL 6.](#)

CASES ON MISREPRESENTATION

1. FALSE STATEMENT OF FACT

Bisset v Wilkinson [1927] AC 177

The plaintiff purchased from the defendant two blocks of land for the purpose of sheep farming. During negotiations the defendant said that if the place was worked properly, it would carry 2,000 sheep. The plaintiff bought the place believing that it would carry 2,000 sheep. Both parties were aware that the defendant had not carried on sheep-farming on the land. In an action for misrepresentation, the trial judge said:

"In ordinary circumstances, any statement made by an owner who has been occupying his own farm as to its carrying capacity would be regarded as a statement of fact. ... This, however, is not such a case. ... In these circumstances ... the defendants were not justified in regarding anything said by the plaintiff as to the carrying capacity as being

anything more than an expression of his opinion on the subject."

The Privy Council concurred in this view of the matter, and therefore held that, in the absence



of fraud, the purchaser had no right to rescind the contract. *Smith v Land & House Property Corp* (1884)

28 Ch D 7

The plaintiff put up his hotel for sale stating that it was let to a 'most desirable tenant'. The defendants agreed to buy the hotel. The tenant was bankrupt. As a result, the defendants refused to complete the contract and were sued by the plaintiff for specific performance. The Court of Appeal held that the plaintiff's statement was not mere opinion, but was one of fact.

Edgington v Fitzmaurice (1885) 29 Ch D 459

The plaintiff shareholder received a circular issued by the directors requesting loans to the amount of £25,000 with interest. The circular stated that the company had bought a lease of a valuable property. Money was needed for alterations of and additions to the property and to transport fish from the coast for sale in London. The circular was challenged as being misleading in certain respects. It was alleged, inter alia, that it was framed in such a way as to lead to the belief that the debentures would be a charge on the property of the company, and that the whole object of the issue was to pay off pressing liabilities of the company, not to complete the alterations, etc. The plaintiff who had taken debentures, claimed repayment of his money on the ground that it had been obtained from him by fraudulent mis-statements.

The Court of Appeal held that the statement of intention was a statement of fact and amounted to a misrepresentation and that the plaintiff was entitled to rescind the contract. Although the statement was a promise of intent the court held that the defendants had no intention of keeping to such intent at the time they made the statement.

Esso Petroleum v Mardon [1976] QB 801

Esso's experienced representative told Mardon that Esso estimated that the throughput of petrol on a certain site would reach 200,000 gallons in the third year of operation and so persuaded Mardon to enter into a tenancy agreement in April 1963 for three years. Mardon did all that could be expected of him as tenant but the site was not good enough to achieve a throughput of more than 60,000-70,000 gallons. Mardon lost money and was unable to pay for petrol supplied. Esso claimed possession of the site and money due. Mardon claimed damages in respect of the representation alleging that it amounted to (i) a warranty; and (ii) a negligent misrepresentation.

The Court of Appeal affirmed the finding of negligence under the principle of *Hedley Byrne v Heller* (1964). On the issue of warranty, Lord Denning MR stated:

"...it was a forecast made by a party, Esso, who had special knowledge and skill. It was the yardstick (the "e a c") by which they measured the worth of a filling station. They knew the facts. They knew the traffic in the town. They knew the throughput of comparable stations. They had much experience and expertise at their disposal. They

were in a much better position than Mr Mardon to make a forecast. It seems to me that if such a person makes a forecast - intending that the other should act on it and he does act on it- it can well be interpreted as a warranty that the forecast is sound and reliable in this sense that they made it with reasonable care and skill. ...If the forecast turned out to be an unsound forecast, such as no person of skill or experience should have made, there is a breach of warranty."



Solle v Butcher [1950] 1 KB 671

In 1931 a dwelling house had been converted into five flats. In 1938 Flat No. 1 was let for three years at an annual rent of £140. In 1947 the defendant took a long lease of the building, intending to repair bomb damage and do substantial alterations. The plaintiff and defendant discussed the rents to be charged after the work had been completed. The plaintiff told the defendant that he could charge £250 for Flat 1. The plaintiff paid rent at £250 per year for some time and then took proceedings for a declaration that the standard rent was £140. The defendant contended that the flat had become a new and separate dwelling by reason of change of identity, and therefore not subject to the Rent Restriction Acts. This was held to be a statement of fact. (Note: this is a case on Mistake.)

[Pankhania v London Borough of Hackney \[2002\] EWHC 2441](#)
(Ch) See online law report.

Smith v Hughes (1871) LR 6 QB 597

The plaintiff farmer asked the manager of the defendant, who was a trainer of racehorses, if he would like to buy some oats, and showed him a sample. The manager wrote to say that he would take the whole quantity. The plaintiff delivered a portion of them. The defendant complained that the oats were new oats, whereas he thought he was buying old oats, new oats being useless to him. The plaintiff, who knew that the oats were new, refused to take them back and sued for the price. There was a conflict of evidence as to what took place between the plaintiff and the manager. The court ordered a new trial. Blackburn J stated:

"...on the sale of a specific article, unless there be a warranty making it part of the bargain that it possesses some particular quality, the purchaser must take the article he has bought, though it does not possess that quality. And I agree that, even if the vendor was aware that the purchaser thought that the article possessed that quality, and would not have entered into the contract unless he had so thought, still the purchaser is bound, unless the vendor was guilty of some fraud or deceit upon him. A mere abstinence from disabusing the purchaser of that impression is not fraud or deceit, for, whatever may be the case in a court of morals, there is no legal obligation on the vendor to inform the purchaser that he is under a mistake which has not been induced by the act of the vendor."

Nottingham Brick & Tile Co v Butler (1889) 16 QBD 778

The buyer of land asked the seller's solicitor if there were any restrictive covenants on the land and the solicitor said he did not know of any. He did not say that he had not bothered to read the documents. The court held that even though the statement was literally true it was a misrepresentation. There were restrictive covenants and the contract could be rescinded.

With v O'Flanagan [1936] Ch 575

During the course of negotiations for the sale of a medical practice, the vendor made representations to the purchaser that it was worth £2000 a year. By the time when the contract was signed, they were untrue. The value of the practice had declined in the meantime (to £250) because of the vendor's inability to attend to it through illness. Lord Wright MR quoted:

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"So again, if a statement has been made which is true at the time, but which during the course of negotiations becomes untrue, then the person who knows that it has become untrue is under an obligation to disclose to the other the change of circumstances." Therefore, the failure of the vendor to disclose the state of affairs to the purchaser amounted to a misrepresentation.

Lambert v Co-Operative Insurance [1975] 2 Lloyd's Rep 485

In 1963 Mrs Lambert signed a proposal form for an insurance policy to cover her own and her husband's jewellery. No questions were asked about previous convictions and Mrs L gave no information about them. She knew that her husband had been convicted some years earlier of stealing cigarettes and fined £25. The company issued a policy providing that it should be void if there was an omission to state any fact material to the risk. The policy was renewed from year to year. In 1971 the husband was convicted of conspiracy to steal and theft and sentenced to 15 months imprisonment. Mrs L knew of the conviction but did not disclose it and the policy was renewed. In 1972, seven items of the insured jewellery, valued at £311, were lost or stolen. Mrs L's claim was repudiated on the grounds that she had failed to disclose her husband's first and second convictions. The judge dismissed the wife's claim on the ground that the 1971 conviction was a material fact and that a prudent insurer, knowing of it, would not have continued the risk. This decision was upheld by the Court of Appeal.

2. THE MISREPRESENTATION MUST HAVE INDUCED THE CONTRACT

Museprime Properties v Adhill Properties [1990] 36 EG 114

In a sale by auction of three properties the particulars wrongly represented the rents from the properties as being open to negotiation. The statements in the auction particulars and made later by the auctioneer misrepresented the position with regard to rent reviews. In fact, on two of the three properties rent reviews had been triggered and new rents agreed. The plaintiff company successfully bid for the three properties and discovered the true situation. They commenced an action for rescission. The defendant company countered with the defence that the misrepresentations were not such as to induce any reasonable person to enter into the contract.

It was held that the plaintiff's had established, and indeed that the defendants conceded, that misrepresentation had occurred and any misrepresentation is a ground for rescission. The judge referred, with approval, to the view of Goff and Jones: Law of Restitution (see Lecture p2-3), that the question whether representations would have induced a reasonable person to enter into a contract was relevant only to the onus of proof. Here the plaintiffs had established their claim to rescission of the contract on the ground of material misrepresentation because the inaccurate statements had induced them to buy the properties. They would therefore be awarded the return of their deposit, damages in respect of lost conveyancing expenses and interest.

Horsfall v Thomas [1862] 1 H&C 90

The buyer of a gun did not examine it prior to purchase. It was held that the concealment of a

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defect in the gun did not affect his decision to purchase as, since he was unaware of the misrepresentation, he could not have been induced into the contract by it. His action thus failed.

Attwood v Small (1838) 6 CI&F 232

The purchasers of a mine were told exaggerated statements as to its earning capacity by the vendors. The purchasers had these statements checked by their own expert agents, who in error reported them as correct. Six months after the sale was complete the plaintiffs found the defendant's statement had been inaccurate and they sought to rescind on the ground of misrepresentation. It was held in the House of Lords that there was no misrepresentation, and that the purchaser did not rely on the representations.

Redgrave v Hurd (1881) 20 Ch D 1

The plaintiff solicitor advertised for a partner who would also purchase his residence. The Defendant replied and during two interviews, the plaintiff represented that his business was bringing in either about £300 a year, or from £300-£400 a year. At a third interview the plaintiff produced summaries of business done, which showed gross receipts below £200 a year. The defendant asked how the difference was made up and the plaintiff produced a quantity of letters and papers which, he stated, related to other business which he had done. The defendant did not examine the books and papers thus produced, but only looked cursorily at them, and ultimately agreed to purchase the house and take a share in the business for £1,600. The trial judge came to the conclusion that the letters and papers, if examined, would have shown business of only £5 or £6 a year. Finding that the practice was utterly worthless, the defendant refused to complete the contract, and the plaintiff brought an action for specific performance. The Court of Appeal gave judgment for the defendant. Lord Jessel MR stated:

"If a man is induced to enter into a contract by a false representation it is not a sufficient answer to him to say, "If you had used due diligence you would have found out that the statement was untrue. You had a means afforded to you of discovering its falsity, and did not choose to avail yourself of them." I take it to be a settled doctrine of equity, not only as regards specific performance but also as regards rescission, that this is not an answer unless there is such delay as constitutes a defence under the Statute of Limitations. That, of course, is quite a different thing."

Edgington v Fitzmaurice (1885) 29 Ch D 459

For full facts, see above. The plaintiff was induced to lend money to a company by (a) the statement of intent, and (b) his mistaken belief that he would have a charge on the assets of the company. He was able to claim damages for deceit even though he admitted that he would not have lent the money, had he not held this mistaken belief.

3. TYPES OF MISREPRESENTATION

Derry v Peek (1889) 14 App Cas 337

A special Act incorporating a tramway company provided that the carriages might be moved by animal power and, with the consent of the Board of Trade, by steam power. The directors issued a prospectus containing a statement that by this special Act the company had the right to use steam instead of horses. The plaintiff bought shares on the strength of this statement. The Board of Trade refused to consent to the use of steam and the company was wound up. The plaintiff brought an action for deceit.

It was held by the House of Lords that in an action for deceit, it is not enough to establish misrepresentation alone; something more must be proved to cast liability on the defendant. There is an essential difference between the case where the defendant honestly believes in the truth of a statement although he is careless, and where he is careless with no such honest belief. Fraud is established where it is proved that a false statement is made: (a) knowingly; or (b) without belief in its truth; or (c) recklessly, careless as to whether it be true or false. If fraud is proved, the motive of the person making the statement is irrelevant. It matters not that there was no intention to cheat or injure the person to whom the statement was made. The defendants were not fraudulent in this case. They made a careless statement but they honestly believed in its truth.

Hedley Byrne v Heller [1964] AC 465

Hedley Byrne were a firm of advertising agents. They intended to advertise on behalf of Easypower Ltd. They wanted to know if Easypower were creditworthy, and asked their bank, the National Provincial, to find out. The National Provincial got in touch with Easypower's bankers, Heller & Partners. Heller told the National Provincial, "in confidence and without responsibility on our part," that Easypower were good for £100,000 per annum on advertising contracts. Hedley Byrne relied on this statement in placing orders on behalf of Easypower and, as a result, lost more than £17,000 when Easypower went into liquidation. They sought to recover this loss as damages.

In the House of Lords, Lord Pearce stated that a man may come under a special duty to exercise care in giving information or advice. Whether such a duty has been assumed must depend on the relationship of the parties. Was there such a special relationship in the present case as to impose on Heller a duty of care to Hedley Byrne as the undisclosed principals for whom National Provincial was making the inquiry? The answer to that question depends on the circumstances of the transaction. A most important circumstance is the form of the inquiry and of the answer. Both were plainly stated to be without liability. The words clearly prevented a special relationship from arising.

Williams v Natural Life Health Foods Ltd (1998) The Times, May 1. See Law Report.

Howard Marine v Ogden [1978] QB 574

The defendants wished to hire two barges from the plaintiffs. The plaintiffs quoted a price for the hire in a letter. At a meeting, the defendants asked about the carrying capacity of the barges. The plaintiffs' representative replied it was about 1,600 tonnes. The answer was given honestly but was wrong. It was based on the representative's

recollection of the deadweight figure given in Lloyd's Register of 1,800 tonnes. The correct figure, 1,195 tonnes, appeared in

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shipping documents which the representative had seen, but had forgotten. Because of their limited carrying capacity, the defendant's work was held up. They refused to pay the hire charges. The plaintiffs sued for the hire charges and the defendants counter-claimed damages.

By a majority, the Court of Appeal found the plaintiffs liable under s2(1) as the evidence adduced by the plaintiffs was not sufficient to show that their representative had an objectively reasonable ground for disregarding the carrying capacity figure given in the shipping document and preferring the figure in Lloyd's Register.

4. REMEDIES FOR MISREPRESENTATION

(A) RESCISSION

Car & Universal Finance v Caldwell [1965] 1 QB 525

Caldwell sold his car to Norris. The cheque was dishonoured when it was presented the next day. He immediately informed the police and the Automobile Association of the fraudulent transaction. Subsequently Norris sold the car to X who sold it to Y who sold it to Z who sold it to the plaintiffs. In interpleader proceedings one of the issues to be tried was whether the defendant's conduct and representations amounted to a rescission of the contract of sale. It was held that the contract was voidable because of the fraudulent misrepresentation and the owner had done everything he could in the circumstances to avoid the contract. As it had been avoided before the sale to the third party, no title was passed to them and the owner could reclaim the car.

Long v Lloyd [1958] 1 WLR 753

The defendant advertised for sale a lorry as being in 'exceptional condition' and he told the plaintiff purchaser that it did 11 miles to the gallon and, after a trial run, all that was wrong with the vehicle. The plaintiff purchased the lorry and, two days later, on a short run, further faults developed and the plaintiff noticed that it did only about 5 miles to the gallon. That evening he reported these things to the defendant and the plaintiff accepted the defendant's offer to pay for some of the repairs. The next day the lorry set out on a longer journey and broke down. The plaintiff wrote to the defendant asking for the return of his money. The lorry had not been in a roadworthy condition, but the defendant's representations concerning it had been honestly made. The Court of Appeal held that the plaintiff was not entitled to rescission of the contract as he had finally accepted the lorry before he had purported to rescind. The second journey amounted to affirmation of the contract.

Leaf v International Galleries [1950] 2 KB 86

The plaintiff bought a painting after an innocent misrepresentation was made to him that it was by 'J. Constable'. He did not discover this until five years later and claimed rescission immediately. The Court of Appeal held that the plaintiff had lost his right to rescind after such a period of time. His only remedy after that length of time was for damages only, a claim which he had not brought before the court.

Vigers v Pike (1842) 8 CI&F 562



A lease of a mine which had been entered into as a result of a misrepresentation could not be rescinded as there had been considerable extraction of minerals since the date of the contract.

Armstrong v Jackson [1917] 2 KB 822

A broker purported to buy shares for a client, but in fact sold his own shares to the client. Five years later, when the shares had fallen in value from nearly £3 to 5s, it was held that the client could rescind on account of the broker's breach of duty. He still had the identical shares and was able to return them, together with the dividends he had received. McCardie J. said:

"It is only ...where the plaintiff has sustained loss by the inferiority of the subject-matter or a substantial fall in its value that he will desire to exert his power of rescission ...If mere deterioration of the subject-matter negated the right to rescind, the doctrine of rescission would become a vain thing."

(B) INDEMNITY

Whittington v Seale-Hayne (1900) 82 LT 49

The plaintiffs bred poultry and were induced to enter into a lease of property belonging to the defendants by an oral representation that the premises were in a sanitary condition. In fact the water supply was poisoned and the manager fell ill and the stock died. The terms of the lease required the plaintiffs to pay rent to the defendants and rates to the local authority and they were also obliged to make certain repairs ordered by the local council.

Farwell J rescinded the lease, and, following the judgment of Bowen LJ in *Newbigging v Adam* (1886) 34 Ch D 582, held that the plaintiffs could recover the rents, rates and repairs under the covenants in the lease but nothing more. They could not recover removal expenses and consequential loss (ie, loss of profits, value of lost stock and medical expenses) as these did not arise from obligations imposed by the lease (the contract did not require the farm to be used as a poultry farm). Had they been awarded, they would have amounted to an award of damages (ie, expenses resulting from the running of the poultry farm).

(C) DAMAGES

Doyle v Olby (Ironmongers) Ltd [1969] 2 QB 158

After buying an ironmonger's business, things turned out to be very different from what the vendors had led the plaintiff to believe. He was awarded damages for fraudulent misrepresentations and the appeal concerned, among other things, the measure of damages. Lord Denning MR said that: "The defendant is bound to make reparation for all the actual damage directly flowing from the fraudulent inducement ...It does not lie in the mouth of the fraudulent person to say that they could not have been reasonably

foreseen."

Smith v New Court Securities [1996] 4 All ER
769 See Law Report.



East v Maurer [1991] 2 All ER 733

The defendant who owned two hair salons agreed to sell one to the plaintiffs. They were induced to buy, in part by a representation from the defendant that he hoped in future to work abroad and that he did not intend to work in the second salon. In fact, the defendant continued to work at the second salon and many of his clients followed him. The result of this was that the plaintiffs saw a steady fall-off in business and never made a profit. They were finally forced to sell for considerably less than they paid. The court at first instance found that the defendant's representations were false. The defendant appealed on the assessment of the award of damages. The Court of Appeal held that the proper approach was to assess the profit the plaintiff might have made had the defendant not made the representation(s). 'Reparation for all actual damage' as indicated by Lord Denning in *Doyle v Olby* would include loss of profits. The assessment of profits was however, to be on a tortious basis, that is, placing the plaintiff in the same position he would have been in, had the wrong not been committed. The plaintiff could recover damages in respect of another such business in which he would have invested his money if the representation had been made, but not the profits which he would have made out of the defendant's business, if the representation relating to it had been true. (Note: the damages were reduced by one-third, from £15,000 to £10,000).

Archer v Brown [1984] 2 All ER

267 See Law Report.

Downs v Chappell [1996] 3 All ER

344 See Law Report.

Royscott Trust Ltd v Rogerson [1991] 3 WLR 57

A car dealer induced a finance company to enter into a hire-purchase agreement by mistakenly misrepresenting the amount of the deposit paid by the customer, who later defaulted and sold the car to a third party. The finance company sued the car dealer for innocent misrepresentation and claimed damages under s2(1).

The Court of Appeal held that the dealer was liable to the finance company under s2(1) for the balance due under the agreement plus interest on the ground that the plain words of the subsection required the court to apply the deceit rule. Under this rule the dealer was liable for all the losses suffered by the finance company even if those losses were unforeseeable, provided that they were not otherwise too remote. It was in any event a foreseeable event that a customer buying a car on HP might dishonestly sell the car.

Thomas Witter v TBP Industries [1996] 2 All ER

573. See Law Report.

[HIH Casualty & General v Chase Manhattan Bank \[2003\]](#)

[UKHL 6](#). See online law report.

INTRODUCTION

For a mistake to affect the validity of a contract it must be an "operative mistake", ie, a mistake which operates to make the contract void. The effect of a mistake is:

- At common law, when the mistake is operative the contract is usually void ab initio, ie, from the beginning. Therefore, no property will pass under it and no obligations can arise under it.
- Even if the contract is valid at common law, in equity the contract may be voidable on the ground of mistake. Property will pass and obligations will arise unless or until the contract is avoided. However, the right to rescission may be lost.

Unfortunately, there is no general doctrine of mistake - the rules are contained in a disparate group of cases. This is also an area of confusing terminology. No two authorities seem to agree on a common classification, and often the same terminology is used to cover different forms of mistake.

COMMON MISTAKE

A common mistake is one when both parties make the same error relating to a fundamental fact. The cases may be categorised as follows:

(A) RES EXTINCTA

A contract will be void at common law if the subject matter of the agreement is, in fact, non-existent. See for example:

Couturier v Hastie (1856) 5 HL Cas 673

In addition, s6 of the Sale of Goods Act 1979 provides that:

Where there is a contract for the sale of specific goods, and the goods without the knowledge of the sellers have perished at the time when the contract was made, the contract is void.

Other relevant cases include:

Griffith v Brymer (1903) 19 TLR 434

Galloway v Galloway (1914) 30 TLR 531

Couturier v Hastie was interpreted differently by the High Court of Australia in:

McRae v The Commonwealth Disposals Commission (1950) 84 CLR 377

(B) RES SUA

Where a person makes a contract to purchase that which, in fact, belongs to him, the

contract is void. For example see:



Cooper v Phibbs (1867) LR 2 HL 149

(C) MISTAKE AS TO QUALITY

A mistake as to the quality of the subject matter of a contract has been confined to very narrow limits. According to Lord Atkin: "A mistake will not affect assent unless it is the mistake of both parties, and is as to the existence of some quality which makes the thing without the quality essentially different from the thing as it was believed to be." See:

Bell v Lever Bros Ltd [1931] All ER 1.

In cases since Bell v Lever Bros the courts have not been over-ready to find a mistake as to quality to be operative. See:

Solle v Butcher [1949] 2 All ER 1107

Leaf v International Galleries [1950] 1 All ER 693

Harrison & Jones Ltd v Bunten & Lancaster Ltd [1953] 1 All ER 903

Associated Japanese Bank Ltd v Credit du Nord [1988] 3 All ER 902

BCCI v Ali and others [1999] 2 All ER 1005

REMEDIES

Where a contract is void for identical mistake, the court exercising its equitable jurisdiction, can:

- Refuse specific performance
- Rescind any contractual document between the parties
- Impose terms between the parties, in order to do

justice. Relevant cases include:

Cooper v Phibbs (1867) LR 2 HL 149

Solle v Butcher [1949] 2 All ER 1107

Grist v Bailey [1966] 2 All ER 875

Magee v Pennine Insurance [1969] 2 All ER 891

Note: Solle v Butcher has been criticised in cases such as [Great Peace Shipping Ltd v Tsavlis \(Int.\) Ltd \[2002\] EWCA Civ 1407](#), [Kyle Bay Ltd v Underwriters \[2006\] EWHC 607](#) and [Islington v UCKAC \[2006\] EWCA Civ 340](#).

Rescission for mistake is subject to the same bars as rescission for misrepresentation.

UNILATERAL MISTAKE

The case of unilateral mistake is where only one party is mistaken. The cases may be categorised as follows:

(A) MISTAKE AS TO THE TERMS OF THE CONTRACT

Where one party is mistaken as to the nature of the contract and the other party is aware of the mistake, or the circumstances are such that he may be taken to be aware of it, the contract is void.

For the mistake to be operative, the mistake by one party must be as to the terms of the contract itself. See:

Hartog v Colin & Shields [1939] 3 All ER 566

A mere error of judgement as to the quality of the subject matter will not suffice to render the contract void for unilateral mistake. See:

Smith v Hughes (1871) LR 6 QB 597

REMEDY

Equity follows the law and will rescind a contract affected by unilateral mistake or refuse specific performance as in:

Webster v Cecil (1861) 30 Beav 62

(B) MISTAKE AS TO IDENTITY

Here one party makes a contract with a second party, believing him to be a third party (ie, someone else). The law makes a distinction between contracts where the parties are inter absentes and where the parties are inter praesentes.

Contract made inter absentes

Where the parties are not physically in each others presence, eg, they are dealing by correspondence, and one party is mistaken as to the identity, not the attributes, of the other and intends instead to deal with some identifiable third party, and the other knows this, then the contract will be void for mistake. See:

Cundy v Lindsay (1878) 3 App Cas 459

If the innocent party believes that he is dealing with a reputable firm, not a rogue, see:

King's Norton Metal Co Ltd v Edridge Merrett Co Ltd (1897) TLR 98

Two conclusions are commonly drawn from these two cases: (1) that to succeed in the case of a mistake as to identity there must be an identifiable third party with whom one intended to contract; and (2) the mistake must be as to identity and not attributes.

Cundy v Lindsay was recently confirmed by a majority of the House of Lords in [Shogun](#)

[Finance Ltd v Hudson \[2003\] UKHL 62.](#)

Contract made inter praesentes

Where the parties are inter praesentes (face to face) there is a presumption that the mistaken party intends to deal with the other person who is physically present and identifiable by sight and sound, irrespective of the identity which one or other may assume. For such a mistake to be an operative mistake and to make the agreement void the mistaken party must show that:

- (i) they intended to deal with someone else;
- (ii) the party they dealt with knew of this intention;
- (iii) they regarded identity as of crucial importance; and
- (iv) they took reasonable steps to check the identity of the other person (see Cheshire & Fifoot, Law of Contract, p257-263).

Even where the contract is not void, it may be voidable for fraudulent misrepresentation but if the goods which are the subject-matter have passed to an innocent third party before the contract is avoided, that third party may acquire a good title. The main cases are as follows:

Phillips v Brooks [1919] 2 KB 243

Ingram v Little [1960] 3 All ER 332 (a controversial case)

Lewis v Avery [1971] 3 All ER 907

The exception to the above rule is that if a party intended to contract only with the person so identified, such a mistake will render the contract void:

Lake v Simmons [1927] AC

487 A more recent case is:

Citibank v Brown Shipley [1991] 2 All ER 690

MUTUAL MISTAKE

A mutual mistake is one where both parties fail to understand each other.

WHERE THE PARTIES ARE AT CROSS PURPOSES

In cases where the parties misunderstand each other's intentions and are at cross purposes, the court will apply an objective test and consider whether a 'reasonable man' would take the agreement to mean what one party understood it to mean or what the other party understood it to mean:

* If the test leads to the conclusion that the contract could be understood in one sense only, both parties will be bound by the contract in this sense.

* If the transaction is totally ambiguous under this objective test then there will be no

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consensus ad idem (agreement as to the same thing) and the contract will be void:

Wood v Scarth (1858) 1 F&F 293

Raffles v Wichelhaus (1864) 2 H&C 906

Scriven Bros v Hindley & Co [1913] 3 KB

564 REMEDY

If the contract is void at law on the ground of mistake, equity "follows the law" and specific performance will be refused and, in appropriate circumstances, the contract will be rescinded. However, even where the contract is valid at law, specific performance will be refused if to grant it would cause hardship. Thus the remedy of specific performance was refused in Wood v Scarth (above).

A recent case is:

Nutt v Read (1999) The Times, December 3.

MISTAKE RELATING TO DOCUMENTS

NON EST FACTUM

As a general rule, a person is bound by their signature to a document, whether or not they have read or understood the document: L'Estrange v Graucob [1934] 2 KB 394. However, where a person has been induced to sign a contractual document by fraud or misrepresentation, the transaction will be voidable.

Sometimes, the plea of non est factum, namely that 'it is not my deed' may be available. A successful plea makes a document void. The plea was originally used to protect illiterate persons who were tricked into putting their mark on documents. It eventually became available to literate persons who had signed a document believing it to be something totally different from what it actually was. See, for example:

Foster v Mackinnon (1869) LR 4 CP 704

The use of the rule in modern times has been restricted. For a successful plea of non est factum two factors have to be established:

- (i) the signer was not careless in signing; and
- (ii) there is a radical difference between the document which was signed and what the signer thought he was signing.

The following decision of the House of Lords is the leading case on this topic:

Saunders v Anglia Building Society (Gallie v Lee) [1970] 3 All ER 961

Note: Because of the strict requirements, it may be better for the innocent party to bring a claim based on undue influence.

COMMON MISTAKE

Couterier v Hastie (1856) 5 HL Cas 673

The plaintiff merchants shipped a cargo of Indian corn and sent the bill of lading to their London agent, who employed the defendant to sell the cargo. On 15 May 1848, the defendant sold the cargo to Challender on credit. The vessel had sailed on 23 February but the cargo became so heated and fermented that it was unfit to be carried further and sold. On May 23 Challender gave the plaintiff notice that he repudiated the contract on the ground that at the time of the sale to him the cargo did not exist. The plaintiffs brought an action against the defendant (who was a *del credere* agent, ie, guaranteed the performance of the contract) to recover the purchase price.

Martin B ruled that the contract imported that, at the time of sale, the corn was in existence as such and capable of delivery, and that, as it had been sold, the plaintiffs could not recover. This judgment was affirmed by the House of Lords.

Griffith v Brymer (1903) 19 TLR 434

At 11am on 24 June 1902 the plaintiff had entered into an oral agreement for the hire of a room to view the coronation procession on 26 June. A decision to operate on the King, which rendered the procession impossible, was taken at 10am on 24 June. Wright J held the contract void. The agreement was made on a misapprehension of facts which went to the whole root of the matter, and the plaintiff was entitled to recover his £100.

Galloway v Galloway (1914) 30 TLR 531-See Cheshire & Fifoot,

p239. *McRae v Commonwealth Disposals Commission* (1950)

84 CLR 377

The defendants sold an oil tanker described as lying on Jourmand Reef off Papua. The plaintiffs incurred considerable expenditure in sending a salvage expedition to look for the tanker. There was in fact no oil tanker, nor any place known as Jourmand Reef. The plaintiffs brought an action for (1) breach of contract, (2) deceit, and (3) negligence. The trial judge gave judgment for the plaintiffs in the action for deceit. He held that *Couterier v Hastie* obliged him to hold that the contract of sale was void and the claim for breach of contract failed. Both parties appealed.

The High Court of Australia stated that it was not decided in *Couterier v Hastie* that the contract in that case was void. The question whether it was void or not did not arise. If it had arisen, as in an action by the purchaser for damages, it would have turned on the ulterior question whether the contract was subject to an implied condition

precedent. In the present case, there was a contract, and the Commission contracted that a tanker existed in the position



specified. Since there was no such tanker, there had been a breach of contract, and the plaintiffs were entitled to damages for that breach.

Cooper v Phibbs (1867) LR 2 HL 149

An uncle told his nephew, not intending to misrepresent anything, but being in fact in error, that he (the uncle) was entitled to a fishery. The nephew, after the uncle's death, acting in the belief of the truth of what the uncle had told him, entered into an agreement to rent the fishery from the uncle's daughters. However, the fishery actually belonged to the nephew himself. The House of Lords held that the mistake was only such as to make the contract voidable. Lord Westbury said "If parties contract under a mutual mistake and misapprehension as to their relative and respective rights, the result is that that agreement is liable to be set aside as having proceeded upon a common mistake" on such terms as the court thought fit to impose; and it was so set aside.

N.B. According to Smith & Thomas, A Casebook on Contract, Tenth edition, p506, "At common law such a contract (or simulacrum of a contract) is more correctly described as void, there being in truth no intention to a contract". However, Denning LJ applied Cooper v Phibbs in Solle v Butcher (1949) (below).

Bell v Lever Bros Ltd [1931] All ER 1

The plaintiff company contracted with the defendants who were to act as chairman and vice-chairman of a subsidiary company. It was later agreed between the parties that the defendants should resign their positions in consideration of payments by way of compensation. It later transpired that the defendants, without the knowledge of the plaintiffs, had engaged in private transactions resulting in a secret profit to themselves. These transactions constituted breaches of the defendants' contracts, which would have entitled the plaintiffs to terminate those contracts forthwith if they had known of the transactions.

It was held by the House of Lords (3-2) that the erroneous belief on the part of both parties to the agreements, that the service contracts were determinable except by agreement did not involve the actual subject-matter of the agreements, but merely related to the quality of the subject-matter and so was not of such a fundamental character as to constitute an underlying assumption without which the parties would not have entered into the agreements, and, therefore, the plaintiffs were not entitled to succeed in their action.

See extract from the speech of Lord

Atkin. Solle v Butcher [1949] 2 All ER

1107

For facts, see below. Denning LJ stated:

"Let me first consider mistakes which render a contract a nullity. All previous decisions

on this subject must now be read in the light of Bell v Lever Bros. Ltd. The correct interpretation of that case, to my mind, is that, once a contract has been made, that is to say, once the parties, whatever their inmost states of mind, have to all outward appearances agreed with sufficient



certainty in the same terms on the same subject-matter, then the contract is good unless and until it is set aside for failure of some condition on which the existence of the contract depends, or for fraud, or on some equitable ground. Neither party can rely on his own mistake to say it was a nullity from the beginning, no matter that it was a mistake which to his mind was fundamental, and no matter that the other party knew he was under a mistake".

Leaf v International Galleries [1950] 1 All ER 693

In 1944, the plaintiff bought from the sellers an oil painting of Salisbury Cathedral which was represented to him as a painting by Constable, a representation which was held to be one of the terms of the contract. In 1949 he found that the picture was not a Constable. The buyer brought an action for the rescission of the contract on the ground that there had been an innocent misrepresentation. The Court of Appeal held that the buyer had lost the right to rescind when he accepted delivery of the picture, or at least, when a reasonable time had elapsed after his acceptance, and five years was more than a reasonable time. Denning LJ stated obiter:

"There was a mistake about the quality of the subject-matter, because both parties believed the picture to be a Constable; and that mistake was in one sense essential or fundamental. But such a mistake does not avoid the contract: there was no mistake at all about the subject-matter of the sale. It was a specific picture, "Salisbury Cathedral." The parties were agreed in the same terms on the same subject-matter, and that is sufficient to make a contract: see *Solle v Butcher*."

Harrison v Buntin [1953] 1 All ER 903

By two contracts in writing, the sellers agreed to sell, and the buyers agreed to buy, a quantity of Calcutta Kapok "Sree" brand. After the goods had been delivered, the buyers found that, instead of being pure kapok, they contained an admixture of cotton, which was unsuitable for their machinery. Both parties thought that Calcutta Kapok "Sree" brand was pure kapok.

Pilcher J held that when goods are sold under a known trade description, without misrepresentation or breach of warranty, the fact that both parties are unaware that goods of that known trade description lack any particular quality is irrelevant. If goods answering to the particular description are supplied, the parties are bound by their contract and there is no room for the doctrine that the contract can be treated as a nullity on the ground of mutual mistake, even though the mistake, from the purchaser's point of view, may turn out to be of a fundamental character. Therefore the contracts were not nullities and the buyers were bound by them.

Associated Japanese Bank v Credit du Nord [1988] 3 All ER 902

B made a sale and leaseback transaction of specified precision engineering machines with AJB. B's obligations under the leaseback agreement were guaranteed by CDN. At all times both banks believed that the four machines existed and were in B's possession.

After B failed to keep up the payments it was discovered that the transaction was a fraud perpetrated by B. AJB sued CDN on the guarantee. It was held by Steyn J that on its true construction the guarantee was



subject to an express or implied condition precedent that there was a lease in respect of four existing machines. It followed, therefore, that since the machines did not exist AJB's claim failed and would be dismissed.

Steyn J stated obiter that a contract will be void ab initio for common mistake if a mistake by both parties to the contract renders the subject matter of the contract essentially and radically different from that which both parties believed to exist at the time the contract was executed. However, the party seeking to rely on the mistake must have had reasonable grounds for entertaining the belief on which the mistake was based.

BCCI v Ali and others [1999] 2 All ER

1005 See Law Report.

Cooper v Phibbs (1867)

For facts, see above. The House of Lords set the agreement aside on the terms that the defendant should have a lien on the fishery for such money as the defendant had expended on its improvements

Solle v Butcher [1949] 2 All ER 1107

In 1931 a dwelling house had been converted into five flats. In 1938 Flat No. 1 was let for three years at an annual rent of £140. In 1947 the defendant took a long lease of the building, intending to repair bomb damage and do substantial alterations. The plaintiff and defendant discussed the rents to be charged after the work had been completed. The plaintiff told the defendant that he could charge £250 for Flat 1. The plaintiff paid rent at £250 per year for some time and then took proceedings for a declaration that the standard rent was £140. The defendant contended that the flat had become a new and separate dwelling by reason of change of identity, and therefore not subject to the Rent Restriction Acts.

The Court of Appeal held that (i) the structural alterations and improvements were not such as to destroy the identity of the flat as let in 1939, and (ii) on the evidence, the parties had addressed their minds to the material issue of identity of the new flat, and their mistake or common misapprehension as to whether the flat had been so altered as to destroy its identity was a mistake of fact, and the landlord was entitled to have the lease set aside in equity on such terms as the court thought fit.

Grist v Bailey [1966] 2 All ER 875

The defendant agreed to sell a house, subject to an existing tenant, for £850. The defendant refused to perform and alleged that the agreement had been entered into by her under mistake of fact. The defendant believed that the property was occupied by a statutory tenant who had actually died. Its value with vacant possession would have been £2,250. The tenant's son occupied the flat, paying the rent at the office of solicitors, but left without having claimed to have a statutory tenancy under the Increase

of Rent ...Act 1920. The plaintiff buyer brought an action for specific performance of the agreement. The defendant counterclaimed for rescission



of the sale agreement.

It was held that there was equitable jurisdiction to set aside the sale agreement for common mistake of fact and the sale agreement would be set aside because the mistake was fundamental, even on the footing that it had been open to the son to maintain a claim to protection as a statutory tenant, and any fault of the defendant vendor in not knowing who her tenant was was not sufficient to disentitle her to relief, the defendant offering to submit to a condition that she would enter into a fresh contract to sell the property to the plaintiff at a proper vacant possession price.

Magee v Penine Insurance [1969] 2 All ER 891

The plaintiff signed a proposal form, filled in by his son, for the insurance of a motor car. There were a number of mis-statements in the proposal, in particular it was mis-stated that the plaintiff held a driving licence. The proposal was accepted by the defendant insurance company. The car was accidentally damaged and the plaintiff made a claim in respect of it. The insurance company offered £385 in settlement of the claim which the plaintiff accepted. The insurance company then discovered the mis-statements in the proposal form and refused to pay.

It was held by the Court of Appeal, that on its true construction, the insurance company's letter was an offer of compromise and not merely an offer to quantify the claim, but judgment would be given for the defendant insurance company on the following grounds:

- (a) (per Lord Denning MR) although the acceptance by the plaintiff of the insurance company's offer constituted a contract of compromise binding at law, the parties were acting under a common and fundamental mistake in that they thought that the original policy was good and binding. The contract was therefore voidable in equity, and it would be set aside because in the circumstances it was not equitable to hold the insurance company to it;
- (b) (per Fenton Atkinson LJ) the agreement to compromise was made on the basis of an essential contractual assumption, namely, that there was in existence a valid and enforceable policy of insurance. Since that assumption was false the insurance company was entitled to avoid the agreement on the ground of mutual mistake in a fundamental and vital matter.

[Great Peace Shipping Ltd v Tsavliris \(Int.\) Ltd \[2002\] EWCA Civ 1407](#)

[Kyle Bay Ltd v Underwriters \[2006\] EWHC 607](#)

[Islington v UCKAC \[2006\] EWCA Civ 340](#)

See online law reports (click above).

UNILATERAL MISTAKE



The defendants contracted to sell to the plaintiff 30,000 hare skins, but by an alleged mistake they offered the goods at certain prices per pound instead of at those prices per piece. The value of a piece was approximately one-third that of a pound. In verbal and written negotiations which took place prior to the sale, reference had always been made to the price per piece and never to the price per pound, and expert evidence was given that hare skins were generally sold at prices per piece.

It was held that the plaintiff could not reasonably have supposed that the offer expressed the real intention of the persons making it, and must have known it to have been made by mistake. The plaintiff did not, by his acceptance of the offer, make a binding contract with the defendants.

Smith v Hughes [1861-73] All ER 632

The plaintiff farmer, having new oats, asked the manager of the defendant racehorse trainer, if he wanted to buy oats. On being answered by the manager that he was always ready to buy good oats, the farmer gave him a sample and told him the price. The manager took away the sample and the next day bought the bulk, but afterwards refused to accept the oats because they were new, whereas he said, he had thought to buy old oats. In the county court, there was a conflict of testimony over the type of oats mentioned at the bargaining. It was held that the passive acquiescence of the seller in the self-deception of the buyer did not, in the absence of fraud or deceit on the part of the seller, entitle the buyer to avoid the contract, and there must be a new trial.

Webster v Cecil (1861) 30 Beav 62

The defendant, having refused to sell some property to the plaintiff for £2,000, wrote a letter in which, as the result of a mistaken calculation, he offered to sell it for £1,250. The plaintiff accepted but the defendant refused to complete. Romilly MR refused a decree of specific performance.

Cundy v Lindsay [1874-80] All ER 1149

A rogue named Blenkarn ordered goods in writing from Lindsay & Co. He gave his address as "Blenkarn & Co, 37 Wood Street, Cheapside" and signed the letter in such a way that the name appeared to be "Blenkiron & Co". A very respectable firm known as Blenkiron & Sons which carried on business at 123 Wood Street was well known to Lindsay who did not ascertain their correct address but dispatched the goods to "Blenkiron & Co, 37 Wood Street, Cheapside." Blenkarn was convicted of obtaining goods by false pretences, but before his conviction he had sold some of the goods to Cundy in the ordinary course of business and Cundy re-sold them all to different persons before the fraud was discovered.

It was held that as Lindsay & Co knew nothing of Blenkarn and intended to deal only with Blenkiron & Sons, a fact which was known to Blenkarn, there was no common intention which could lead to any contract between the parties, and therefore, the property in the goods remained in Lindsay and Cundy had no title to them.

King's Norton Metal v Edridge Merret (1897) TLR 98

A rogue named Wallis ordered some goods, on notepaper headed "Hallam & Co", from King's Norton. The goods were paid for by a cheque drawn by "Hallam & Co". King's Norton received another letter purporting to come from Hallam & Co, containing a request for a quotation of prices for goods. In reply King's Norton quoted prices, and Hallam then by letter ordered some goods, which were sent off to them. These goods were never paid for. Wallis had fraudulently obtained these goods and sold them to Edridge Merret, who bought them bona fide. King's Norton brought an action to recover damages for the conversion of the goods.

It was held by the Court of Appeal held that if a person, induced by false pretences, contracted with a rogue to sell goods to him and the goods were delivered the rogue could until the contract was disaffirmed give a good title to a bona fide purchaser for value. The plaintiffs intended to contract with the writer of the letters. If it could have been shown that there was a separate entity called Hallam & Co and another entity called Wallis then the case might have come within the decision in *Cundy v Lindsay*. In the opinion of AL Smith LJ, there was a contract by the plaintiffs with the person who wrote the letters, by which the property passed to him. There was only one entity, trading it might be under an alias, and there was a contract by which the property passed to him.

[Shogun Finance Ltd v Hudson \[2003\] UKHL 62](#)

See online law report (click above).

Philips v Brooks [1918-19] All ER

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North visited the plaintiff jeweller, and chose some pearls and a ring. While writing a cheque in payment, he represented to the plaintiff that he was Sir George Bullough, with an address in St James Sq, London. The plaintiff had heard of Sir George as a man of means, and on referring to the directory found that he lived at the address given by North. He therefore allowed North to take away the ring. In fact, the cheque was worthless and North was convicted of obtaining the ring from the plaintiff by false pretences. North had pawned the ring with the defendant pawnbrokers, who took it bona fide and without notice in the course of business, giving value for it. The plaintiff brought an action for the return of the ring.

It was held that the plaintiff intended to contract with North although he would not have made the contract, but for the defendant's fraudulent misrepresentation, and therefore, the property in the ring passed to North who could give a good title to any third party acquiring it bona fide, without notice and for value, and the action failed.

Ingram and others v Little [1960] 3 All ER 332

The joint owners of a car, two sisters and a third person, advertised it for sale. A

swindler called on them and agreed to buy the car. When they refused to accept a cheque, he tried to convince them that he was a reputable person and said that he was a Mr Hutchinson of Stanstead House, Caterham. One sister went to the local post office and returned to say that she had checked the name and address in the telephone directory. They decided to accept the

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cheque. The cheque was dishonoured and the man, who was not Mr Hutchinson, disappeared having sold the car to Little, who had bought it in good faith. The owners brought an action to recover the car or its value from Little.

It was held by the Court of Appeal (Devlin LJ dissenting) that the offer to sell on payment by cheque was made only to the person whom the swindler had represented himself to be, and as the swindler knew this, the offer was not one which was capable of being accepted by him. Therefore, there had been no contract for the sale of the car by the plaintiffs and they were entitled to recover the car or damages from the defendant.

Lewis v Avery [1971] 3 All ER 907

Lewis advertised his car for sale. A man, who turned out to be a rogue, called on Lewis, tested the car and said that he liked it. He called himself "Richard Green" and made Lewis believe that he was a well-known film actor of that name. They agreed a price and the rogue wrote out a cheque. He said he wanted to take the car at once. Lewis asked for proof of identity and he was shown a studio pass which bore the name "Richard Green" and a photograph of the rogue. On seeing this Lewis was satisfied and let the rogue have the car and log book. The cheque was dishonoured. Meanwhile the rogue had sold the car to Avery, who bought in good faith and without knowledge of the fraud. Lewis brought an action for the conversion of the car. It was held by the Court of Appeal, distinguishing and doubting *Ingram v Little*, that:

- (1) the fraud perpetrated by the rogue rendered the contract between Lewis and the rogue voidable and not void because-
 - (a) where a transaction had taken place between a seller and a person physically present before him there was a presumption that the seller was dealing with that person even though, because of the latter's fraud, the seller thought that he was dealing with another individual whom he believed to be the person physically present. In the present case there was nothing to rebut the presumption that Lewis was dealing with the person present before him, ie the rogue; and
 - (b) Lewis failed to show that, at the time of offering to sell his car to the rogue, he regarded his identity as a matter of vital importance. It was merely a mistake as to the attributes of the rogue, ie his creditworthiness.

- (2) Accordingly, since Lewis had failed to avoid the contract before the rogue parted with the property in the car to Avery, the latter, having bought the car bona fide and without notice of the fraud, had acquired a good title thereto and the action failed.

Lake v Simmonds [1927] All ER 49

A woman, Esme Ellison, who had bought certain goods from the plaintiff jeweller on previous occasions, told him that her husband, Van der Borgh, wished to give her a pearl necklace. Believing that she was the person she represented herself to be and that her statements were true, the jeweller allowed her to take two necklaces to show her husband. In fact Esme was not Van der Borgh's wife. Having obtained the necklaces

Esme sold them and retained the proceeds. The plaintiff brought an action against his insurance company, who refused to pay as the goods had been entrusted by him to the thief.



It was held by the House of Lords, that in obtaining the necklaces in the way that she did, Esme was guilty of larceny by a trick, and therefore, when the plaintiff permitted her to take the necklaces there was no consensus ad idem (agreement as to the same thing) between them and the necklaces were not "entrusted" to her within the exceptions clause in the policy, which was to be constructed contra proferentem. Accordingly, the plaintiff was entitled to succeed.

Citibank v Brown Shipley [1991] 2 All ER

690 See Law Report.

MUTUAL MISTAKE

Wood v Scarth (1858) 1 F&F 293

The defendant offered in writing to let a pub to the plaintiff at £63 pa. After a conversation with the defendant's clerk, the plaintiff accepted by letter, believing that the £63 rental was the only payment under the contract. In fact, the defendant had intended that a £500 premium would also be payable and he believed that his clerk had explained this to the plaintiff. The defendant refused to complete and the plaintiff brought an action for specific performance. The court refused the order of specific performance but the defendant was liable in damages.

Raffles v Wichelhaus (1864) 2 H&C 906

The plaintiff agreed to sell cotton to the defendant which was "to arrive ex Peerless from Bombay". When the cotton arrived the plaintiff offered to deliver but the defendants refused to accept the cotton. The defendants pleaded that the ship mentioned was intended by them to be the ship called the Peerless, which sailed from Bombay in October and that the plaintiff had not offered to deliver cotton which arrived by that ship, but instead offered to deliver cotton which arrived by another ship, also called Peerless, which had sailed from Bombay in December.

Judgment was given for the defendants. It was held that there was nothing on the face of the contract to show which Peerless was meant; so that this was a plain case of latent ambiguity, as soon as it was shown that there were two Peerlesses from Bombay; and parol evidence could be given when it was found that the plaintiff meant one and the defendants the other. If this was the case, there was no consensus ad idem, and therefore no binding contract.

Scriven Bros v Hindley [1913] 3 KB 564

The defendants bid at an auction for two lots, believing both to be hemp. In fact Lot A was hemp but Lot B was tow, a different commodity in commerce and of very little value. The defendants declined to pay for Lot B and the sellers sued for the price. The defendants' mistake arose from the fact that both lots contained the same shipping mark, "SL", and witnesses stated that in their experience hemp and tow were never landed from the same ship under the same shipping mark. The defendants' manager

had been shown bales of hemp as "samples of the 'SL' goods". The auctioneer believed that the bid was made under a mistake as to the value of the

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tow.

Lawrence J said that as the parties were not *ad idem* the plaintiffs could recover only if the defendants were estopped from relying upon what was now admittedly the truth. He held that the defendants were not estopped since their mistake had been caused by or contributed to by the negligence of the plaintiffs.

Foster v Mackinnon (1869) LR 4 CP 704

The defendant, an elderly gentleman, signed a bill of exchange on being told that it was a guarantee similar to one which he had previously signed. He had only been shown the back of it. It was held that there should be a new trial. Byles J stated:

"It seems plain, on principle and on authority, that if a blind man, or a man who cannot read, or who, for some reason (not implying negligence) forbears to read, has a written contract falsely read over to him, the reader misreading it to such a degree that the written contract is of a nature altogether different from the contract pretended to be read from the paper which the blind or illiterate man afterwards signs; then at least if there be no negligence, the signature obtained is of no force. And it is invalid not merely on the ground of fraud, where fraud exists, but on the ground that the mind of the signer did not accompany the signature; in other words, he never intended to sign and therefore, in contemplation of law, never did sign the contract to which his name is appended. In the present case, ...he was deceived, not merely as to the legal effect, but as to the actual contents of the instrument."

Saunders v Anglia Building Society [1970] 3 All ER 961

Mrs Gallie, a widow aged 78, had made a will leaving her house to her nephew, Parkin. Parkin's friend, Lee, was heavily in debt and discussed with Parkin how to raise money on the house. In Parkin's presence, Lee put before Mrs Gallie a document which he told her was a deed of gift of the house to Parkin. She did not read it because she had broken her spectacles. The deed was in fact a deed of sale of the house to Lee. Using this deed, Lee m

DURESS

In order for there to be a valid contract the parties must act freely. If one of the parties is forced to make the contract by violence or the threat of violence, that is duress, and renders the contract voidable.

DURESS TO THE PERSON

The original common law of duress confined the doctrine within very narrow limits. Only duress to the person was recognised during the nineteenth century, and this required actual or threatened violence to the victim. For example, see:

Barton v Armstrong [1976] AC 104.

DURESS TO GOODS

The nineteenth century limitation on duress meant that it could not be applied to 'duress of goods'. If a person, unlawfully detained, or threatened to detain, another's goods, this was not considered to be sufficient duress to enable a contract to be avoided. See:

Skeate v Beale (1840) 11 Ad&El 983.

Although this case lays down the rule that a contract entered into in pursuance of a threat to retain goods cannot be thereby set aside, there is a restitutionary rule to the effect that money paid to obtain the release of goods wrongfully retained, or to avoid their seizure, may be recovered. See:

Maskell v Horner [1915] 3 KB 106

The decision in Skeate v Beale was strongly criticised (though obiter) by Kerr J in:

Occidental Worldwide Investment Corp v Skibs A/S Avanti (The Sibeon and The Sibotre) [1976] 1 Lloyd's Rep 293.

This view was endorsed by Mocatta J in The Atlantic Baron [1979] QB 705, and by Lord Scarman in Pao On v Lau Yiu Long (below). In the light of the modern developments of duress, it would seem that Skeate v Beale is no longer good law.

ECONOMIC DURESS

In recent times, the courts have extended the concept of duress from its earlier limits so as to recognise that certain forms of commercial pressure could amount to economic duress. The first modern case to make this clear was:

The Sibeon and The Sibotre [1976] 1 Lloyd's Rep 293.

A subsequent case confirmed that duress could take the form of economic duress:

North Ocean Shipping v Hyundai Construction (The Atlantic Baron) [1979] QB 705.

The Privy Council had an opportunity to consider economic duress, and agreed with the observations in The Sibeon and The Sibotre, in:

Pao On v Lau Yiu Long [1980] AC 614.

A further important development was the decision of the House of Lords, which modified the approach previously taken, in:

Universe Tankships v ITWF (The Universe Sentinel) [1982] 2 All ER 67.

A significant feature of this judgment is its departure from the previously stringent requirement of *The Sibeon and Pao On* that the victim's will and consent should have been 'overborne' by the pressure. This approach of Lord Scarman was cited and approved by the Court of Appeal in:

B&S Contractors v Victor Green Publications [1984] ICR 419.

The concept of economic duress was considered in two High Court cases:

Atlas Express Ltd v Kafco (Importers and Distributors) Ltd [1989] 1 All ER 641
Vantage Navigation Corp v Bahwan Building Materials (The Alev) [1989] 1 Lloyd's Rep 138.

It can be seen that from the cases since *Pao On* (1980) there has been a considerable relaxation of the criteria needed to prove economic duress. All that is now required is a suppression of the victim's will and voluntary consent.

The following case, considered by the House of Lords, is a useful reminder of the fact that the pressure applied must be improper in the legal sense:

Dimskal Shipping Co v ITWF (The Evia Luck) [1991] 4 All ER 871.

See also:

CTN Cash & Carry Ltd v Gallagher Ltd [1994] 4 All ER 714.

REMEDIES FOR DURESS

(A) The effect of duress is to make the contract voidable (not void). The injured party will, therefore, be entitled to have the contract set aside for operative duress, unless he has expressly or impliedly affirmed it. The victim of duress must seek rescission as soon as possible after the original pressure has ceased to operate (*The Atlantic Baron* (above)).

(B) As duress has been equated with the tort of intimidation (see the judgments of Lord Denning MR in *D&C Builders v Rees* (1966) and Lord Scarman in *Universe Tankships* (1982)), it would follow that a remedy for damages would lie in tort. See:

Morgan v Fry [1968] 2 QB 710 (for the definition of the tort of intimidation)
D&C Builders v Rees [1966] 2 QB 617
Universe Tankships v ITWF [1982] 2 All ER 67.

(For the measure of damages for the tort of intimidation, see *Rookes v Barnard* [1964] AC 1129.)

(C) There is, as yet, no authority on the question of whether or not an injured party who has affirmed the contract may nevertheless recover damages in tort. Chitty (para 501) has the view that damages should be recoverable, since otherwise a party who has lost the right to avoid the contract is left without a remedy for a clearly unlawful act.

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DURESS TO THE PERSON

Barton v Armstrong [1976] AC 104

A (the former chairman of a company) threatened B (the managing director) with death if he did not agree to purchase A's shares in the company. There was some evidence that B thought the proposed agreement was a satisfactory business arrangement both from his own point of view and that of the company. B executed a deed on behalf of the company carrying out the agreement. He sought a declaration that the deed was executed under duress and was void.

The Privy Council held that if A's threats were "a" reason for B's executing the deed he was entitled to relief even though he might well have entered into the contract if A had uttered no threats to induce him to do so. The onus was on A to prove that the threats he made contributed nothing to B's decision to sign.

DURESS TO GOODS

Skeate v Beale (1840) 11 Ad&El 983

A tenant who was threatened with the levying of distress by his landlord in respect of rent owed, promised to pay part immediately and the balance within one month. When the tenant failed to pay the balance, as agreed, the landlord brought an action for the balance. The tenant pleaded that the distress was wrongful in that a smaller sum only was owed. He had consented to the agreement because the landlord threatened to sell the goods immediately unless the agreement was made. This plea of duress was rejected.

Maskell v Horner [1915] 3 KB 106

Toll money was taken from the plaintiff under a threat to close down his market stall and to seize his goods if he did not pay. These tolls were, in fact, demanded from him with no right in law. The Court of Appeal allowed the plaintiff to recover all the toll money paid, even though the payments had been made over a considerable period of time. Lord Reading CJ stated that if a person pays money, which he is not bound to pay, under a compulsion of urgent and pressing necessity or of seizure, he can recover it as money had and received under the law of restitution.

It was held that there was a wider restitutionary rule that money paid to avoid goods being seized or to obtain their release could be recovered. Further, it was held that in the present case there was a compulsory agreement to enter into, whereas in Skeate the agreement was entered into voluntarily.

NOTE: The distinction between the Skeate v Beale line of cases and the decision in Maskell v Horner is hard to follow, and it has been pointed out that the peculiar result would follow that although an agreement to pay money under duress of goods is enforceable, sums paid in pursuance of such an agreement by the coerced can be

recovered in an action for money had

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and received under the law of restitution.

The Sibeon and The Sibotre [1976] 1 Lloyd's Rep 293

Kerr J stated: "if I should be compelled to sign a lease or some other contract for a nominal but legally sufficient consideration under an imminent threat of having my house burnt down or a valuable picture slashed through without any threat of physical violence to anyone, I do not think that the law would uphold the agreement ... The true question is ultimately whether or not the agreement in question is to be regarded as having been concluded voluntarily."

ECONOMIC DURESS

The Sibeon and The Sibotre [1976] (above)

The charterers of two ships renegotiated the rates of hire after a threat by them that they would go bankrupt and cease to trade if payments under the contract of hire were not lowered. Since they also represented that they had no substantial assets, this would have left the owners with no effective legal remedy. The owners would have had to lay up the vessels and would then have been unable to meet mortgages and charges - a fact known by the charterers. The threats themselves were false in that there was no question of the charterers being bankrupted by high rates of hire.

Kerr J rejected the earlier confines of duress. But, he said, in a contractual situation commercial pressure is not enough to prove economic duress. The court must, he said, be satisfied that the consent of the other party was overborne by compulsion so as to deprive him of his free consent and agreement. This would depend on the facts in each case. He considered that two questions had to be asked before the test could be satisfied: (1) did the victim protest at the time of the demand and (2) did the victim regard the transaction as closed or did he intend to repudiate the new agreement? Kerr J considered that the owners would have been entitled to set aside the renegotiated rates on the ground of economic duress, but that on the present facts their will and consent had not been 'overborne' by what was ordinary commercial pressures.

The Atlantic Baron [1979] QB 705

The builders of a ship demanded a 10% increase on the contract price from the owners largely because the value of the US dollar fell by 10%, or threatened not to complete the ship. The owners paid the increased rate demanded from them, although they protested that there was no legal basis on which the demand could be made. The owners were commercially compelled to pay since, at the time of the threat, they were negotiating a very lucrative contract for the charter of the ship being built.

Mocatta J decided that this constituted economic duress. The illegitimate pressure exerted by the building company was their threat to break the construction contract. Where a threat to break a contract had led to a further contract, that contract, even though it was made for good consideration, was voidable by reason of economic duress.

However, the right to have the contract set aside could be lost by affirmation. The plaintiffs had delayed in reclaiming the extra 10% until eight months later, after the delivery of a second ship. This delay defeated the



plaintiff's claim for the rescission of the contract to pay the extra

10%. *Pao On v Lau Yiu Long* [1980] AC 614

The plaintiff had threatened not to proceed with a contract for the sale of shares, unless the other side agreed to a renegotiation of certain subsidiary arrangements. Anxious to complete the main agreement, but knowing that they could claim specific performance of it, the defendant, wishing to avoid litigation, agreed. When the plaintiff later tried to enforce these arrangements the defendant claimed that they had been extracted by duress, and were therefore voidable. The Privy Council held that the plaintiff was entitled to succeed. On the facts, the defendant considered the matter thoroughly, chose to avoid litigation and formed the opinion that there was no risk in the subsidiary arrangements. In short, there was commercial pressure, but no coercion.

Lord Scarman agreed with the observations of Kerr J in *The Sibeon* and *The Sibotre* that in a contractual situation, commercial pressure is not enough. There must be present some factor 'which could be regarded as a coercion of his will so as to vitiate his consent'. In determining whether there was a coercion of will such that there was no true consent, it is material to enquire: whether the person alleged to have been coerced did or did not protest; whether, at the time he was allegedly coerced into making the contract, he did or did not have an alternative course open to him such as an adequate legal remedy; whether he was independently advised; and whether after entering the contract he took steps to avoid it. All these matters are relevant in determining whether he acted voluntarily or not.

The Universe Sentinel [1982] 2 All ER 67

A trade union had 'blacked' the plaintiff's ship, ie threatened to induce the crew of a ship to break their contracts of employment and so to prevent the ship from leaving port, unless the owner paid a large sum of money, partly to the union welfare fund. In view of the catastrophic financial consequences which the shipowners would suffer if these threats were carried out, it was conceded that they constituted economic duress, vitiating the shipowners' consent to the agreement. It was held by the House of Lords that these payments could be recovered.

Lord Diplock stated that economic duress could be relied upon by a victim where his apparent consent was induced by pressure exercised on him by the other party which the law does not regard as legitimate, with the consequence that the consent is treated in law as revocable unless expressly or impliedly approbated after the illegitimate pressure has ceased to operate on his mind.

Lord Scarman dealt with the two elements of economic duress, ie consent induced by coercion of the will of the victim, and the fact that the pressure was illegitimate. In his discussion of 'compulsion', Lord Scarman modified the approach previously taken. His Lordship stated: "Compulsion is variously described in the authorities as coercion or the vitiation of consent. The classic case of duress is, however, not the lack of will to submit but the victim's intentional submission arising from the realisation that there is no other

practical choice open to him ...The absence of choice can be proved in various ways, eg by protest, by the absence of independent advice, or by a declaration of intention to go to law to recover the money paid or the property



transferred ...But non of these evidential matters goes to the essence of duress. The victim's silence will not assist the bully, if the lack of any practicable choice but to submit is proved." In the present case there was no protest at the time, but only a determination to do whatever was needed as rapidly as possible to release the ship.

B&S Contractors v Victor Green Publications [1984] ICR 419

A contractor who had undertaken to erect stands for an exhibition at Olympia told his client, less than a week before the exhibition was due to open, that the contract would be cancelled unless the client paid an additional sum to meet claims which were being made against the contractor by his workforce. The consequence of not having the stands erected in time would have been disastrous for the client in that it would have gravely damaged his reputation and might have exposed him to heavy claims for damages from exhibitors to whom space on the stands had been let. In these circumstances it was held that the payment had been made under duress and that the client was entitled to recover it back.

Atlas Express v Kafco [1989] 1 All ER 641

Kafco, a small company dealing in basketware, had secured a large contract from Woolworths and had obtained a large quantity of goods to fulfil it. They entered into a contract with Atlas, a national road carrier, to distribute the goods to Woolworths' shops. Before entering into the contract Atlas's manager inspected the cartons used by Kafco and, estimating a minimum load of 400 cartons, quoted a price £1.10 per carton (total, £440). In fact, the first load contained only 200 cartons which the manager said was not viable unless Kafco agreed to pay a minimum of £440 per load. It was essential to Kafco's commercial survival that they should be able to meet delivery dates. It would have been difficult, if not impossible, to find alternative carriers to do so. Kafco agreed to the new terms but later refused to pay at the new rate.

It was held that Kafco were not bound by the new terms: economic duress had vitiated the new agreement and, in any case, there was no consideration for it. Tucker J found that the defendants' apparent consent to the agreement was induced by pressure which was illegitimate and he found that it was not approbated.

The Alev [1989] 1 Lloyd's Rep 138

The plaintiffs chartered a vessel to hirers who were carrying the defendants cargo of steel. The hirers defaulted on the payments and the plaintiffs were obliged by the terms of the bills of lading to carry the cargo. This would involve extra costs. They therefore negotiated with the defendants who agreed to pay extra costs and not to detain or arrest the vessel while in port. This agreement was secured through threats, including a statement that unless the defendants paid the extra costs they would not get their cargo. When the ship was in port and had commenced unloading the defendants ignored the agreement and arrested the ship. They pleaded duress to any breach of contract and claimed damages.

It was held that the agreement clearly fell within the principles of economic duress. During their negotiations the plaintiffs did make an illegal threat to withhold cargo and they were fully aware that, since they were legally obliged to carry the cargo, even if at a loss of profit to



themselves, such a threat would be unlawful. The defendant's right to rely on duress was therefore established and the contract was voidable on the ground of duress.

The Evia Luck [1991] 4 All ER 871

Whilst the the plaintiff's ship was in harbour in Sweden, it was boarded by agents of the International Transport Workers' Federation, who informed them that the ship would be blacked and loading would not be continued until the company entered into certain agreements with ITWF, including back pay to the crew, new contracts of employment at higher wages and guarantees for future payments. At first the plaintiffs would not agree and the ship was in fact blacked. Yielding to the pressure, the company agreed to sign the various agreements, which were expressly declared to be governed by English law. The plaintiffs then sought to avoid the agreement on the grounds of duress and claimed restitution of all sums paid.

The House of Lords in discussing what constituted economic duress, said the fact that ITWF's conduct was quite legal in Sweden was irrelevant. In stipulating that the agreements were to be governed by English law, the defendants had to accept English law as the proper law of conduct. Under English law a contract obtained by duress was voidable, and improper economic pressure (blacking the ship) constituted one form of duress. The owners were thus entitled to avoid the agreements they entered into because of pressure from ITWF.

CTN Cash & Carry v Gallagher [1994] 4 All ER 714

The plaintiffs purchased cigarettes from the defendants. One consignment was delivered by the defendants to the wrong warehouse (although it did belong to the plaintiffs). The parties agreed that the defendants would collect the consignment and transport it to the proper warehouse, but before this could be done the entire consignment was stolen. Each purchase of cigarettes was a separate sale and a separate contract made by credit. Credit facilities had been arranged with the defendants and they reserved an absolute right to withdraw credit at any time and for any reason. When the consignment was stolen the plaintiffs initially refused to pay, but were coerced into doing so by the defendants' threat to withdraw all credit facilities. Later, the plaintiffs reclaimed the payment arguing that they had paid under duress.

The Court of Appeal, while recognising that the defendants' method of obtaining payment was questionable, declared itself unwilling, for policy reasons, to introduce a concept of 'lawful act duress'. Legally, although the defendants' conduct was 'unattractive' it did not amount to duress.

REMEDIES

Morgan v Fry [1968] 2 QB 710.

Lord Denning MR defined the tort of intimidation as follows:

"The essential ingredients are these: there must be a threat by one person to use unlawful means (such as violence or a tort or a breach of contract) so as to compel another to obey his wishes

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and the person so threatened must comply with the demand rather than risk the threat being carried into execution. In such circumstances the person damnified by the compliance can sue for intimidation."

D&C Builders v Rees [1966] 2 QB 617

In this case (which has been previously considered in relation to promissory estoppel), Lord Denning equated the undue pressure brought to bear on the plaintiffs with the tort of intimidation. His Lordship refused to exercise estoppel because of the wife's inequitable actions since she knew the builders needed the money.

Universe Tankships v ITWF [1982] 2 All ER 67

Lord Scarman said that : 'duress, if proved, not only renders voidable a transaction into which a person has entered under its compulsion but is actionable as a tort, if it causes damage or loss'.

UNDUE INFLUENCE IN EQUITY

INTRODUCTION

"Equity gives relief on the ground of undue influence where an agreement has been obtained by certain kinds of improper pressure which were thought not to amount to duress at common law because no element of violence to the person was involved" (GH Treitel, The Law of Contract).

A person who has been induced to enter into a transaction (eg, a gift, contract or guarantee) by the undue influence of another (the wrongdoer) is entitled to set that transaction aside as against the wrongdoer. The effect of undue influence, like duress, is to make the contract voidable.

Such undue influence is either actual or presumed. In Barclays Bank v O'Brien [1993] 4 All ER 417, the House of Lords adopted the following classification of undue influence chosen by the Court of Appeal in BCCI v Aboudy [1989] 1 QB 923:

CLASS 1: ACTUAL UNDUE INFLUENCE

In these cases it is necessary for the claimant to prove affirmatively that the wrongdoer exerted undue influence on the complainant to enter into the particular transaction which is impugned. For example, see:

Williams v Bailey (1866) LR 1 HL 200.

Undue influence was described by Lindley LJ in Allcard v Skinner (1887) 36 Ch D 145, as "... some unfair and improper conduct, some coercion from outside, some

overreaching, some form of cheating and generally, though not always, some personal advantage gained."

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The House of Lords held in *CIBC Mortgages v Pitt* [1993] 4 All ER 433, that there is no further requirement in cases of this kind that the transaction must be shown to be to the manifest disadvantage of the party seeking to set it aside (disapproving *BCCI v Aboudy* (1989) on this point).

CLASS 2: PRESUMED UNDUE INFLUENCE

In these cases the complainant only has to show, in the first instance, that there was a relationship of trust and confidence between the complainant and the wrongdoer of such a nature that it is fair to presume that the wrongdoer abused that relationship in procuring the complainant to enter the impugned transaction.

In class 2 cases therefore, there is no need to produce evidence that actual undue influence was exerted in relation to the particular transaction impugned: once a confidential relationship has been proved, the burden then shifts to the wrongdoer to prove that the complainant entered into the impugned transaction freely, for example by showing that the complainant had independent advice.

Note that it must also be shown that the transaction was manifestly disadvantageous to the party alleged to be influenced (*National Westminster Bank v Morgan* [1985] 1 All ER 821, below).

Such a confidential relationship can be established in two ways:

CLASS 2A

Certain relationships as a matter of law raise the presumption that undue influence has been exercised.

The relationships where undue influence is presumed have been held to be: parent & child (*Wright v Vanderplank* (1855)); solicitor & client (*Wright v Carter* (1903)); doctor & patient (*Mitchell v Homfray* (1881)); trustee & beneficiary (*Ellis v Barker* (1871)); and religious adviser & disciple (*Roche v Sherrington* (1982)). For a case example see:

Allcard v Skinner (1887) 36 Ch D 145.

The relationship of husband and wife does not, as a matter of law, raise a presumption of undue influence within class 2A (*Midland Bank v Shepherd* (1988)). Nor does the rule apply between employer and employee (*Matthew v Bobbins* (1980)).

CLASS 2B

If the complainant proves the existence of a relationship under which the complainant generally reposed trust and confidence in the wrongdoer, the existence of such relationship raises the presumption of undue influence.

In a class 2B case therefore, in the absence of evidence disproving undue influence, the complainant will succeed in setting aside the impugned transaction merely by proof

that the

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complainant reposed trust and confidence in the wrongdoer without having to prove that the wrongdoer exerted actual undue influence or otherwise abused such trust and confidence in relation to the particular transaction impugned.

The relation of banker and customer will not normally give rise to a presumption of undue influence, but it can do so in exceptional cases if the customer has placed himself entirely in the hands of the bank and has not been given any opportunity to seek independent advice. See:

Lloyd's Bank v Bundy [1974] 3 All ER 757

National Westminster Bank v Morgan [1985] 1 All ER 821

MANIFEST DISADVANTAGE

With both of the above presumptions (class 2A and 2B), the transaction must be to the 'manifest disadvantage' of the party claiming undue influence. See:

National Westminster Bank v Morgan [1985] 1 All ER
821 BCCI v Aboody [1989] 1 QB 923

UNDUE INFLUENCE AND THIRD PARTIES

Undue influence is now regularly invoked by wife-sureties where their relationship with the bank-creditor is manipulated when the debtor-husband acts as intermediary. For example, a husband persuading his wife to guarantee his company's overdraft with a bank, using the matrimonial home, of which she is joint owner, as security for the debt. In such situations the creditor may be 'tainted' by the undue influence of the intermediary. If a bank entrusts certain duties to a debtor-husband who, as intermediary, is capable of exerting some influence over his wife, the position is as follows:

1. If the transaction is one which is (a) on its face not to the financial advantage of the party seeking to set it aside, and (b) if there is a substantial risk of its having been obtained by undue influence, then the third party will have constructive notice of undue influence giving the right to set aside the transaction. The creditor must take reasonable steps to ensure that the wife's consent was properly obtained. See:

Barclays Bank v O'Brien [1993] 4 All ER 417.

2. However, if the transaction is not of this kind, but is on its face capable of benefiting the party who seeks to set it aside, the third party will not have constructive notice of any undue influence which may in fact have existed. See:

CIBC Mortgages v Pitt [1993] 4 All ER 433.

Note the opinion of the Court of Appeal in:

Barclays Bank v Coleman (2000) The Times LR, January 5

REBUTTING THE PRESUMPTION

The presumption of undue influence is rebutted if the party benefiting from the transaction shows that it was "the free exercise of independent will", even if no external advice was given or even though it was not taken (*Inche Noriah v Shaik Allie bin Omar* [1928] All ER 189). However, the most usual way of rebutting the presumption is to show that the other party had independent advice before entering into the transaction. Case examples include:

Re Craig [1970] 2 All ER 390

Re Brocklehurst [1978] 1 All ER 767.

Where a bank seeks to enforce its security against a wife who claims to have been induced by her husband's undue influence or misrepresentation to charge the matrimonial home by way of security, the principles which apply in determining whether the bank is able to rely on the fact that the wife received legal advice before entering into the charge to rebut the presumption of undue influence and imputed or constructive notice thereof and whether the bank ought to have been put on inquiry to ascertain whether the wife was subject to her husband's undue influence, were given by the Court of Appeal in:

Royal Bank of Scotland v Etridge (No 2) [1998] 4 All ER 705.

REMEDIES

The remedy in cases of undue influence is rescission. Damages are not available, but see below.

RESCISSION

Where rescission is ordered, the whole transaction will be set aside.

See: *TSB Bank v Camfield* [1995] 1 All ER 951

Dunbar Bank v Nadeem [1998] 3 All ER 876.

Bars to rescission:

(i) IMPOSSIBILITY OF RESTITUTION

However, the fact that restitutio in integrum is impossible will not be a bar to rescission:

O'Sullivan v Management Agency & Music Ltd [1985] 3 All ER 351

Cheese v Thomas [1994] 1 All ER 35

Mahoney v Purnell [1996] 3 All ER 61.

(ii) DELAY

Delay defeats equity. For example, see:

Allcard v Skinner (1887) 36 Ch D 145.

SEVERANCE

It may be possible for the court to sever from an instrument affected by undue influence the objectionable parts leaving the part uncontaminated by undue influence enforceable. See:

Barclays Bank v Caplan and Another (1997) The Times, December 12.

DAMAGES

Damages are not available for undue influence, but if a bank has broken a duty of care to a wife- surety damages may be available in negligence under Hedley Byrne v Heller (1964).

See also, Royal Bank of Scotland v Etridge (No 2) [1998] 4 All ER 705, note 8 at p706: solicitor owes a duty of care to the wife.

CASES ON UNDUE INFLUENCE

CLASS 1: ACTUAL UNDUE INFLUENCE

Williams v Bailey (1866) LR 1 HL 200

A son forged his father's signature on promissory notes and gave them to their bankers. At a meeting of all the parties at the bank, one of the bankers said to the father: "If the bills are yours we are all right; if they are not, we have only one course to pursue; we cannot be parties to compounding a felony." The bank's solicitor said it was a serious matter and the father's own solicitor added, "a case of transportation for life." After further discussion as to the son's financial liability the bank's solicitor said that they could only look to the father. The father then agreed to make an equitable mortgage to the bank in consideration of the return of the promissory notes. The father succeeded in an action for cancellation of the agreement.

It was held by Lord Westbury that the security given for the debt of the son by the father under such circumstances, was not the security of a man who acted with that freedom and power of deliberation that must be considered as necessary to validate a contract to give security for the debt of another.

CLASS 2: PRESUMED UNDUE INFLUENCE

CLASS 2A

Allcard v Skinner (1887) 36 Ch D 145

In 1867 an unmarried woman aged 27 sought a clergyman as a confessor. The following year she became an associate of the sisterhood of which he was spiritual director and in 1871 she was admitted a full member, taking vows of poverty, chastity and obedience. Without independent advice, she made gifts of money and stock to the mother superior on behalf of the sisterhood. She left the sisterhood in 1879 and in 1884 claimed the return of the stock. Proceedings to recover the stock were commenced in 1885.

It was held by the Court of Appeal that although the plaintiff's gifts were voidable because of undue influence brought to bear upon the plaintiff through the training she had received, she was disentitled to recover because of her conduct and the delay.

CLASS 2B

Lloyd's Bank v Bundy [1975] QB 326

A guarantee was given to the bank by an elderly farmer, a customer of the bank, for his son's debts. The guarantee was secured by a mortgage of Bundy's house in favour of the bank. An assistant manager of the bank, with the son, later told the father that they would only continue to support the son's company if he increased the guarantee and charge. The father did so, the assistant manager appreciating that the father relied on him implicitly to advise him about the transaction. The Court of Appeal set aside the guarantee and charge.

Lord Denning held that the relationship between the bank and the father was one of trust and confidence. The bank knew that the father relied on them implicitly to advise him about the transaction. The father trusted the bank. This gave the bank much influence on the father. Yet the bank failed in that trust. They allowed the father to charge the house to his ruin. There was also a conflict of interest between the bank and the father, yet the bank did not realise it, nor did they suggest that the father should get independent advice. If the father had gone to his solicitor or any man of business there is no doubt that they would have advised him not to enter the transaction as the house was his sole asset and the son's company was in a dangerous state.

Sir Eric Sachs made it clear that, in ordinary circumstances, a bank does not incur the duty consequent upon a special relationship where it obtains a guarantee from a customer. But once it is possible for a bank to be under that duty, it is, as in the present case, simply a question for "meticulous examination" of the particular facts to see whether that duty has arisen. On the special facts here it did arise and had been broken.

National Westminster Bank v Morgan [1985] 1 All ER 821

A husband and wife owned a home jointly. The husband was unable to meet his mortgage commitments and the building society threatened to seek possession for unpaid debts. The husband made refinancing arrangements with the bank secured by a mortgage in favour of the bank over the matrimonial home. The bank manager called at the home to get the wife to execute the charge. She did not wish the charge to cover her husband's business liabilities. The bank manager assured her, in good faith but

incorrectly, that it did not. It was, in fact, unlimited in extent and could, therefore, extend to all the husband's liabilities to the bank, though it was the bank's intention to confine it to the amount needed to refinance the



mortgage. The wife had not received independent legal advice before executing the mortgage. The husband and wife fell into arrears with their payments, and the bank obtained an order for possession of the home. Shortly afterwards, the husband died without owing the bank any business debts. The wife argued that the bank manager exercised undue influence over her and that a special relationship existed between her and the bank which required it to ensure that she received independent legal advice before entering into a further mortgage. She also sought to rely upon *Lloyds Bank v Bundy*.

Lord Scarman came to the following conclusions:

1. A transaction would not be set aside on the grounds of undue influence unless it could be shown that it was manifestly disadvantageous to the party alleged to be influenced.
2. The basic principle was not a vague public policy (as formulated in *Allcard v Skinner*), but the prevention of victimisation of one party by another.
3. The transaction in the instant case was not unfair to the wife.
4. Although the doctrine of undue influence could extend to commercial transactions, including those between banker and customer, it could not be maintained on the present facts that the relationship was one in which the banker had a dominating influence.
5. The bank, therefore, was not under a duty to ensure that the wife had independent advice.

MANIFEST DISADVANTAGE

National Westminster Bank v Morgan

[1985] See point 1 above. Lord Scarman

stated:

"A meticulous examination of the facts of the present case reveals that [the bank] never 'crossed the line'. Nor was the transaction unfair to the wife. The bank was, therefore, under no duty to ensure that she had independent advice. It was an ordinary banking transaction whereby the wife sought to save her home; and she obtained an honest and truthful explanation of the bank's intention which, notwithstanding the terms of the mortgage deed which in the circumstances the trial judge was right to dismiss as 'essentially theoretical', was correct; for no one had suggested that ...the bank sought to make the wife liable, or to make her home the security, for any debt of her husband other than the loan and interest necessary to save the house from being taken away from them in discharge of their indebtedness to the building society."

BCCI v Aboudy [1989] 2 WLR 759

A husband and wife owned a family company and the company's liabilities to its bank were secured, among other things, by charges of the wife's house. The bank sought to enforce the securities and the wife pleaded actual undue influence by the husband.

Although the judge found that such influence had been established, he refused to set aside the charges as it had not been proved that they were manifestly disadvantageous to the wife (a point since overruled by the House of Lords in *CIBC Mortgages v Pitt* [1993]).

It was held by the Court of Appeal that manifest disadvantage for the purposes of the doctrine of undue influence had to be a disadvantage which was obvious as such to any independent and



reasonable person who considered the transaction at the time with knowledge of all the relevant facts. The fact that the complaining party had been deprived of the power of choice (eg because his will had been overborne through the failure to draw his attention to the risks involved) was not of itself a manifest disadvantage rendering the transaction unconscionable. Furthermore, since the giving of a guarantee or charge always involved the risk that the guarantee might be called in or the charge enforced, the question whether the assumption of such a risk was manifestly disadvantageous to the giver of the guarantee or charge depended on balancing the seriousness of the risk of enforcement to the giver, in practical terms, against the benefits gained by the giver in accepting the risk.

There were no grounds for disagreeing with the judge's conclusion that on balance a manifest disadvantage had not been shown by the wife in respect of any of the six transactions, since although there were substantial potential liabilities and the family home was at risk as a result of the transactions, that was counterbalanced by the fact that the loans gave the company a reasonably good chance of surviving, in which case the potential benefits to the wife would have been substantial. Moreover, the evidence established that on balance the wife would have entered into the transactions in any event and accordingly it would not be right to grant her equitable relief as against the bank. The wife's appeal was therefore dismissed.

UNDUE INFLUENCE AND THIRD PARTIES

Barclays Bank v O'Brien [1993] 4 All ER 417

The husband was a shareholder in a company and arranged an overdraft facility of £135,000 for the company. The husband's liability to the bank was to be secured by a second charge over the matrimonial home, jointly owned by the husband and his wife. The husband persuaded the wife to sign the security documents by misrepresenting the situation, saying the facility was short-term and the charge was limited to £60,000. When the company's debts increased, the bank brought proceedings against the O'Briens to enforce the guarantee.

The judge gave judgment for the bank, finding that (1) the husband had not unduly influenced the wife and (2) that the husband had misrepresented the effect of the charge but that the bank was not responsible for that misrepresentation. The Court of Appeal held that the bank was under a duty, which it had not satisfied, to take reasonable steps to ensure that the wife had an adequate understanding of the transaction so that it was not enforceable against her except to the extent of £60,000. The bank's appeal to the House of Lords was dismissed, and they set aside the charge.

The House of Lords held that a wife who stood surety for her husband's debt and who had been induced by undue influence, misrepresentation or similar wrong had a right to have the transaction set aside if the third party (in this case the bank) had actual or constructive knowledge. Unless reasonable steps were taken to ascertain a) whether the transaction was of financial advantage to the wife, and b) if there were reasons to suspect that the debtor had committed a legal or equitable wrong which had induced the wife into the transaction, then there would be, at least, constructive knowledge. The bank,

having failed to take any such steps to verify the situation, had constructive knowledge of the husband's wrongful

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misrepresentation. The wife was entitled to have the charge set aside.

The House also extended the principles applicable to husband and wife to (1) all cases where there is an emotional relationship between the cohabitees (whether homosexual or heterosexual), provided that the creditor is aware that the surety is cohabiting with the principal debtor; and (2) to other relationships (for example, parent and child) in which the creditor is aware that the surety reposes trust and confidence in relation to his financial affairs.

CIBC Mortgages v Pitt [1993] 4 All ER 433

A husband wanted to borrow money on the matrimonial home to buy stock market shares. The wife was unhappy about this but eventually agreed under pressure. They jointly applied for a loan, stating that the purpose of the loan was to pay off the existing mortgage and purchase a holiday home. The wife received no independent advice and no one suggested to her that she should. She did not read the documents before signing them and did not know the amount being borrowed. When the stock market collapsed the husband defaulted on the loan repayments and the plaintiff applied for an order for possession of the house.

The judge held that the wife had been induced to sign by the husband's misrepresentation, fraud and duress but, since he had not acted as the bank's agent and this was not a case of the wife standing surety for the husband's debt but a loan jointly to husband and wife, the wife's claim failed. This decision was upheld on appeal.

The House of Lords held that while a claimant who could prove actual undue influence was entitled to have the challenged transaction set aside, the plaintiffs would only be affected if it could be established that they had actual or implied notice of the undue influence. In this case there was nothing to indicate that this was anything other than a normal loan to husband and wife's joint benefit. According to Lord Browne-Wilkinson, what distinguishes the case of the joint advance from the surety case is that, in the latter, there is the increased risk of undue influence having been exercised because, at least on its face, the guarantee by a wife of her husband's debts is not for her financial benefit. It is the combination of these two factors that puts the creditor on inquiry.

Barclays Bank v Coleman (2000) *The Times*, January 5.

The Court of Appeal held that manifest disadvantage, in the sense of clear and obvious disadvantage, remained a necessary ingredient of a wife's challenge on the ground of presumed undue influence of her husband to the validity of a bank's charge over the matrimonial home. But the House of Lords had signalled that it might not continue to be an essential ingredient indefinitely.

See photocopy of Law Report.

REBUTTING THE PRESUMPTION

Inche Noriah v Bin Omar [1928] All ER 189

The appellant brought an action against the respondent claiming that a deed of gift made between the parties should be set aside on the ground that the relationship between the parties at the time when the deed was executed was such as to raise a presumption of undue influence against the respondent, and that the presumption had not been rebutted.

Lord Hailsham LC stated: "But their Lordships are not prepared to accept the view that independent legal advice is the only way in which the presumption can be rebutted; nor are they prepared to affirm that independent legal advice, when given, does not rebut the presumption, unless it be shown that the advice was taken. It is necessary for the donee to prove that the gift was the result of the free exercise of independent will. The most obvious way to prove this is by establishing that the gift was made after the nature and effect of the transaction had been fully explained to the donor by some independent and qualified person so completely as to satisfy the court that the donor was acting independently of any influence from the donee and with full appreciation of what he was doing..."

Re Craig (deceased) [1971] Ch 95

C, an old man of 84 years whose wife had died, employed Mrs M as secretary/companion. From the beginning she occupied a position of trust, and in addition to running the house she took a confidential part in running C's affairs. From the time of Mrs M's employment and C's death (January 1959 - August 1964) he gave her gifts worth £28,000 from his total assets of £40,000.

It was held by the Chancery Division that (1) All the gifts complained of were such as to satisfy the requirements to raise the presumption of undue influence, namely, that they could not be accounted for on the ground of the ordinary motives on which ordinary men act, and secondly, that the relationship between C and Mrs M involved such confidence by C in Mrs M as to place her in a position to exercise undue influence over him. (2) Mrs M failed to discharge the onus on her of establishing that the gifts were only made after 'full, free and informed discussion' so as to rebut the presumption of undue influence. The gifts would, therefore, be set aside.

Re Brocklehurst (deceased) [1978] Ch 14

Brocklehurst was a strong-minded, autocratic and eccentric old man who was used to commanding others and had served in the army in positions of command. He was impulsively generous. When he was in his eighties he lived alone and became friendly with the owner of a local garage. They had a common interest in shooting and B permitted the defendant to shoot rabbits on the estate. B wrote to the defendant saying that he wished to give him the shooting rights over his estate and pressed the defendant to instruct a solicitor to draw up a lease. B executed the lease. After B died, his executors brought an action against the defendant to have the lease set aside on the ground of undue influence. The Court of Appeal upheld the lease.

The Court of Appeal held that the nature of the relationship between the deceased and

the defendant was not one of confidence and trust such as would give rise to a presumption of undue influence on the part of the defendant, for the evidence established that the relationship was one of friendship and did not indicate that it was such that the defendant had been under a duty to advise the deceased or had been in a position of dominance over him; on the contrary, it



was the deceased who had tended to dominate the defendant.

But even if the relationship had been one that gave rise to a presumption of undue influence, the defendant had rebutted the presumption for in the circumstances the presumption was rebuttable not only by proof that the deceased had been independently advised about the leases but also by proof that the gift of the leases had been the spontaneous and independent act of the deceased.

Royal Bank of Scotland v Etridge (No 2) [1998] 4 All

ER 705 See photocopy of Law Report.

REMEDIES

TSB Bank v Camfield [1995] 1 All ER 951

Mr Camfield was a partner in a motor business. The partners requested the bank to provide the business with an overdraft facility of £30,000. The bank agreed, provided the partners executed a charge over their houses. Mrs Camfield duly executed the charge but did so under the impression, as the result of an innocent misrepresentation by the husband, that the maximum liability under the charge would be £15,000. That misapprehension was not corrected by the person advising her, even though the effect of the legal charge was to charge her beneficial interest in the house with an unlimited liability to meet the debts of the partnership, in which she had no financial interest. The business failed and the bank commenced proceedings against the Camfields.

The Court of Appeal held that where a wife was induced to execute a charge over the matrimonial home to meet the husband's debts by his innocent misrepresentation that the liability under the charge would not exceed a specified amount, whereas the charge in fact provided security for an unlimited liability, and the creditor was fixed with constructive notice of the husband's misrepresentation because it had failed to take reasonable steps to ensure that the wife understood the charge, the charge would be set aside in its entirety and could not be partially set aside or set aside on terms that it was a valid security for the specified amount for which the wife thought she was at risk. Since, on the evidence, the wife would not have entered into the charge if she had known its true nature and since her ignorance of the true nature of the charge resulted from the bank's failure to take reasonable steps to see that she was properly advised, it followed that the charge would be set aside in its entirety.

Dunbar Bank v Nadeem [1998] 3 All ER

876 See Law Report.

O'Sullivan v Management Agency & Music Ltd [1985] QB 428

The plaintiff sought to set aside for undue influence a number of management, sole agency, recording and publishing agreements and transfers of copyright. The defendant argued that the appropriate remedy, namely *restitutio in integrum*, was inapplicable

in the circumstances

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because the agreements had all been performed and the parties had irrevocably altered their positions, and that therefore the plaintiff was limited to obtaining damages instead of reconveyance of the copyrights and delivery up of the master tapes.

The Court of Appeal held that the plaintiff was not barred from having the contracts set aside by the fact that *restitutio in integrum* was impossible because the contracts had been performed. A contract entered into by a person in breach of a fiduciary relationship could be set aside in equity even though it was impossible to place the parties in the precise position in which they had been before, provided the court could achieve what was practically just between the parties by obliging the wrongdoer to give up his profits and advantages, while at the same time compensating him for any work he had actually performed under the contract.

Cheese v Thomas [1994] 1 All ER 35

The 88 year old plaintiff paid £43,000 to the defendant (his 36 year old great-nephew) to finance the purchase of a house in which the plaintiff was to live. The defendant borrowed

£40,000 from a building society to make up the purchase price of £83,000 and the house, which it was agreed was to belong to the defendant on the plaintiff's death, was conveyed into the defendant's name and the plaintiff moved in. The plaintiff discovered that the defendant had allowed the mortgage payments to fall into arrears and decided to withdraw. He claimed repayment of the £43,000. The house was sold for £55,000 and £17,000 was left after redemption. The judge held that the transaction should be set aside because of the defendant's undue influence, and that the loss brought about by the fall in the value of the house should be shared between the parties in proportions of the purchase (ie, 43:40). The defendant appealed against the decision that the transaction was affected by undue influence; the plaintiff appealed against the decision that he should share a proportion of the loss.

The Court of Appeal held that justice required that each party should be returned as near to his original position as was possible and that the defendant should not be required to shoulder the whole of the loss brought about by the fall in the market value. Accordingly, each party should get back a proportionate share of the net proceeds of the house and the judge had correctly decided that the proceeds of sale should be divided between the parties in the proportions of 43:40. The appeals would therefore be dismissed.

Mahoney v Purnell [1996] 3 All ER 61

The plaintiff, M, operated a hotel business in partnership with P, his son-in-law. P wanted to run the hotel on his own. M was reluctant to sell his shares even though his financial position was precarious, but eventually he and P agreed a price of £200,000, calculated on the basis of an assessment of the company's assets and liabilities. The money was to be paid over ten years. The agreements were executed in March 1988. P later sold the hotel in 1989 for £3.275m and M commenced proceedings based on undue influence. Before trial of the action, the company went into liquidation and the

payments due to M under the agreements ceased, with some £80,000 outstanding. M's claims of undue influence against P succeeded and the question arose as to the appropriate equitable remedy in circumstances where the parties could not be restored to their former position.



The Court of Appeal held that since the company was in liquidation, the court was entitled in those circumstances to award compensation in equity to M equal to the March 1988 value of what he had surrendered under the agreements, with appropriate credit being given for what he had received under them. M was accordingly entitled to the sum of £202,131 in compensation from P.

Barclays Bank v Caplan (1997) The Times, December 12

It was held in the Chancery Division that at common law, where an instrument contained legally objectionable features which were unenforceable against one party, they might be severed from the rest of the instrument if (1) the unenforceable feature was capable of being removed by the excision of words, without the necessity of adding to or modifying the wording of what remained, and (2) its removal did not alter the character of the instrument or the balance of rights and obligations contained in it.

See Law Report.

ILLEGALITY □ REF NOTES IN PDF FORMAT

DISCHARGE OF CONTRACT

A contract may be discharged by performance, agreement, breach, or frustration.

1. PERFORMANCE

THE GENERAL RULE

The general rule is that the parties must perform precisely all the terms of the contract in order to discharge their obligations.

For example, in contracts for the sale of goods, s13 Sale of Goods Act 1979 imposes the condition that the goods must correspond with the description. The precise requirement of s13 was illustrated in:

Re Moore and Landauer [1921] 2 KB 519.

The classic example of hardship caused by this rule is the case of:

Cutter v Powell (1795) 6 Term Rep 320.

MODIFICATION OF THE GENERAL RULE

The strict rule as to performance is mitigated in a number of instances:

A) DIVISIBLE CONTRACTS

A contract may be entire or divisible. An entire contract is one where the agreement provides that complete performance by one party is a condition precedent to

contractual liability on the

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part of the other party. With a divisible contract, part of the consideration of one party is set off against part of the performance of the other. Contrast:

Sumpter v Hedges [1898] 1 QB 673

Roberts v Havelock (1832) 3 B. & Ad. 404.

B) ACCEPTANCE OF PARTIAL PERFORMANCE

Where the party to whom the promise of performance was made receives the benefit of partial performance of the promise under such circumstances that he is able to accept or reject the work and he accepts the work, then the promisee is obliged to pay a reasonable price for the benefit received.

But it must be possible to infer from the circumstances a fresh agreement by the parties that payment shall be made for the goods or services in fact supplied. See:

Christy v Row (1808) 1 Taunt 300.

C) COMPLETION OF PERFORMANCE PREVENTED BY THE PROMISEE

Where a party to an entire contract is prevented by the promisee from performing all his obligations, then he can recover a reasonable price for what he has in fact done on a quantum meruit basis in an action in quasi-contract. See:

Planche v Colburn (1831) 8 Bing 14.

D) SUBSTANTIAL PERFORMANCE

When a person fully performs the contract, but subject to such minor defects that he can be said to have substantially performed his promise, it is regarded as far more just to allow him to recover the contract price reduced by the extent to which his breach of contract lessened the value of what was done, than to leave him with no right of recovery at all. Contrast:

Dakin v Lee [1916] 1 KB 566

Bolton v Mahadeva [1972] 2 All ER 1322.

E) TENDER OF PERFORMANCE

Tender of performance is equivalent to performance in the situation where party (a) cannot complete performance without the assistance of party (b) and party (a) makes an offer to perform which party (b) refuses. See:

Startup v M'Donald (1843) 6 M&G 593.

STIPULATIONS AS TO TIME OF PERFORMANCE

At common law, in the absence of contrary intention, time was regarded as being of the

essence. Thus if a party did not perform on time he could not enforce the contract against the other

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party. Section 41 Law of Property Act 1925 modified this common law rule by providing that the equitable principle shall prevail with the result that if time is not of the essence, a right to damages accrues but not a right to terminate the contract.

In equity time was not regarded as being of the essence, except in three circumstances:

- A) The contract expressly states that time is of the essence.
- B) Time was made of the essence by the giving of notice (during the currency of the contract) to perform within a reasonable time.
- C) Where from the nature of the surrounding circumstances or from the subject matter of the contract it is clear that time is of the essence.

2. AGREEMENT

The general rule is that what has been created by agreement may be extinguished by agreement.

An agreement by the parties to an existing contract to extinguish the rights and obligations that have been created is itself a binding contract, provided that it is made under seal or supported by consideration. Where the agreement for discharge is not under seal, the legal position varies according to whether the discharge is bilateral or unilateral:

BILATERAL DISCHARGE

Bilateral discharge occurs whenever both parties to the contract have some right to surrender, eg where there has been non-performance by either party, or is partly performed by one or both parties.

The agreement by the parties to discharge their contract may be designed to have one of several effects:

(A) ACCORD AND SATISFACTION

The parties may intend to rescind their present agreement and nothing more. Where there is an agreement mutually to release the other from the obligations under the first agreement, there is an accord and satisfaction.

(B) RESCISSION AND SUBSTITUTION

The parties may intend rescission of the original contract and substitution of a new contract.

(C) VARIATION

The parties may agree on the variation of an existing contract, ie modifying or altering the terms of the original agreement.

(D) WAIVER

Where one party voluntarily accedes to a request by another to forbear his right to strict performance of the contract, or where he represents to another that he will not insist upon

his right to strict performance of the contract, the court may hold that he has waived his right to

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performance as initially contemplated by the parties. UNILATERAL DISCHARGE

Unilateral discharge takes place where only one party has rights to surrender. Where one party has entirely performed his part of the agreement, he is no longer under obligations but has rights to compel the performance of the agreement by the other party.

For unilateral discharge, unless the agreement is under seal, consideration must be furnished in order to make the agreement enforceable, ie accord and satisfaction.

3. BREACH

A failure to perform the terms of a contract constitutes a breach. A breach which is serious enough to give the innocent party this option of treating the contract as discharged can occur in one of two ways:

- either one party may show by express words or by implications from his conduct at some time before performance is due that he does not intend to observe his obligations under the contract (anticipatory breach); or
- he may in fact break a condition or otherwise break the contract in such a way that it amounts to a substantial failure of consideration.

One preliminary question, in cases of anticipatory breach, is to ascertain whether, once repudiation has been communicated to the innocent party, that party accepts the repudiation or not. The question of whether silence/inaction can amount to acceptance of repudiation was considered in:

Vitol SA v Norelf Ltd [1996] 3 All ER 193.

The innocent party is not under any obligation to wait until the date fixed for performance before commencing his action, but may immediately treat the contract as at an end and sue for damages. See:

Hochster v De La Tour (1853) 2 E&B 678.

If within a reasonable time the innocent party does not indicate that he accepts the other party's repudiation so that the contract is discharged, then the contract remains open for the benefit of, and the risk of, both parties. The breach was not accepted in:

Avery v Bowden (1855) 5 E&B 714.

It appears that the right to keep the contract alive subsists even where the innocent party is increasing the amount, and not mitigating, the damages which he may receive from the party in breach. See:

White & Carter v McGregor [1962] AC 413.

Where the innocent party elects to treat the contract as continuing (ie, he affirms it) the affirmation can be regarded as a species of waiver. The innocent party waives his right to treat the contract as repudiated and may be estopped from changing his election. See:

Panchaud Freres SA v Establissements General Grain Co [1970] 1 Lloyd's Rep 53.

If the innocent party elects to affirm a contract after an anticipatory breach by the other party, he is not absolved from tendering further performance of his own obligations under the contract. Consequently, the repudiating party could escape liability if the affirming party was subsequently in breach of the contract. See:

Fercometal Sarl v Mediterranean Shipping Co [1988] 2 All ER 742.

Whether the anticipatory breach amounts to a repudiation depends on the actual circumstances of the case. Lord Selborne stated in *Mersey Steel v Naylor Benzon* (1884) 9 App Cas 434:

"you must examine what (the) conduct is to see whether it amounts to a renunciation, to an absolute refusal to perform the contract and whether the other party may accept it as a reason for not performing his part."

The difficulty that can arise in determining whether the conduct amounts to a repudiation is illustrated by a comparison of two decisions in the House of Lords:

Federal Commerce & Navigation v Molena Alpha [1979] AC 757
Woodar Investment v Wimpey Construction [1980] 1 WLR 277.

4. FRUSTRATION

The doctrine of frustration operates in situations where it is established that due to subsequent change in circumstances, the contract is rendered impossible to perform, or it has become deprived of its commercial purpose by an event not due to the act or default of either party.

Frustration is not to be confused with initial impossibility, which may render the contract void ab initio. See *Couturier v Hastie* (1856) 5 HL Cas 673 ([Handout on Mistake](#)).

TESTS FOR FRUSTRATION

There are two alternative tests for frustration:

(1) The implied term theory, as in:

Taylor v Caldwell (1863) 3 B&S 826.

Lord Loreburn explained in *FA Tamplin v Anglo-Mexican Petroleum* [1916] 2 AC 397, that the court:

'...can infer from the nature of the contract and the surrounding circumstances that a condition which was not expressed was a foundation on which the parties contracted ...Were the altered



conditions such that, had they thought of them, the parties would have taken their chance of them, or such that as sensible men they would have said "if that happens of course, it is all over between us".'

(2) The radical change in the obligation test. This was adopted by the majority of the House of Lords in:

Davis Contractors v Fareham UDC [1956] AC 696.

In *National Carriers v Panalpina* [1981] AC 675, Lord Wilberforce was reluctant to choose between the theories. He took the view that they merged one into the other and that the choice depends upon "what is most appropriate to the particular contract under consideration".

EXAMPLES OF FRUSTRATION

A) DESTRUCTION OF THE SPECIFIC OBJECT ESSENTIAL FOR PERFORMANCE OF THE CONTRACT

The destruction of the specific object essential for performance of the contract will frustrate it. See:

Taylor v Caldwell (1863) (above).

B) PERSONAL INCAPACITY

Personal incapacity where the personality of one of the parties is significant may frustrate the contract:

Condor v The Baron Knights [1966] 1 WLR 87

Phillips v Alhambra Palace Co [1901] 1 QB 59

Graves v Cohen (1929) 46 TLR 121

FC Shepherd v Jeromm [1986] 3 All ER 589.

C) THE NON-OCCURENCE OF A SPECIFIED EVENT

The non-occurrence of a specified event may frustrate the contract. Compare the leading cases:

Krell v Henry [1903] 2 KB 740

Herne Bay Steamboat Co v Hutton [1903] 2 KB 683.

D) INTERFERENCE BY THE GOVERNMENT

Interference by the government may frustrate a contract. See:

Metropolitan Water Board v Dick Kerr [1918] AC 119.

E) SUPERVENING ILLEGALITY

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A contract may become frustrated if it later becomes illegal. See:

Denny, Mott & Dickinson v James Fraser [1944] AC 265
Re Shipton, Anderson and Harrison Brothers [1915] 3 KB 676.

F) DELAY

Inordinate and unexpected delay may frustrate a contract. The problem is to know how long a party must wait before the delay can be said to be frustrating. See:

Jackson v Union Marine Insurance (1873) LR 10 CP 125.

LIMITATIONS OF THE DOCTRINE

- 'The doctrine of frustration must be applied within very narrow limits', per Viscount Simmonds in Tsakiroglou [1961] (below).
- Lord Roskill said that the doctrine of frustration was 'not lightly to be invoked to relieve contracting parties of the normal consequences of imprudent commercial bargains', in Pioneer Shipping v BTP Tioxide [1982] AC 724.

A) EXPRESS PROVISION FOR FRUSTRATION

The doctrine of frustration cannot override express contractual provision for the frustrating event.

B) MERE INCREASE IN EXPENSE OR LOSS OF PROFIT

The mere increase in expense or loss of profit is not a ground for frustration. See:

Davis Contractors v Fareham UDC [1956] AC 696
Tsakiroglou v Noble Thorl [1961] 2 All ER 179.

C) FRUSTRATION MUST NOT BE SELF-INDUCED

See:

Maritime National Fish v Ocean Trawlers [1935] AC 524.

D) FORESEEABILITY OF THE FRUSTRATING EVENT

A party cannot rely on an event which was, or should have been, foreseen by him but not by the other party. See:

Walton Harvey Ltd v Walker & Homfrays Ltd [1931] 1 Ch 274.

EFFECTS OF FRUSTRATION

The Law Reform (Frustrated Contracts) Act 1943 was passed to provide for a just apportionment

of losses where a contract is discharged by frustration. (For the previous inflexible common law rules see ILEx Textbook, 13.5.4)

(A) RECOVERY OF MONEY PAID

Section 1(2) provides three rules:

- Money paid before the frustrating event is recoverable, and
- Money payable before the frustrating event ceases to be payable, whether or not there has been a total failure of consideration.
- If, however, the party to whom such sums are paid/payable incurred expenses before discharge in performance of the contract, the court may award him such expenses up to the limit of the money paid/payable before the frustrating event.

For an example, see:

Gamerco v ICM/Fair Warning (Agency) Ltd [1995] 1 WLR 1226.

(B) VALUABLE BENEFIT

Section 1(3) provides:

- If one party has, by reason of anything done by the other party in performance of the contract, obtained a valuable benefit (other than money) before the frustrating event, he may be ordered to pay a sum in respect of it, if the court considers it just, having regard to all the circumstances of the case.

A case has discussed, inter alia, the meaning of the words 'valuable benefit'. See:

BP Exploration v Hunt [1982] 1 All ER 925.

(C) SCOPE OF THE 1943 ACT

Section 2(3) permits contracting out.

Section 2(4) provides that the Act does not apply where wholly performed contractual obligations can be severed from those affected by the frustrating event.

Section 2(5) provides that the Act does not apply to:

- Contracts containing a provision to meet the case of frustration;
- Charterparties (except time charterparties or charterparties by demise);
- Contracts for the carriage of goods by sea;
- Contracts of insurance;
- Contracts for the sale of specific goods, which perish before the risk has passed to the buyer.

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1. PERFORMANCE

THE GENERAL RULE

Re Moore and Landauer [1921] 2 KB 519

There was an agreement for the sale of 3,000 tins of canned fruit packed in cases of 30 tins. When delivered it was discovered that half the cases contained only 24 tins although the total number of tins was still 3,000. The market value was not affected. The Court of Appeal held that notwithstanding that there was no loss to the buyer, he could reject the whole consignment because of the breach of s13 of the Sale of Goods Act (goods must correspond with the description).

Cutter v Powell (1795) 6 Term Rep 320

A seaman who was to be paid his wages after the end of a voyage died just a few days away from port. His widow was not able to recover any of his wages because he had not completed performance of his contractual obligation. However, this situation is now provided for by the Merchant Shipping Act 1970.

MODIFICATION OF THE GENERAL RULE

Sumpter v Hedges [1898] 1 QB 673

The plaintiff agreed to erect upon the defendant's land two house and stables for £565. He did part of the work to the value of about £333 and then abandoned the contract. The defendant completed the buildings. The Court held that the plaintiff could not recover the value of the work done, as he had abandoned the contract.

Roberts v Havelock (1832) 3 B. & Ad. 404

A shipwright agreed to repair a ship. The contract did not expressly state when payment was to be made. He chose not to go on with the work. It was held that the shipwright was not bound to complete the repairs before claiming some payment.

Note: GH Treitel, The Law of Contract, states (at p702): In such cases the question whether a particular obligation is entire or severable is one of construction; and where a party agrees to do work under a contract, the courts are reluctant to construe the contract so as to require complete performance before any payment becomes due. "Contracts may be so made; but they require plain words to shew that such a bargain was really intended": Button v Thompson (1869) LR 4 CP.

Christy v Row (1808) 1 Taunt 300

A ship freighted to Hamburg was prevented 'by restraint of princes' from arriving. Consignees accepted the cargo at another port to which they had directed it to be

delivered. The consignees

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were held liable upon an implied contract to pay freight pro rata itineris (ie, for freight at the contract rate for the proportion of the voyage originally undertaken which was actually accomplished). A contract was implied from their directions re alternative port of delivery.

Planche v Colburn (1831) 8 Bing 14

The plaintiff was to write a book on 'Costume and Ancient Armour' for a series, and was to receive £100 on completion of the book. After he had done the necessary research but before the book had been written, the publishers abandoned the series. He claimed alternatively on the original contract and on a quantum meruit.

The court held that: (a) the original contract had been discharged by the defendants' breach; (b) no new contract had been substituted; and (c) the plaintiff could obtain 50 guineas as reasonable remuneration on a quantum meruit. This claim was independent of the original contract and was based on quasi-contract.

Dakin v Lee [1916] 1 KB 566

The defendants promised to build a house according to specification and failed to carry out exactly all the specifications, for example, concrete not four feet deep as specified, wrong joining of certain rolled steel joists and concrete not properly mixed. The Court of Appeal held that the builders were entitled to recover the contract price, less so much as ought to be allowed in respect of the items found to be defective.

Bolton v Mahadeva [1972] 2 All ER 1322

The plaintiff agreed with the defendant that he would install central heating in the defendant's house for a lump sum of £560. When the work was completed, the defendant complained that it was defective and refused to pay. The judge found that the flue was defective so that it gave off fumes making the rooms uncomfortable, and the system was inefficient in that the amount of heat varied from one room to another. The cost of rectifying these defects was £174. The Court of Appeal held that the plaintiff was not entitled to recover as there had been no substantial performance.

Startup v M'Donald (1843) 6 M&G 593

The plaintiffs agreed to sell 10 tons of oil to the defendant and to deliver it to him 'within the last 14 days of March', payment to be in cash at the end of that period. Delivery was tendered at 8.30pm on 31 March. The defendant refused to accept or pay for the goods because of the late hour. The court held that the tender was equivalent to performance and the plaintiffs were entitled to recover damages for non-acceptance. Today note s29(5) SGA 1979: Demand or tender of delivery may be treated as ineffectual unless made at a reasonable hour; and what is a reasonable hour is a question of fact.

2. AGREEMENT

No cases.

3. BREACH

Vitol SA v Norelf Ltd [1996] 3 All ER 193

The repudiating party notified the other that they considered the contract at an end. However, no action was taken by the innocent party, either to act on the repudiation or to affirm the contract, on receipt of this information. The Court of Appeal stated that inactivity did not show the party's intentions one way or another and did not amount to acceptance of repudiation or serve as affirmation either. This decision was reversed by the House of Lords, who held that silence or inaction can amount to acceptance of a wrongful repudiation of a contract.

Hochster v De La Tour (1853) 2 E&B 678

An employer told his employee (a travelling courier) before the time for performance arrived that he would not require his services. The courier sued for damages at once. The court held that he was entitled to do so.

Avery v Bowden (1855) 5 E&B 714

A charterparty provided that a ship should proceed to Odessa and there take a cargo from the charterer's agent. The ship arrived at Odessa and the master demanded a cargo, but the agent could not provide one. The ship's master continued to ask for one. A war broke out. The charterer sued. The court held, *inter alia*, that if the agent's conduct amounted to an anticipatory repudiation of the contract, the master had elected to keep the contract alive until it was discharged by frustration on the outbreak of war.

White & Carter v McGregor [1961] 3 All ER 1178

The plaintiff advertising contractors agreed with the defendant garage proprietor to display advertisements for his garage for three years. The defendant repudiated the agreement and cancelled on the same day. The plaintiffs refused to cancel and performed their obligations. They sued for the contract price. The House of Lords held, by a majority of 3:2 that they were entitled to the full contract price.

See law report.

Panchaud Freres SA v Etablissements General Grain Co [1970] 1 Lloyd's Rep 53

Buyers of maize rejected it on a ground which was subsequently found to be inadequate. Three years later, they discovered that the grain had not been shipped within the period stipulated for in the contract. They, therefore, sought to justify their rejection on this

ground. The Court of Appeal held that they were not entitled to do so. Lord Denning MR stated that the buyers were



estopped by their conduct from setting up late delivery as a ground for rejection because they had led the sellers to believe they would not do so.

Fercometal Sarl v Mediterranean Shipping Co [1988] 2 All ER 742

Charterers entered into a charterparty with the shipowners. The charterers cancelled the charterparty and engaged a different vessel. The owners did not accept the repudiation which was premature because it was given in advance of the cancellation date. When the vessel arrived the owners gave notice of readiness even though they were not in fact ready to load the charterers' cargo. The charterers rejected the notice and proceeded to load their cargo onto the other vessel. The shipowners brought an action for damages.

The House of Lords held that where a party to a contract wrongfully repudiated his contractual obligations before he was required to perform those obligations, the innocent party could either affirm the contract, treating it as still in force, or treat it as being discharged. If he elected to affirm the contract he was not absolved from tendering his own performance under the contract. Thus if a repudiation by the anticipatory breach was followed by affirmation of the contract, the repudiating party could escape liability if the affirming party was subsequently in breach of his obligations under the contract.

On the facts of the case the owners, having affirmed the contract when they refused to accept the charterers premature repudiation, could avoid the cancellation clause in the charterparty only by tendering the vessel ready to load on time, which they had failed to do, or by establishing, which they could not do, that their failure was due to their acting on a representation by the charterers that they had given up their option to cancel.

Federal Commerce & Navigation v Molena Alpha [1979] AC 757

Clause 9 of a charter provided that the charterers were to sign bills of lading stating the freight had been correctly paid. After a dispute arose concerning deductions made by the charterers, the shipowners withdrew this authority contrary to the terms of the charter. The master was instructed not to sign bills of lading with the indorsement 'freight pre paid' or which did not contain an indorsement giving the shipowners a lien over the cargo for freight. This meant that the charterers were put in an impossible position commercially. The charterers treated the owner's actions as a repudiation of the charter.

The House of Lords held that although the term broken was not a condition, the breach went to the root of the contract by depriving the charterers of virtually the whole benefit of the contract because the issue of such bills was essential to the charterers' trade. Therefore, the owner's conduct constituted a wrongful repudiation of the contract.

Woodar Investment v Wimpey Construction [1980] 1 WLR 277

Wimpey contracted to buy land for £850,000 and agreed to pay £150,000 on completion to a third party, Transworld Trade Ltd. The contract allowed the purchaser to rescind the contract if

before completion a statutory authority 'shall have commenced' to acquire the property by compulsory purchase. At the date of the contract both parties knew that a draft compulsory purchase order had been made. Wimpey purported to terminate relying on this provision, and Woodar sought damages alleging that this amounted to a wrongful repudiation. Their damages claim included the loss suffered by the third party (as to which, see Privity of Contract).

The House of Lords held, by a majority of 3:2, that in order to constitute a renunciation of the contract there had to be an intention to abandon the contract and instead of abandoning the contract Wimpey were relying on its terms as justifying their right to terminate.

4. FRUSTRATION

Taylor v Caldwell (1863) 3 B&S 826

For facts, see below. Blackburn J stated: "The principle seems to us to be that, in contracts in which the performance depends on the continued existence of a given person or thing, a condition is implied that the impossibility of performance arising from the perishing of the person or thing shall excuse the performance."

Davis Contractors v Fareham UDC [1956] AC 696

For facts, see below. Lords Reid and Radcliffe stated that the 'radical change in the obligation' test required the court to:

1. Construe the contractual terms in the light of the contract and surrounding circumstances at the time of its creation.
2. Examine the new circumstances and decide what would happen if the existing terms are applied to it.
3. Compare the two contractual obligations and see if there is a radical or fundamental

change. Taylor v Caldwell (1863) 3 B&S 826

Caldwell agreed to let a music hall to Taylor so that four concerts could be held there. Before the date of the first concert, the hall was destroyed by fire. Taylor claimed damages for Caldwell's failure to make the premises available. The court held that the claim for breach of contract must fail since it had become impossible to fulfil. The contractual obligation was dependent upon the continued existence of a particular object. See above for the quote of Blackburn J.

Condor v The Baron Knights [1966] 1 WLR 87

A drummer engaged to play in a pop group was contractually bound to work on seven nights a week when work was available. After an illness, Condor's doctor advised that it was only safe to employ him on four nights a week, although Condor himself was willing to work every night. It was necessary to engage another drummer who could safely work on seven nights each week. The court held that Condor's contract of employment had

been frustrated in a commercial sense. It was impracticable to engage a stand-in for the three nights a week when Condor could

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not work, since this involved double rehearsals of the group's music and comedy routines.

Phillips v Alhambra Palace Co [1901] 1 QB 59

One partner in a firm of music hall proprietors died after a troupe of performers had been engaged. The contract with the performers was held not to be frustrated because the contract was not of a personal nature, and could be enforced against the surviving partners.

Graves v Cohen (1929) 46 TLR 121

The court held that the death of a racehorse owner frustrated the contract with his employee, a jockey, because the contract created a relationship of mutual confidence.

FC Shepherd v Jeromm [1986] 3 All ER 589

The Court of Appeal held that a sentence of imprisonment imposed on an employee was capable of frustrating the employee's contract of employment if the sentence was such that it rendered the performance of the contract radically different from that which the parties contemplated when they entered into the contract.

Krell v Henry [1903] 2 KB 740

Henry hired a room from Krell for two days, to be used as a position from which to view the coronation procession of Edward VII, but the contract itself made no reference to that intended use. The King's illness caused a postponement of the procession. It was held that Henry was excused from paying the rent for the room. The holding of the procession on the dates planned was regarded by both parties as basic to enforcement of the contract.

Herne Bay Steamboat Co v Hutton [1903] 2 KB 683

Herne Bay agreed to hire a steamboat to Hutton for a period of two days for the purpose of taking passengers to Spithead to cruise round the fleet and see the naval review on the occasion of Edward VII's coronation. The review was cancelled, but the boat could have been used to cruise round the assembled fleet. It was held that the contract was not frustrated. The holding of the naval review was not the only event upon which the intended use of the boat was dependent. The other object of the contract was to cruise round the fleet, and this remained capable of fulfilment.

Metropolitan Water Board v Dick Kerr [1918] AC 119

Kerr agreed to build a reservoir for the Water Board within six years. After two years, Kerr were required by a wartime statute to cease work on the contract and to sell their plant. The contract was held to be frustrated because the interruption was of such a nature as to make the contract, if resumed, a different contract.

Denny, Mott & Dickinson v James Fraser [1944] AC 265

A contract for the sale and purchase of timber contained an option to purchase a timber yard. By a wartime control order, trading under the agreement became illegal. One party wanted to exercise the option. It was held that the order had frustrated the contract so the option could not be exercised.

Re Shipton, Anderson and Harrison Brothers [1915] 3 KB 676

A contract was concluded for the sale of wheat lying in a warehouse. The Government requisitioned the wheat, in pursuance of wartime emergency regulations for the control of food supplies, before it had been delivered, and also before ownership in the goods had passed to the buyer under the terms of the contract. It was held that the seller was excused from further performance of the contract as it was now impossible to deliver the goods due to the Government's lawful requisition.

Jackson v Union Marine Insurance (1873) LR 10 CP 125

A ship was chartered in November 1871 to proceed with all possible despatch, danger and accidents of navigation excepted, from Liverpool to Newport where it was to load a cargo of iron rails for carriage to San Francisco. She sailed on 2 January, but the next day ran aground in Caernarvon Bay. She was refloated by 18 February and taken to Liverpool, where she underwent extensive repairs, which lasted till August. On 15 February, the charterers repudiated the contract.

The court held that such time was so long as to put an end in a commercial sense to the commercial speculation entered upon by the shipowner and the charterers. The express exceptions were not intended to cover an accident causing such extensive damage. The contract was to be considered frustrated.

LIMITATIONS OF THE DOCTRINE

Davis Contractors v Fareham UDC [1956] AC 696

The plaintiff agreed to build 78 houses in eight months at a fixed price. Due to bad weather, and labour shortages, the work took 22 months and cost £17,000 more than anticipated. The builders said that the weather and labour shortages, which were unforeseen, had frustrated the contract, and that they were entitled to recover £17,000 by way of a quantum meruit. The House of Lords held that the fact that unforeseen events made a contract more onerous than was anticipated did not frustrate it.

Tsakiroglou v Noble Thorl [1961] 2 All ER 179

T agreed to sell Sudanese groundnuts to NT, the nuts to be shipped from Port Sudan to Hamburg, November/December 1956. As a result of the 'Suez crisis', the Suez Canal was closed from 2 November 1956 until April 1957. T failed to deliver, arguing that shipment round the Cape of Africa was commercially and fundamentally different. The court held that the contract

was not frustrated. They were, therefore, liable for breach - the change in circumstances was not fundamental.

Maritime National Fish v Ocean Trawlers [1935] AC 524

Maritime chartered from Ocean a vessel which could only operate with an otter trawl. Both parties realised that it was an offence to use such a trawl without a government licence. Maritime was granted three such licences, but chose to use them in respect of three other vessels, with the result that Ocean's vessels could not be used. It was held that the charterparty had not been frustrated. Consequently Maritime was liable to pay the charter fee. Maritime freely elected not to licence Ocean's vessel, consequently their inability to use it was a direct result of their own deliberate act.

Walton Harvey Ltd v Walker & Homfrays Ltd [1931] 1 Ch 274

The defendant's granted the plaintiffs the right to display an advertising sign on the defendant's hotel for seven years. Within this period the hotel was compulsorily acquired, and demolished, by a local authority acting under statutory powers. The defendants were held liable in damages. The contract was not frustrated because the defendant's knew, and the plaintiffs did not, of the risk of compulsory acquisition. They could have provided against that risk, but they did not.

EFFECTS OF FRUSTRATION

Gamerco v ICM/Fair Warning (Agency) Ltd [1995] 1 WLR 1226

The plaintiffs, pop concert promoters, agreed to promote a concert to be held by the defendant group at a stadium in Spain. However, the stadium was found by engineers to be unsafe and the authorities banned its use and revoked the plaintiffs' permit to hold the concert. No alternative site was at that time available and the concert was cancelled. Both parties had incurred expenses in preparation for the concert; in particular the plaintiffs had paid the defendants \$412,500 on account. The plaintiffs sought to recover the advance payment under s1(2) Law reform (Frustrated Contracts) Act 1943, and the defendants counterclaimed for breach of contract by the plaintiffs in failing to secure the permit for the concert.

It was an implied term of the contract that the plaintiffs would use all reasonable endeavours to obtain a permit, yet once the permit was granted they could not be required to guarantee that it would not be withdrawn. The contract was frustrated essentially because the stadium was found to be unsafe, a circumstance beyond the control of the plaintiffs. The revocation of the permit, subsequent to its being obtained by the plaintiffs, was not the frustrating event; the ban on the use of the stadium was. Under s1 of the 1943 Act, the plaintiffs were entitled to recover advance payments made to the defendants. The court did have a discretion to allow the defendants to offset their losses against this, but in all the circumstances of the present case the court felt that no

deduction should be made in favour of the defendants and their counterclaim should be dismissed.



BP Exploration v Hunt [1982] 1 All ER

925 See law report at p939C-p940C.

REMEDIES FOR BREACH 1 - DAMAGES

1. CAUSATION

The plaintiff must show that his loss was one which resulted from a breach of contract by the defendant (a direct causal link).

An act of the defendant in a sequence of events leading to a loss might not be held to be the cause of the loss. For example, a shipowner was not liable to a charterer when, as a result of delay, the ship ran into a typhoon, as such a catastrophe may occur anywhere: *The Monarch SS Co Case* [1949] AC 196.

If there are two causes of the state of affairs resulting in damage, and both causes have equal effect, one will be sufficient to carry a judgment for damages. See:

Smith, Hogg & Co v Black Sea Insurance [1940] AC 997.

An intervening act of a third party which itself causes the loss to the plaintiff, or aggravates the loss, caused by the defendant's breach, will not absolve the defendant from liability if the intervening act was reasonably foreseeable (the *Victoria Laundry* and *The Heron II* principles, below). Compare:

Stansbie v Troman [1948] 2 KB 48

Weld-Blundell v Stephens [1920] AC 956.

2. REMOTENESS OF DAMAGE

Not every type of damage caused to the plaintiff as a result of the breach of contract will be recoverable. If the loss flowing from the breach of contract is too remote then it cannot be recovered. Losses, to be recoverable, must have been within the reasonable contemplation of the parties. See:

Hadley v Baxendale (1849) 9 Exch 341.

Damages are recoverable under two limbs under *Hadley v Baxendale*: (i) Damages which may fairly and reasonably be considered as arising naturally from the breach; (ii) Damages which may reasonably be supposed to have been in the contemplation of the parties, as liable to result from the breach, at the time of the contract.

The Court of Appeal took the opportunity to review and restate the principles governing the

measure of damages in:

Victoria Laundry v Newman Industries [1949] 2 KB 528.

The principles relating to remoteness of damage were further considered in the House of Lords and given greater refinement in:

The Heron II [1969] 1 AC 350.

The effect of "the two limbs" in Hadley v Baxendale is as follows:-

Losses which occur "in the ordinary course of things" only are recoverable under the first limb. See:

Pilkington v Wood [1953] Ch 770.

The defendant's knowledge of special circumstances under the second limb is not in itself sufficient to make him liable. There must be knowledge and acceptance by the defendant of the purpose and intention of the plaintiff. Compare:

Horne v Midland Railway (1873) LR 8 CP
131 Simpson v L & N Railway (1876) 1
QBD 274.

3. MITIGATION OF LOSS

It is the duty of every plaintiff to mitigate his loss, that is, to do his best not to increase the amount of damage done. There are three rules:

- (i) The plaintiff cannot recover for loss which the plaintiff could have avoided by taking reasonable steps.
- (ii) The plaintiff cannot recover for any loss he has actually avoided, even though he took more steps than were necessary in compliance with the above rule.
- (iii) The plaintiff may recover loss incurred in taking reasonable steps to mitigate his loss, even though he did not succeed.

The plaintiff must minimise the loss resulting from the breach by taking all reasonable steps available to him. If he fails to do so, then he cannot recover anything in respect of that extra loss. See:

Payzu v Saunders [1919] 2 KB 581.

However, the plaintiff is not expected to take risks in order to mitigate losses caused by the defendant's breach:

Pilkington v Wood [1953] Ch 770.

If the plaintiff obtains any benefits as a result of his mitigation, these must be taken into

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account. See:

British Westinghouse v Underground Electric Railway of London [1912] AC 673.

Note the case of White & Carter v McGregor [1962] AC 413; an exception to the general rule?

4. PURPOSE OF DAMAGES

Damages are meant to compensate the injured party for any consequences of the breach of contract. The underlying principle is to put the injured party financially as near as possible, into the position he would have been in had the promise been fulfilled.

In Addis v Gramophone Co Ltd [1909] AC 488, Lord Atkinson said: "I have always understood that damages for breach of contract were in the nature of compensation, not punishment."

5. HEADS OF DAMAGE & CALCULATION

There are several ways in which the plaintiff can be compensated for his loss and the plaintiff is entitled to choose whichever form of compensation he feels is most appropriate to his case.

HEADS OF DAMAGE

(i) LOSS OF BARGAIN

Damages for loss of bargain are assessable to put the plaintiff, so far as money can do it, in the same situation as if the contract had been performed. For example, in a contract for the sale of goods which are defective, the plaintiff will (under this head) be entitled to damages reflecting the differences between the price paid under the contract and the actual value of the defective goods.

(ii) RELIANCE LOSS

Damages for reliance loss are designed to put the plaintiff in the position he would have been, if the contract had never been made, by compensating him for expenses he has incurred in his abortive performance. See:

McRae v Commonwealth Disposals (1950) 84 CLR 377

Anglia Television v Reed [1972] 1 QB 60.

(iii) RESTITUTION

Where a bargain is made and the price paid, but the defendant fails to deliver the goods, then the plaintiff is entitled to recover the price paid plus interest thereon.

NOTE: Incidental losses are those which the plaintiff incurs after the breach has come to

his notice. They include the administrative costs of buying a substitute, or sending back defective goods, or hiring a replacement in the meantime. Consequential losses may be loss of profits, for



example, reliance loss, or further harm such as personal injury or damage to property.

The plaintiff's choice of claim may be aided by the fact that more than one of the claims is available to him. In such cases, the plaintiff can combine the claims:

Millar's Machinery Co v David Way (1935) 40 Com Cas 240.

TIME FOR ASSESSMENT OF LOSS

The general rule is that damages are to be assessed at the time of the breach. However, the court can postpone the date for assessment of damages to a more appropriate time. See:

Johnson v Agnew [1980] 1 All ER 883.

CALCULATION OF DAMAGES FOR LOSS OF BARGAIN

Where the plaintiff claims for loss of bargain and that he be put in the position as if the contract had been performed, two bases of assessment are available: cost of cure and difference in value. See:

Peevyhouse v Garland Coal Co (1962) 382 P 2d 109.

In the majority of cases where there is a discretion, the court will exercise this to use the most appropriate basis of assessment in the case. However, certain rules do exist for working out the appropriate mode of assessment:

- (i) In sale of goods contracts if a defect can be cured at a reasonable cost, the cost of cure will be awarded, otherwise the difference in value is awarded.
- (ii) In building contracts, cost of cure basis is usual, and the builder must put the defects right. However, if the cost of cure is greater than the whole value of the building, then only the difference in value will be awarded. This issue was considered by the House of Lords in:

Ruxley Electronics & Construction v Forsyth [1995] 3 WLR 118.

ACTUAL AND MARKET VALUES

Where damages are based on the difference in value principle, then market values may be taken into account to assess the plaintiff's loss. For example, where the defendant fails to deliver goods or render services, then the plaintiff can go into the market and obtain these goods or services at the prevailing price. Therefore the plaintiff's damages will be the difference between the market price and the price of the goods or services in the contract. There are two rules:

- (i) Under s51 SGA 1979, where a seller wrongfully neglects or refuses to deliver the goods to the buyer, the buyer may maintain an action against the seller for damages for non-delivery. But such an action will not allow the seller to recover for anything more

than the difference between the market value and the contract value.

(ii) If the defendant wrongfully refuses to accept and pay for the goods, then the plaintiff can



sue for the loss of profit on that transaction in certain circumstances. Compare:

Thompson v Robinson (Gunmakers) Ltd [1955] Ch 177
Charter v Sullivan [1957] 2 QB 117.

DAMAGES WHICH ARE IRRECOVERABLE

The plaintiff may be able to recover damages for injury to feelings in tort, but in contract such damages are irrecoverable. See:

Addis v Gramophone Company [1909] AC 488.

This principle was reaffirmed by the Court of Appeal in *Bliss v South East Thames Regional Health Authority* [1985] IRLR 308 (an unfair dismissal case).

OTHER TYPES OF DAMAGE

(i) Discomfort, vexation and disappointment

In *Jarvis v Swan Tours* [1973] 2 QB 233, the plaintiff solicitor, went on a Swan Tour and sued for damages because the hotels and buses fell short of the standards promised. It was held that the plaintiff could recover damages for the disappointment and discomfort he had been caused as a result. See also *Jackson v Horizon Holidays*.

However, there is a limit to damages for distress for breach of contract. In *Bliss*, Dillon LJ stated that such damages should be confined to cases "where the contract which has been broken was itself a contract to provide peace of mind or freedom from distress". Recently, the Court of Appeal made it clear that they were not prepared to extend the circumstances in which damages for distress or disappointment might be granted:

Alexander v Rolls Royce Motor Cars [1995] TLR 254.

(ii) Inconvenience

In *Bailey v Bullock* [1950] 2 All ER 1167, a solicitor failed to take proceedings to recover his client's house for him and was held liable in damages for the inconvenience caused by reason of the client having to live with his wife's parents for two years.

(iii) Diminution of future prospects

In *Dunk v George Waller* [1970] 2 QB 163, an apprentice was wrongfully dismissed, but had he been allowed to complete his apprenticeship he would have got a certificate entitling him to certain jobs at certain wages. Without this certificate, his chances were lessened and he claimed damages for diminution of future prospects. He was held to be entitled to damages on this basis as the object of his apprenticeship was to enable him to get better employment.

(iv) Speculative damages

If the plaintiff's loss is the chance of doing something or benefiting from doing

something, and this contingency is outside the control of the parties, then he is entitled to damages if the

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defendant's breach of contract denies him this chance. For example, in *Chaplin v Hicks* [1911] 2 KB 786, the plaintiff recovered damages for loss of the chance to take part in a beauty contest.

6. LIQUIDATED DAMAGES & PENALTY CLAUSES

The parties to the contract may make a genuine assessment of the losses which are likely to result in the event of a breach, and stipulate that such sum shall be payable in the event of a breach. Such clauses are known as liquidated damages clauses and will be effective in the event of a breach, and the plaintiff will not recover more than that sum. (No action for unliquidated damages will be allowed.)

If, however, the clause is not an assessment of losses, but is intended as punishment on the contract-breaker, then the clause is a penalty clause and is void. In an action for breach of contract it is disregarded.

The parties may often be in dispute over whether the clause was a penalty or a liquidated damages clause. Various rules have been formulated to deal with such contingencies. See:

Dunlop Pneumatic Tyre Co v New Garage [1915] AC 79.

Where the contract has underestimated damages in the event of a breach, either because of inflation or through bad bargaining, damages will be limited to the amount stipulated by the contract. See:

Cellulose Acetate v Widnes Foundries [1933] AC 20.

If the clause is in fact a penalty clause, then as it is void, the plaintiff can ignore it and sue for his actual loss:

Wall v Rederiaktiebolaget Luggude [1915] 3 KB 66.

CASES ON DAMAGES

Smith, Hogg & Co v Black Sea Insurance (1940)

A shipowner was held liable to a charterer in damages for loss of a cargo which had been caused by a combination of perils of the sea and the unseaworthiness of the ship. The latter was sufficient to carry a claim for damages.

Stansbie v Troman (1948)

A painter in breach of contract after he had completed decorations, left unlocked a house, which was later burgled by thieves. The defendant was held liable for the value of goods taken as this was exactly the sort of loss he should have guarded against and foreseen.

Weld-Blundell v Stephens (1920)

The plaintiff employed an accountant, the defendant, to investigate the affairs of a company he had invested in. The defendant's partner negligently dropped a letter from the plaintiff in the office of the company's manager, which the manager picked up and showed to his directors, who sued the plaintiff in libel and won. The plaintiff sued the defendant for breach of contract to recover the damages he paid out in the libel action.

The court declared that the claim must be dismissed since (1) the plaintiff's liability for libel existed apart from the contract, and (2) the loss was not caused by breach of contract, but by the act of the company's manager showing the letter to the directors. This was an act the defendant could not have foreseen.

Hadley v Baxendale (1849)

Victoria Laundry v Newman Industries

(1949) The Heron II (1969)

See extract from

Casebook. Pilkington v

Wood (1953)

The plaintiff bought a house in Hampshire and his solicitor, in breach of contract, negligently failed to notice that the house had a defective title. The solicitor was held liable for the amount by which the house's value had been lessened by the title not being good. The plaintiff shortly afterwards took up work in Lancashire and suffered added loss as the house was hard to resell. However, the solicitor was not liable for the latter loss as he could not anticipate that the plaintiff would shortly move.

Horne v Midland Railway (1873)

The defendant contracted to carry a consignment of shoes to London by 3 February, but delivered a day late. As a result of the delay, the plaintiff lost an opportunity of selling shoes at an exceptionally high price. It was held that the defendant was not liable for this loss. Although he knew the plaintiff would have to take the shoes back if they were not delivered by 3 February, he did not know the plaintiff would lose an exceptionally high profit.

Simpson v L&N Railway (1876)

The defendant contracted to carry the plaintiff's samples of cattle food from an agricultural show at Bedford to another at Newcastle. He delivered certain goods to an agent of the defendant at Bedford showground. The goods were marked 'must be at Newcastle by Monday



certain'. No express reference was made in the contract of carriage to the Newcastle show. The samples arrived at Newcastle after the show was over.

The defendant was held to be liable for loss of profits which the plaintiff would have made had the samples reached Newcastle on time. The plaintiff's purpose and intention could readily be inferred from the circumstances, which clearly indicated that the contract was one to carry samples to the Newcastle show and not simply to Newcastle.

Payzu v Saunders (1919)

The plaintiff agreed to buy certain goods from the defendant over a period of nine months with payment within one month of delivery, and deliveries monthly. The plaintiff failed to make prompt payment for the first instalment, and the defendant, in breach of contract, refused to deliver any more instalments under the contract, but offered to deliver the goods at the contract price if the plaintiff paid cash on delivery of the order. The plaintiff refused this and claimed damages, these being the difference between the contract price and the market price.

It was held that the plaintiff had permitted himself to sustain a large measure of the loss which, as prudent and reasonable people, they ought to have avoided. He had the cash available to meet the defendant's demands and could have mitigated by purchasing off the defendant at the contract price as the defendant offered, instead of going into the market to purchase at a higher price. He was, therefore, not entitled to damages.

Pilkington v Wood (1953)

A solicitor, in breach of contract, obtained for the plaintiff a house which had a defective title. The plaintiff tried to sue the solicitor, who argued that the plaintiff should have mitigated by suing the vendor under the covenants for title under s76 LPA 1925. The court remarked:

"The so-called duty to mitigate does not go so far as to oblige the injured party, even under an indemnity, to embark on a complicated and difficult piece of litigation against a third party ...it is no part of the plaintiff's duty to embark on the proposed litigation in order to protect his solicitor from the consequences of his own carelessness' (per Harman J)."

British Westinghouse v Underground Electric Railway of London (1912)

The defendant agreed to supply the plaintiff with turbines of stated efficiency, but supplied less efficient ones, which used more coal. The defendant accepted them and used them for some years before replacing them with turbines which were even more efficient than those specified in the contract with the defendant. After replacement, the plaintiff claimed damages from the defendant.

The plaintiff was held to be under no duty to mitigate by buying new turbines, but since he had done so, the financial advantages he had gained from new turbines had to be taken into account. Thus, as the plaintiff's saving in coal exceeded the cost of the new

turbines, he was not entitled to damages. However, if the plaintiff had claimed damages before buying the new turbines, the



defendant would have had no defence.

White and Carter v McGregor

(1962) See Law Report.

McRae v Commonwealth Disposals (1950)

The plaintiff recovered £3,000 spent on sending out a salvage expedition to salvage a wrecked tanker, in a specified position, which they had purchased from the defendant. The tanker had never, in fact, existed. See Handout on Mistake.

Anglia Television v Reed (1972)

The plaintiffs incurred expenses in preparation for filming a television play. They subsequently entered into a contract with the defendant to play the leading role. The defendant repudiated the contract. The plaintiffs tried hard to find a substitute but failed, and had to abandon the play. The plaintiffs sued the defendant for expenses of production amounting to £2,750 incurred by the plaintiffs on production before the contract. They were held to be entitled to recover the whole of the wasted expenditure. The defendant must have known that much expenditure had already been incurred and would be wasted.

Millar's Machinery v David Way (1935)

The plaintiff bought some machinery which was installed in his factory and paid for. However, the machinery was not in accordance with the specifications laid down by the contract and the plaintiff rejected it. It was held that the plaintiff could recover the price (restitution), installation expenses (reliance loss) and the net loss resulting from the breach (loss of bargain).

Johnson v Agnew (1980)

The vendors agreed to sell a house and land to the purchaser, but the purchaser failed to complete the transaction on the appointed day. The vendors then obtained an order for specific performance, but it was not drawn up for five months, by which time it had become impossible as the mortgagee had taken possession and sold. The vendors sought discharge of the order for specific performance and to recover damages in its place.

The House of Lords found for the vendors and held that the damages were to be assessed at the date when specific performance had become impossible. Lord Wilberforce said:

"In cases where a breach of contract for sale has occurred, and the innocent party reasonably continues to try to have the contract completed, it would to me appear more logical and just rather than to tie him to the date of the original breach, to assess damages as at the date when (otherwise than by his default) the contract is lost."

Peevyhouse v Garland (1962)

A coal company took a mining lease of farmland, covenanting to restore the land to its original



state at the end of the lease. The work at the end of the lease would have cost \$29,000, while the result of not doing it would reduce the value of the land by only \$300. It was held that damages for the company's failure to do the work should be assessed at \$300.

Ruxley Electronics v Forsyth (1995)

The defendants built a swimming pool for the plaintiffs. The swimming pool was not as deep as specified, yet it was perfectly safe to dive into. To award the cost of digging it out and rebuilding it, simply to add an extra three or four inches of depth would be unfair and unjust. Instead the House of Lords ordered the payment of a much smaller sum by way of compensation for loss of amenity.

See Law Report.

Thompson v Robinson (Gunmakers) Ltd (1955)

The defendant bought a Vanguard car from the plaintiff, and later refused to accept and pay for it. The plaintiff's profit would have been £61. It was held that where, as here, the supply of Vanguard cars exceeded the demand, had the plaintiff found another customer and sold to him as well as the defendant, then there would have been two sales and two profits. Therefore, the defendant was liable for £61.

Charter v Sullivan (1957)

The defendant bought a Hillman Minx car from the plaintiff but refused to accept it. The plaintiff's profit would have been £97. However, only nominal damages were awarded because he could only sell as many cars as he could get from the makers.

Addis v Gramophone Company (1909)

The plaintiff could be dismissed by his employers on six months' notice, which he was given but, at the same time, a new manager was appointed to take his place and the plaintiff was prevented from acting as manager. The plaintiff claimed damages for the harsh and humiliating manner in which he was dismissed, as well as for loss of salary and commission after his dismissal.

The plaintiff was held only to be entitled to the commission and salary he had lost, and not to damages because his dismissal was harsh and humiliating. Lord Atkinson stated: "I can conceive nothing more objectionable and embarrassing in litigation than trying in effect an action of libel or slander as a matter of aggravation in an action for illegal dismissal".

Alexander v Rolls Royce Motor Cars Ltd (1995)

The plaintiff argued that the purchase of a Rolls Royce had been the culmination of a lifelong ambition, and that when the garage concerned had not repaired it properly or quickly enough he had suffered distress and inconvenience. The Court of Appeal, while accepting that there was a breach of contract to repair, were not prepared to award

damages for the plaintiff's 'emotional

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anguish' while his Rolls Royce was being repaired.

LIQUIDATED DAMAGES & PENALTY CLAUSES

Dunlop Pneumatic Tyre Co v New Garage (1915)

The defendant bought tyres from the plaintiff and agreed not to: tamper with manufacturer's marks; sell below the list price; sell to any person blacklisted by the plaintiff; exhibit or export tyres without the plaintiff's consent. The defendant agreed to pay £5 for every tyre he sold or offered in breach of the agreement. In breach, the defendant sold to the public below the list price. It was held that the provision for payment of £5 was held not to be penal. Looking at the language of the contract itself, the character of the transaction and the circumstances, it was clear that the provision was to prevent a price war and so protect the plaintiff's sales. The clause was, therefore, an attempt to estimate damage at a certain figure and as the figure was not extravagant, it could only be concluded that it was a bargain to truly assess damages and not a penalty clause.

Lord Dunedin laid down three rules concerning penalty clauses:

1. The use of the words 'penalty' or 'liquidated damages' may prima facie be supposed to mean what they say, yet the expression used is not conclusive.
2. The essence of a penalty is a payment of money as in terrorem of the offending party; the essence of liquidated damages is a genuine covenanted pre-estimate of damage.
3. Whether a sum stipulated is penalty or liquidated damages is a question of construction to be decided upon the terms and inherent circumstances of each particular contract, judged as of the time of making the contract, not as at the time of breach. There are a number of tests which would prove helpful, or even conclusive:

- (a) it will be held to be a penalty if the sum stipulated for is extravagant and unconscionable in amount in comparison to the greatest loss that could conceivably be proved to have followed from the breach;
- (b) it will be held to be a penalty if the breach consists only in not paying a sum of money, and the sum stipulated is a sum greater than the sum which ought to have been paid.

Cellulose Acetate v Widnes Foundries (1933)

The defendant agreed to build a chemical plant for the plaintiff in 18 weeks. If it took longer than this, they agreed to pay 'by way of penalty £20 per working week'. The

defendant completed 30 weeks late, and the plaintiff lost £5,850 as a result of the delay. The defendant argued that they were only liable for £600 damages. The plaintiff was held only to be able to



recover £600. The clause was not a penalty clause although it was described as such, because its object was not to act in terrorem. The parties must have known that the actual loss would be more than £20 per week, and the clause would, therefore, appear to have been an attempt to limit liability.

Wall v Rederiaktiebolaget Luggade (1915)

It was held that a shipowner could disregard a penalty clause and sue for the actual loss he suffered where it exceeded the amount of the penalty.

REMEDIES FOR BREACH 2 - EQUITABLE REMEDIES

INTRODUCTION

Sometimes the remedy of damages will be inadequate compensation to the victim of a breach of contract. For example, the plaintiff may have contracted to purchase a particular plot of land from the defendant for which compensation cannot provide a satisfactory equivalent in the event of the defendant's breach. Equity therefore developed a number of remedies, discretionary in nature, directed towards ensuring that a plaintiff was not unjustly treated by his being confined to the common law remedy of damages. Two such remedies will now be considered: specific performance and injunctions.

SPECIFIC PERFORMANCE

An order for specific performance will compel the addressee to fulfil the terms of a contract. These terms must be positive in nature, whereas negative stipulations are normally enforced by an injunction.

Any case concerning specific performance inevitably requires a consideration of three issues:

(1) DAMAGES INADEQUATE

If the plaintiff can show that damages are inadequate, then the court may grant his claim for specific performance. Damages will be inadequate in the following circumstances:

(i) Where the plaintiff cannot get a satisfactory

substitute: *Nutbrown v Thornton* (1804) 10

Ves 159

Cohen v Roche [1927] 1 KB 169.

(ii) Where the award of damages would be unfair to the

plaintiff: Beswick v Beswick [1968] AC 58.



(iii) Where the quantum of damages is difficult to assess.

(iv) Under s52 SGA 1979, the seller refuses to deliver 'specific or ascertained' goods.

(2) JUDICIAL DISCRETION

"Equity will only grant specific performance if, under all the circumstances, it is just and equitable to do so" (Stickney v Keeble [1915] AC 386). However, the exercise of this discretion is circumscribed by a number of well-known rules:

(i) There must be mutuality before specific performance is available. "The court does not grant specific performance unless it can give full relief to both parties" per Lord Cranworth LC in Blackett v Bates (1865) LR 1 Ch App 117.

(ii) Specific performance will not be ordered if it is impossible for the defendant to comply with the order, eg, in a contract for the sale of land not owned by the vendor as in Watts v Spence [1976] Ch 165.

(iii) Specific performance will be refused if the plaintiff has acted unfairly or dishonestly. The equitable principle is that the plaintiff must come to equity with clean hands. See:

Walters v Morgan (1861).

(iv) Specific performance will be refused if the plaintiff fails to perform a promise which induced the defendant to contract. See:

Lamare v Dixon (1873) LR 6 HL 414.

(v) Specific performance will be refused if it would cause severe hardship to the defendant. See: Patel v Ali [1984] 1 All ER 978.

(3) TYPE OF CONTRACT

The final consideration is the type of contract as traditionally equity will not order specific performance of contracts involving personal service and building contracts (see below). Finally, if the contract is entire and cannot be severed, the court will not order specific performance of part of that contract, as in Ryan v Mutual Tontine (1893).

(i) The court will not order specific performance of personal service contracts. Also note that s16 of the Trade Union and Labour Relations Act 1974 states that no court shall compel an employee to do any work by ordering specific performance of a contract of employment, or by restraining the breach of such contract by injunction.

An employer cannot be forced to employ somebody against his wishes, and the general rule is that the court will not order re-engagement of an employee, but will instead award compensation. Note that an industrial tribunal can order reinstatement or re-engagement under

the Employment Protection (Consolidation) Act 1978.

(ii) The court will not generally order specific performance of building contracts. The justification is that damages may be an adequate remedy as the plaintiff can engage another builder, the difficulty of continually supervising the building work and the building specifications are often too imprecise. However, for an exceptional case see:

Wolverhampton Corp v Emmons [1901] 1 KB 515.

The difficulty of a court's supervising continuous contractual duties may also prevent specific performance in a variety of other situations. For example, an agreement to provide a porter for a block of flats. Contrast the following cases:

Ryan v Mutual Tontine Assoc [1893] 1 Ch 116

Posner v Scott-Lewis [1987] 3 All ER 513.

The most recent case is the decision of the House of

Lords in: Co-Op Insurance v Argyll Stores [1997]

3 All ER 297.

INJUNCTION

A court may be able to restrain a party from committing a breach of contract by injunction. There are three types of injunction:

- Interlocutory injunctions are designed to regulate the position of the parties pending a hearing.
- A prohibitory injunction orders a defendant not to do something in breach of contract.
- A mandatory injunction requires a defendant to reverse the effects of an existing breach.

With prohibitive injunctions, a court, in the exercise of its discretion, will not be influenced by the fact that the defendant's compliance with the injunction would be unduly onerous or that the breach would cause the plaintiff little prejudice. However, with mandatory injunctions, a court will apply the 'balance of convenience' test, refusing relief if the hardship caused to the defendant by compliance with the order outweighs the consequential advantages to the plaintiff.

The general rule is that an injunction will not be granted if the effect is to directly or indirectly compel the defendant to do acts for which the plaintiff could not have specific performance. For example, to require performance of a contract for personal services. See:

Page One Records v Britton [1968] 1 WLR 157.

However, there are some important exceptions to this rule:

(i) A service contract may contain negative obligations which can be enforced by injunction without compelling positive performance of the whole contract. See:

Lumley v Wagner (1852)



- (ii) A negative stipulation which is too wide can be severed and enforced in part. See: Warner Bros v Nelson [1937] 1 KB 209.

DAMAGES IN LIEU OR IN ADDITION

Damages were originally only available at common law. However, s2 of the Chancery Amendment Act 1858 (Lord Cairns Act), gave the Court of Chancery a discretion to award damages in lieu of, or in addition to specific performance provided the contract is of a type that is specifically enforceable.

This power is now contained in s50 of the Supreme Court Act 1981. Where the Court of Appeal or High Court has jurisdiction to entertain an application for an injunction or specific performance, it may award damages in addition to, or in substitution for, an injunction or specific performance.

For an example of damages being awarded in addition to specific performance, see: Grant v Dawkins [1973] 1 WLR 1406.

CASES ON EQUITABLE REMEDIES

SPECIFIC PERFORMANCE

Nutbrown v Thornton (1804) 10 Ves 159

Specific performance was ordered of a contract to supply machinery which could not be readily obtained elsewhere.

Cohen v Roche [1927] 1 KB 169

The court refused specific performance to a buyer of a set of Hepplewhite chairs saying that they were 'ordinary articles of commerce and of no special value or interest'. Note: the buyer was contracting with a view to resale and for personal use.

Beswick v Beswick [1968] AC 58

A nephew promised his Uncle to pay an annuity to his Aunt in consideration of the Uncle transferring the goodwill of the business to the nephew. The Aunt was not a party to the contract. The court held that it could be specifically enforced by the Uncle's personal representative (the Aunt) against the nephew. Damages would have been purely nominal as the promisee or his estate had suffered no loss. The nephew would have been unjustly enriched by being allowed to retain the entire benefit of the uncle's performance without performing his own promise.

Walters v Morgan (1861)

The defendant agreed to grant the plaintiff a mining lease over land he had just bought. Specific performance was refused as the plaintiff had produced a draft lease and induced the defendant to sign the agreement in ignorance of the value of the property. The plaintiff had hurried the defendant into signing the lease before he knew the value of the property.

Lamare v Dixon (1873) LR 6 HL 414

The plaintiff induced the defendant to agree to take a lease of cellars by orally promising they would be made dry. The promise had no effect as a misrepresentation as it related to the future. The court refused the plaintiff specific performance since he had made no attempt to perform his promise.

Patel v Ali [1984] 1 All ER 978

The vendor and her husband were co-owners of the house they contracted to sell in 1979. The husband's bankruptcy caused delay in completion. After the contract the vendor got bone cancer, had a leg amputated and later gave birth to her second and third children. The purchaser obtained specific performance, against which the vendor appealed on grounds of hardship. She spoke little English and relied on friends and relatives for help, hence it would be hardship to leave the house and move away. It was held that the court could in a proper case refuse specific performance on the grounds of hardship subsequent to the contract, even if not caused by the plaintiff and not related to the subject matter. On the facts, there would be hardship amounting to injustice, therefore damages were awarded.

Wolverhampton Corp v Emmons [1901] 1 KB 515

The plaintiff acquired land for an improvement scheme and sold part of it to the defendant, who covenanted to demolish houses on it and build new ones. The demolition was carried out and plans for new houses approved. The defendant then refused to continue. It was held that specific performance would be ordered since the defendant's obligations were precisely defined by the plans, and damages would be inadequate because the defendant had possession of the site, and the plaintiff could not get the work done by employing another contractor.

Ryan v Mutual Tontine Assoc [1893] 1 Ch 116

A lease of a service flat provided that the lessors should provide a porter who was to be 'constantly in attendance'. It was held that this undertaking could not be specifically enforced. It would require 'that constant superintendence by the court which the court has always in such cases declined to give'.

Posner v Scott-Lewis [1987] 3 All ER 513

The court granted an application for specific performance of a lessor's covenant to employ a



resident porter for certain duties. The court distinguished *Ryan v Mutual Tontine*, where supervision of the execution of the undertaking had been required. Here neither personal services, nor a continuous series of acts, were required, but merely the execution of an agreement containing provisions for such services.

Co-Op Insurance v Argyll Stores [1997] 3 All ER 297

The defendants leased a shopping unit for 35 years and covenanted to use it as a supermarket and keep it open during the usual hours of business. The defendant gave notice to the plaintiffs of their intention to close the supermarket, which had made a substantial loss the previous trading year.

The House of Lords held that a covenant in a lease of retail premises to keep open for trade during the usual hours of business was not, other than in exceptional circumstances, specifically enforceable, since it was the settled practice of the court not to make an order requiring a person to carry on a business. That practice was based on sound sense, as such an order required constant supervision, was only enforceable by the quasi-criminal procedure of punishment for contempt and might cause injustice by allowing the plaintiff to enrich himself at the defendant's expense if the defendant was forced to run a business at a loss.

INJUNCTION

Page One Records v Britton [1968] 1 WLR 157

The Troggs, a pop group, contracted to appoint the plaintiff as their sole agent and manager for five years, and agreed not to act themselves in such capacity and not to appoint any other person for that time. They fell out with the manager and wanted to replace him. The plaintiff sought an injunction. It was held that an injunction must be refused because to grant it would, in effect, compel The Troggs to continue to employ the plaintiff, and thus would amount to enforcing the performance of a contract for personal services.

Lumley v Wagner (1852)

The defendant contracted to sing for the plaintiff in his theatre for three months and, at the same time, not to sing elsewhere during this time without the plaintiff's consent. A third party, Gye, offered the defendant a larger sum to sing for him. The court stated that they had no power to make the defendant sing or encourage her to sing at the plaintiff's theatre. However, the court could persuade her to do so by preventing her singing elsewhere by imposing an injunction to that effect.

Warner Bros v Nelson [1937] 1 KB 209

The defendant, an actress, agreed (1) to act for the plaintiff and, at the same time, (2) not to act or sing for anybody else for two years without the plaintiff's written consent, and (3) no other employment could be taken up during this period without the plaintiff's consent. It was held that the defendant could be restrained by injunction from breaking

the second undertaking. She

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would not be forced to act for the plaintiff because she could earn a living by doing other work.

DAMAGES IN LIEU OR IN ADDITION

Grant v Dawkins [1973] 1 WLR 1406

The vendor's title to land was subject to an encumbrance which amounted to a breach of contract. It was held that the plaintiff could get specific performance of what title the defendant had, plus damages based on the cost of discharging the encumbrance.

